



City of Henderson NC Pride—Progress—Potential

FY 2018-2019 Recommended Budget



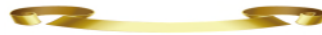
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**FY 18-19 BUDGET
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**City of
Henderson, North Carolina**

Mayor and City Council



Eddie Ellington
Mayor

William Burnette
Sara M. Coffey
George M. Daye
Garry D. Daeke

Melissa Elliott
D. Michael Rainey
Fearldine A. Simmons
Marion Williams



Leadership Team

Frank Frazier
City Manager

Marcus Barrow, Police Chief
Elgin Lane, Human Resources Director
Steve Cordell, Fire Chief
Joey Fuqua, Finance Director
Christy Lipscomb, Kerr Lake Regional Water Plant Director
Esther J. McCrackin, City Clerk
Andy Perkinson, Public Works Director
Lamont Allen, Henderson Water Reclamation Facility Director
Paylor Spruill, Assistant to the City Manager
Clark Thomas, Engineering Director
Kendrick Vann, Parks & Recreation Director
Corey Williams, Development Services Director

D. Rix Edwards, City Attorney



Office of the City Manager

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14 May 2018

The Honorable Mayor Eddie Ellington

Mayor Pro-Tem D. Garry Daeke
Council Member William Burnette
Council Member Sara M. Coffey
Council Member George M. Daye

Council Member Melissa Elliott
Council Member D. Michael Rainey
Council Member Fearldine Simmons
Council Member Marion Williams

Presentation and Consideration of the FY 2018-2019 Recommended Budget

Ladies and Gentlemen:

In accordance with the Henderson City Charter and the Statutes of the State of North Carolina, the FY 2018-19 Recommended Budget is herewith submitted to the City Council for its review, deliberation, amendments and adjustments as deemed appropriate, and adoption prior to July 1st. The City Administration looks forward to working with the Mayor and members of City Council on the budget during the next several weeks, and helping it achieve a spending plan which addresses the needs and aspirations of both the community and municipal organization.

OVERVIEW

State law requires localities adopt and operate within a balanced budget at all times. To that end, revenues have shown some growth, but continue to be projected in a conservative manner and expenditures have been limited to capital needs. Revenues in the Enterprise Funds continue to remain stable and property values basically remain flat, but there is a small decline in personal property values. There was improvement in the collection rate which positively affected the General Fund projected tax revenue.

Many projects that were in the construction phase are nearing completion and other initiatives such as the outdoor pavilion are in the process of conceptual design, which will further our goals for downtown development.

During this fiscal year the city faced a number of homicides which took place within a period of a few weeks. These were horrific events, which reinforces our need to provide a positive economic outlook to help lift up our community as well as continuing to provide adequate salaries to help retain our Police force to insure that we continue to work on reducing crime and bettering our community. In addition, our Youth Services Administrator, in conjunction with our Recreation and Parks Director and Police Chief, has been holding "shop talks" events, reviewing various programs for funding needs and reaching out to the community.

GENERAL FUND

The General Fund recommended budget for FY 2018-19 is \$16,892,390, an increase of 4.25% over the current FY 2017-18 budget.

Revenues

- There was a decrease in the personal property tax; however, with the real property remaining basically flat, the tax rate is recommended to remain at .712 per \$100 of property value.
 - 2017 City Value (real property, utilities and personal) - \$806,389,439
 - 2018 City Value (real property, utilities and personal) – \$800,369,643
This equates to less than 1% lower than 2017 values
- The tax collection rate increased to 96.38% from the previous year of 94.72% which has helped to offset the lower personal property value.
- Revenues from sales tax and other hold harmless taxes have risen this year and are projected to show a slight increase of 2.0% for the upcoming year. The League projected an increase of approximately 4% growth in sales tax, but we used a more conservative number due to local growth and concerns.
- Appropriation of \$550,000 of Fund Balance. This is more than what was originally recommended last fiscal year. Council ultimately approved the use of \$503,000 in fund balance for the FY 18 budget for the additional raises. Per the city's 2017 audit, the fund balance remained sound and well above the minimum requirements as set by the Local Government Commission (LGC).
- As part of the budget process, Council approved recommended changes in the schedule of fees for fire inspection fees, which positively impacted revenues for the General Fund.
- Council has approved a contract with a consultant to help the city move forward with development of a stormwater utility fee. This will help fund much needed stormwater infrastructure projects for future budgets. No funds were projected as revenue for the fiscal year, but it is hopeful that funds can be generated for approximately six to eight months of the upcoming fiscal year.

Highlights on the expenditure side of the General Fund are as follows:

- Development Services - \$50,000 for continued demolition of dilapidated, abandoned structures and code compliance violations. Much progress has been made in this area as there are approximately four properties jointly owned to be demolished. The costs are shared equally with the County. Funding for a part-time code enforcement officer is included in the upcoming budget.
- Staff is recommending a smaller area be identified as our starting project for redevelopment. The proposed FY 19 budget includes \$142,340 for Capital

Improvement Projects (CIP), which can be used for redevelopment and other general fund projects once more defined.

- Phase V implementation of the five year classification and pay study. This is a 5% pay increase effective August 9, 2018. This amount is \$306,120 for the all employees in General Fund including police and fire. The Police Department law enforcement officers currently receive a 5.0% 401-K match as mandated by state law. A 1% 401-K contribution is included in this budget for the remainder of the general fund employees. Funding is included for this in each budget.
- Downtown Development Commission (DDC) - \$50,000 is proposed again to pay for the part time coordinator and continued funding of downtown development incentives and grants. The DDC requested Vance County pay a portion of the Directors position, which would eventually become a full time position.
- Capital outlay of equipment in the Police Department and Fire Department is a combination of lease purchase and outright purchase:

Police Department – six vehicles – to be lease purchased over a five year period with the first payment due in FY 20. \$63,000 is budgeted for equipment and other items for the vehicles which will be paid outright as part of the budget.

Fire Department – Lease purchase of one vehicle and Hurst extrication equipment. The FY 19 proposed budget contains the first payment of the new pumper equipment approved in the FY 18 budget and funded by USDA.

- Street Department – includes funding of \$200,000 for street resurfacing and/or storm sewer replacement, which will be added to the CIP and also includes the first lease purchase payment for the new street sweeper. The proposed budget includes purchase of a new backhoe, one vehicle and a new tractor for mowing right-of-ways at a total cost of \$227,000 with the first lease payment in FY 2020.
- Includes funding of \$100,000 for Economic Development Incentive grants due to existing agreements with M R Williams, and Vescom (3rd year) North Central Medical Transport and MAKO Laboratory.
- Small amount of funding increase for outside local agencies such as Crime Stoppers, Boys and Girls Club and Arts Council.
- One additional employee in the Recreation Department to help provide park maintenance.
- Upgrade of the Assistant to the City Manager to Assistant City Manager.

REGIONAL WATER

The Regional Water Fund Budget is proposed at \$5,024,000, an increase of approximately 9.03% over the current year budget. Regional water production has remained steady throughout the past fiscal year. There is a 5.0% increase scheduled for FY 19, which will help cover future debt as a result of renovations and expansion of the Kerr Lake Regional Water Plant to go to 20 MGD.

Expense highlights are as follows:

- Reserve funds in the amount of \$24,430 for Phase V of the Pay and Classification Study.
- Funds in the amount of \$844,450 will be placed in Regional Water Reserve and \$750,000 in CIP Regional for a CIP project which ties to an existing water main along Nutbush Road and will provide another loop for the distribution system.
- Capital Outlay in the total amount of \$15,600 for Lab equipment.
- The city and its partners applied for and obtained an additional \$20 million in grants and low interest loans to expand the water plant.

WATER FUND

The Water Fund budget is proposed at \$7,948,825. Highlights of the water fund are as follows:

- A 5% increase in the water rate is proposed to cover the 5% increase in Regional water rates and other needed capital outlay and improvements. Despite the increase, if approved, the water rate would remain well below our neighboring communities.
- Revenues for FY 18 are meeting the projections for Henderson customers. Vance County and Franklin County sales are growing.
- Phase V of the Pay and Classification Study in the amount of \$44,850. Recruitment for employees in Public Works including Water Distribution remains challenging.
- Capital Outlay – Major capital outlay includes a new backhoe with hydraulic hammer and one service truck at a cost of \$132,500 to be lease purchased with payments of approximately \$47,380 beginning in FY 19.
- Customer Service - Replacement of a small 2 wheel drive work truck (\$26,000). This replaces a 2005 model with approximately 151,751 miles.
- Upgrade of the Customer Services Supervisor position to Department/Division Head Status.

SEWER FUND

The Sewer Fund budget is proposed at \$4,923,450, which is a 5.74% increase from the past year. No use of Rate Stabilization funds is proposed to be used this year.

Some highlights of the expense side include funding for the following:

- Purchase of equipment including a dump truck and three service trucks. (1 for HWRP-1 Sewer Collection & 1 for Sewer Collection I & I)
- Repair and maintenance of the UV system at the plant.
- Funds placed in reserve in the amount of \$41,770 to fund Phase V of the Pay and Classification Study.

EMPLOYEE PAY AND OTHER BENEFITS CONSIDERED IN THE FY 19 BUDGET:

Personnel - There were many requests for additional personnel this year; however, due to budgetary restraints, only one of these positions is proposed to be funded. This is a maintenance position in the Recreation department. Other positions requested were two in recreation and positions for a third fire company. Salaries and wages continue to be a major concern for the City in many departments as we must find ways to increase our competitiveness to hire and retain the best staff. The recommended budget includes a 5% increase for all employees.

Health insurance – After ongoing negotiations with Aetna a proposed 7.00% increase was established for this recommended budget. Aetna has provided several alternatives that can be considered to further reduce premium cost and these have been reviewed by the HR Committee. The considerations were: 1) Apply a \$1,500 deductible and; 2) limit prescriptions in accordance with plan which does not contain Walgreens or Rite-Aid. The consensus of the committee was to leave the deductible at \$1,250 and use the second choice regarding the purchase of medications.

Current Monthly Premium per Employee with \$1,250 deductible	\$491.81
Proposed Monthly Premium per Employee with \$1,250 deductible	\$526.20

Worker's Compensation - The City has received an estimated premium for Worker's Compensation insurance rates from the League of Municipalities and as anticipated, is much lower than our current rate and correlates with the efforts of our staff in promoting a safer work environment. Based on our current rate, it represents a decrease of 24.14%, which signifies that the city has shown improvements in working to reduce our costs in this area.

Debt – Several large projects involving the Police Station and Operations Center will be retired in FY 20; however, debt service for the fire station/former municipal building begins and other larger projects in the Enterprise Funds such as the KLRW plant upgrade, which will increase the debt service in those funds in the future.

The Capital Improvement Plan is submitted as a part of FY 19 budget to properly plan for upcoming capital projects for the next ten (10) years.

Combining all funds, this represents a combined budget of \$44,212,905. Whereas not all needs are met, as in most budgets, I believe this budget represents further positive steps in areas not funded previously, which will help the City continue to grow and reach its full potential again. We must continue to work in

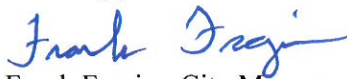
reducing the City's crime rate which has a negative effect on economic development efforts as well as stretching the resources and personnel of our police department.

Again, I appreciate the opportunity to work for the City of Henderson in providing a high level of service that our citizens deserve and look forward to working with the staff in carrying out the necessary work to insure that our goals are realized as outlined in the Strategic Plan.

I want to take this opportunity to especially thank Patricia (Pat) Pearson, Executive Assistant for all of her work in helping to prepare this year's budget along with the rest of the budget team which includes, Joey Fuqua, Finance Director, Lisa Boyd, Assistant Finance Director, and Paylor Spruill, Assistant to the City Manager. I am extremely grateful in the team's efforts in putting this budget together as well as the cooperation of the Department Directors.

I welcome your suggestions and comments as we prepare for our Budget Hearing as well as upcoming meetings, as needed, to discuss this proposed budget.

Sincerely,



Frank Frazier, City Manager
City of Henderson

CITY OF HENDERSON NORTH CAROLINA STRATEGIC PLAN

STRUCTURE AND PURPOSE OF THE STRATEGIC PLAN

Purpose

The Purpose of the Henderson Strategic Plan is to provide a visionary framework that forms the foundation for the tone and direction of how the City will plan for its future by addressing Key Strategic Challenges and deliver services. The City's first strategic plan, *Henderson Strategic Plan 2009-2011*, was approved by the City Council in April 2009.

Strategic Planning Process

The City has developed a strategic planning process that guides its development and deployment of the Strategic Plan. In December, questionnaires are submitted to Mayor, City Council and Administration to solicit input on the direction of the City, new ideas, etc. Information is also captured throughout the year and incorporated into the process. Results are analyzed and reported to Council with recommendations from Staff. The Council meets in a Strategic Planning Retreat in February of each year. During this time the prior year's plan is reviewed, external and internal information reviewed and revisions are made to the Strategic Plan. A diagram of the Strategic Planning Process is provided below:



CITY OF HENDERSON NORTH CAROLINA STRATEGIC PLAN

During the year, City Administration provides to the City Council reports on the status of the Strategic Plan's deployment. Additionally, the Strategic Plan and the Annual Budget are aligned during the budget development and review process. Thus, the City's strategic planning process is dynamic.

Desired Outcomes

The desired outcomes of the Strategic Plan include: 1) increased and improved focus on addressing issues critical to the City; 2) improved budgeting by virtue of considering critical issues vis-à-vis the allocation of scarce resources; and 3) development of performance based measures to assist in decision making.

Performance Measures

Performance measures are identified for each of the Key Strategic Objectives and related action plans throughout the text of the Strategic Plan. These performance measures are developed as the action plans' development process matures. Additionally, a Balanced Scorecard will be developed for the measures provided within the Strategic Plan as well as other key measures necessary for the overall governance and operation of the City.

CITY OF HENDERSON NORTH CAROLINA STRATEGIC PLAN

21-22 February 2018 Retreat: 2018-2019 Strategic Plan Summary Report:												
	Multi-Year Action Plan Scorecard	AP Time Horizon	March 2009 09-11 SP	Jan 2010 10-12SP	Jan 2011 11-13 SP	Jan 2012 12-14 SP	Mid-Year 12-14 SP	Jan 2013 13-15 SP	Feb 2014/ Jan 2015 14-16 SP	Jan 2016 15-17 SP	Feb 2017 17-18 SP	Feb 2018 18-19 SP
KSO 1	Implement Performance Excellence											
	Implement Process Improvement	long term	Green	Green	Green	Green	Green	Green	Green	Green	Green	Green
	Improve Citizen Engagement	short term				Tan	Green	Green	Green	Green	Green	Green
	Improve Overall Perception of City	long term										Green
KSO 2	Reduce Crime & Safe Community											
	Faith Based Community Partnerships	long term						Green	Green	Green	Green	Green
	Re-Entry Transition	long term								Green	Green	Green
	Graffiti	long term								Green	Green	Green
	Substance Abuse	long term								Green	Green	Green
KSO 3	Economic Development											
	Establish 1-Stop Permitting Process	short term			Green	Yellow	Red	Red	Green	Green	Green	Green
	Locate HSR Passenger Station in Downtown	long term	Green	Green	Green	Green	Green	Green	Green	Green	Green	Green
	Redevelop Downtown (Readdressed Jan 2018)	long term	Green	Green	Green	Blue	Completed			Green	Green	Green
	Home Ownership	long term								Green	Green	Green
KSO 4	Improve Housing Stock											
	Aggressive Code Enforcement	long term	Green	Green	Green	Green	Green	Green	Green	Green	Green	Green
	Aggressive Urban Homesteading	long term						Tan	Red	Blue	Blue	Blue
	Redevelopment Master Plan /Neighborhood	long term								Green	Green	Green
KSO 5	Reliable Infrastructure											
	Rehab/Expand Kerr Lake Regional Water Plant	long term	Green	Green	Green	Green	Green	Green	Green	Green	Tan	Green
	Upgrade Sewer Plant	short term			Green	Green	Green	Green	Green	Green	Blue	Blue
	Replace 2" water lines	long term				Green	Green	Green	Green	Green	Blue	Green
	Upgrade of Infrastructure	long term									Green	
	Cemetery Improvements	short term										Tan
KSO 6	Retain Qualified Municipal Workforce											
	Perform Pay Classification Study	short term	Red	Red	Red	Red	Red	Red	Blue	Blue	Blue	Blue
	Implementation of Pay Study	mid-term								Green	Green	Green
	Update Personnel Policy/Procedures Manual	mid-term			Green	Green	Green	Green	Green	Completed	Complete	Green
	Career Development & Training Plan	short term	Green	Green	Green	Green	Green	Green	Green	Completed	Complete	Green
	Sensitivity/Diversity Training	long term						Green	Green	Completed	Complete	Green
	Internships	short term										Tan
KSO 7	Expand Leisure Services											
	Develop Walking & Bike Trails	long term	Green	Green	Green	Green	Green	Green	Green	Green	Green	Green
	Develop Action Plan re: Master Plan	long term						Tan	Tan	Completed	Completed	
	Community Water Park	long term										Tan
KSO 8	Provide Sufficient Funding for Services											
	Grow Undesignated Fund Balance	mid-term	Green	Green	Green	Green	Green	Green	Green	Completed	Complete	Green
	Financing Upgrades/P-cards	mid-term									Green	Blue
	Blue = Completed		Yellow = Lagging	Red = Not Accomplished								
	Green = In Process/On-Going		Tan = Not Yet Started	Grey = Not in Plan								
Last Updated: 04/09/18												

CITY OF HENDERSON NORTH CAROLINA

STRATEGIC PLAN

PURPOSE STATEMENT

To improve the quality of life of citizens by providing services that provide for the community's health, safety and welfare.

MISSION STATEMENT

To provide value added services in a customer friendly, cost efficient and effective manner resulting in a safe and prosperous community.

VISION STATEMENT

To be a vibrant, safe, progressive and prosperous community in which citizens are actively engaged in governance and community activities.

CORE VALUES

1. Roles and Responsibilities: We value the Agreement established by the City Council setting forth the Mayor, City Council and City Manager roles, responsibilities and expectations.
2. Citizen/Customer Friendly: We value our citizens and customers and will work with them in a courteous, professional manner. We value their participation and input and owe them an answer to their questions in a timely manner.
3. Fairness: We Value equity and will be fair in how we work with citizens and customers and how we implement City policies, regulations and ordinances.
4. Ethical Behavior: We value the public trust and will perform our duties and responsibilities with the highest levels of integrity, honesty, trustworthiness and professionalism.
5. Respectful of Others: We value the opinions of others and will seek to first understand before seeking to be understood, and will at all times agree to disagree in an agreeable manner.
6. Value Diversity: We value and celebrate the diversity of people in our community and municipal workforce.
7. Teamwork and Collaborative Efforts: We value teamwork and collaborative efforts with our fellow workers, stakeholders and partners, and believe through such efforts we will be better able to achieve our goals and objectives.
8. Value Employees: We value employees and the contributions they make to the City and to the citizens and customers of our community.
9. Good Working Relationship with Vance County: We value a good working relationship with the County of Vance and believe by working together in a cooperative effort we can better address the strategic challenges and opportunities facing our community.
10. Transparency in Governance: We value transparency in the governance and operations of the City.
11. Performance Excellence: We value excellence in how we govern and deliver services and believe we should always strive for continuous improvement in our work and service delivery processes.
12. Data Based Decision Making: We value the use of valid data in making our decisions.

CITIZENS OF HENDERSON

Mayor and City Council

Mayor Eddie Ellington

City Clerk

Esther McCrackin

Sara Coffey
D. Michael Rainey
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Kendrick Vann

Development Services
Corey Williams

Downtown Dev.

Engineering
Clark Thomas

Information Services

Public Works
Andy Perkinson

Regional Water
Christy Lipscomb

Water Reclamation
Lamont Allen

Customer Service
Shay Bennett

Meter Reading
Utility Billing

Charles Poteat

Garage

James Taylor

Sanitation
Cemetery
Grounds Maintenance

Edna Vaught

Administration
Services Officer

Joey Long
Bill Evans

Water Distribution
Sewer Collection
Sewer I & I
Streets



City of Henderson
Organizational Chart

Contracted
General Government
Public Safety
Cultural Resources
Public Services/Works
Utilities

Classification and Pay System - Phase Five (2019)

revised 4/30/18

Grade	Classification	Salary Range	Grade	Classification	Salary Range
6	Parking Enforcement Agent /Custodian	\$21,875- \$32,813	17	GIS Technician Planner	\$37,413 - \$56,119
7	No position assigned	\$22,968 - \$34,452		Senior Police Officer	
8	Maintenance Worker Meter Reader Parks Maintenance Worker Street Maintenance Worker Hydrant Maintenance Technician	\$24,116- \$36,175		Public Works Supervisor	
9	Plant Maintenance Worker Receptionist/Office Assistant Solid Waste Equipment Operator Street Sign Technician Utility Maint Mech/Shop Attendant	\$25,322 - \$37,983		Street Maintenance Sup	
				Recreation Program Sup	
10	Customer Services Rep Fleet Service Technician Public Works Crew Leader Senior Street Maintenance Worker	\$26,589 - \$39,138		Senior Instrumentation Tech	
11	Human Resources Technician Police Records Clerk Administrative Support Specialist Pol Records Clerk/Court Liaison	\$27,917 - \$41,876		Zoning Administrator	
12	Accounts Payable Specialist Plant Maintenance Mechanic Treatment Plant Operator/Lab Tech Utility Billing Specialist Accounting Technician	\$29,314 - \$43,971	18	Chief Treatment Plant Op Construction Inspector Engineering Technician Laboratory Supervisor Fire Lieutenant Customer Service Supervisor	\$39,284- \$58,926
13	Athletics Program Specialist Adm Services Support Specialist Firefighter Laboratory Technician Payroll Specialist Ground Maint Crew Leader Program Specialist Street Maintenance Crew Leader	\$30,780 - \$45,971	19	City Clerk Community Dev Specialist GIS Analyst	\$41,247- \$61,871
14	Executive Assistant Fleet Maintenance Mechanic Senior Firefighter Utility Maintenance Crew Leader Utility Locator	\$32,318- \$48,477	20	Dist and Collection Sys Sup Police Sergeant	\$43,309 - \$64,965
15	Code Compliance Inspector Fire Engineer Instrument Technician Laboratory Analyst Parks Maintenance Supervisor Police Officer I	\$33,934 - \$50,901	21	Assistant Finance Director Youth Services Program Mgr Youth Service Outreach Admin Recreation & Parks Prog.Supt.	\$45,474 - \$68,212
16	Accountant Police Detective Police Records Supervisor Police Officer II	\$36,631 - \$53,446	22	Asst. Public Works Director	\$47,749 - \$71,624
17	Administrative Services Officer Aquatics Program Supervisor Athletics Program Supervisor Community Center Supervisor Recreation Facility Supervisor Fleet Maintenance Supervisor Plant Maintenance Supervisor Youth Services Pgm Coord	\$37,413 - \$56,119	23	Assistant Fire Chief Public Services Ops Mgr Assistant to City Manager	\$50,136- \$75,205
			24	Assistant Police Chief	\$52,643- \$78,964
			25	Human Resources Director	\$55,275- \$82,913
			26	Parks and Recreation Director Development Services Director Treatment Plant Director	\$58,040 - \$87,060
			27	Fire Chief	\$60,941 - \$91,412
			28	City Engineer Finance Director Police Chief Public Works Director	\$63,988 - \$95,983
			31	Assistant City Manager	\$74,074- \$111,112

Public Safety Pay Schedule Phase Five (FY 2019) 4/30/18

Grade	Classification	Salary Range		Grade	Classification	Salary Range
PS13	Firefighter	\$32,880 - \$49,320		PS21	Fire Battalion Chief Battalion Chief/Training Officer Police Lieutenant	\$48,578 - \$72,868
PS14	Senior Firefighter Police Cadet	\$34,524 - \$51,786		PS22	Police Captain	\$51,007 - \$76,510
PS15	Fire Engineer Police Officer I	\$36,250 - \$54,375		PS23	Assistant Fire Chief	\$53,557 - \$80,337
PS16	Police Officer II Police Detective	\$38,063 - \$57,094		PS24	Assistant Police Chief	\$56,235 - \$84,353
PS17	Senior Police Officer	\$39,966 - \$59,950		PS25	N/A	\$59,047 - \$88,571
PS18	Fire Captain	\$41,964 - \$62,946		26	N/A	\$58,039 - \$87,059
	Interim Fire Captain					
	Fire & Safety Educator					
PS19	N/A	\$44,062 - \$66,093		27	Fire Chief	\$60,941 - \$91,412
PS20	Police Sergeant	\$46,265 - \$69,398		28	Police Chief	\$63,988 - \$95,982

City of Henderson Authorized Positions

<u>POSITIONS BY FUND</u>	<u>Recommended</u>										
	FY 13-14		FY 14-15		FY 15-16		FY 16-17		FY 17-18		FY 18-19
	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Authorized but Unfunded Part-time
General Fund											
Governing Body	1	0	1	0	1	0	1	0	1	0	0
Admin - City Attorney	0	0	0	0	0	0	0	0	0	0	0
Administration	4	0	3	0	3	0	3	0	3	0	0
Human Resources	2	0	3	0	3	0	3	0	3	1	1
Code Compliance	2	0	2	0	2	0	2	0	0	0	0
Finance	5	0	6	0	6	0	6	0	5	0	0
Planning & Community Development	2	0	2	0	2	0	2	0	0	0	0
Development Services	0	0	0	0	0	0	0	0	4	0	0
Police	60	16	59	15	59	15	59	15	59	16	6
Fire	35	11	35	11	35	12	32	12	36	20	20
Public Services/Administration	2	0	2	0	2	0	2	0	2	0	0
Garage	3	1	3	1	3	1	3	1	3	0	0
Street	13	1	13	1	13	1	13	1	13	1	1
Sanitation	5	6	5	6	5	6	5	6	5	6	6
Recreation	9	30	9	29	9	29	9	29	9	16	16
Aycock Aquatics Center	2	0	2	30	2	30	2	30	2	30	30
Youth Services	4	0	3	0	3	0	3	0	3	0	0
Total General Fund Employees	149	65	148	93	148	94	145	94	148	90	146 9 80
Water Fund											
Administration	0	0	1	0	1	0	1	0	1	0	0
Customer Service	10	1	10	1	10	1	10	1	10	1	1
Engineering	4	0	4	0	4	0	4	0	4	1	1
Water Distribution	10	0	10	0	10	0	9	0	9	0	0
Total Water Fund Employees	24	1	25	1	25	1	24	1	24	2	24 1 2
Sewer Fund											
Water Reclamation Facility	21	0	20	0	20	0	20	0	16	0	0
Sewer Collection	5	0	5	0	5	0	5	0	5	0	0
Sewer Collection I & I	3	0	3	0	3	0	3	0	3	0	0
Total Sewer Fund Employees	29	0	28	0	28	0	28	0	24	0	24 0 0
Regional Water											
Regional Water	13	0	13	0	13	0	13	0	13	1	1
Total Regional Water Employees	13	0	13	0	13	0	13	0	13	1	13 0 1
TOTAL EMPLOYEES	215	66	214	94	214	95	210	95	209	93	207 10 83

BUDGET GUIDE

FY 17-18 BUDGET BUDGET GUIDE

The FY 2017-18 Budget has been prepared in a reader friendly, program oriented budget format. The following summary provides information on how the reader might best understand the budget by first explaining the format of the budget.

The budget describes recommended City services and revenue sources proposed for the fiscal year beginning 1 July 2017 and ending 30 June 2018. Adopting an annual budget is one of the most important tasks the Mayor and City Council undertake each year. Indeed, it is the single most important policy document that the Mayor and Council will approve. It is through the adoption and implementation of the budget that the interests and values of our community are translated into plans for and the service delivery of programs, projects, services, and resources intended to benefit the citizens of Henderson.

1. This book is divided into sections.
2. Read the Budget Calendar found on *page BG-8*. All budget work sessions are open to the public and the public is cordially invited to attend.
3. Read the Budget Process and Accounting Policies beginning on *page BG-2*.
4. Read the Budget Message that begins on *page 1* under the *Budget Message* tab. This document provides information on the overall budget and identifies major policy recommendations and shifts in policy direction found within the budget document.
5. Read the Program Narratives for each budget division. These narratives will provide the reader with information about the division's purpose, budget highlights.
6. Read the Glossary found in *Appendix A*. The Glossary provides definitions for various words and phrases used within the budget that may not be generally understood by the lay reader.
7. If you have any questions about the budget, please feel free to contact the City Manager at (252) 430-5701.

BUDGET ADOPTION

The City of Henderson's annual operating budget is adopted by ordinance in accordance with the North Carolina Local Government Budget and Fiscal Control Act (LGBFCA) which states that estimated revenues and appropriated fund balances equal appropriations. The budget is developed on a cash basis, including only expenditures and revenues expected to be realized during the fiscal year. State statute also sets the fiscal year as beginning July 1 and ending June 30: therefore, the City Council must adopt a budget prior to July 1st of each year.

ACCOUNTING POLICIES

Summary

The accounting policies of the City of Henderson conform to generally accepted accounting principles (GAAP) as applicable to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The following is a summary of the more significant accounting policies:

Reporting Entity

The City of Henderson is a Municipal Corporation governed by an elected mayor and an eight-member council.

ACCOUNTING POLICIES (CONT.)

Fund Accounting

The accounts of the City are organized and operate on the basis of funds and account groups. A fund is an independent fiscal and accounting entity with a self-balancing set of accounts comprised of assets, liabilities, fund equity, revenues, and expenditures or expenses, as appropriate. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance-related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements. The account groups are not funds but are a reporting device used to account for certain assets and liabilities of the governmental funds that are not recorded directly in those funds. The City uses the following fund categories:

Governmental Funds

Governmental Funds are used to account for the City's governmental functions. Governmental funds include the following fund types:

General Fund - The General Fund is the general operating fund of the City. It is used to account for all financial resources except those required to be accounted for in another fund. The primary revenue sources are ad valorem taxes and State-shared revenues. The primary expenditures are for public safety, streets, sanitation, parks and recreation, and general government services.

Powell Bill Fund - The Powell Bill Fund serves as a transfer account for expenditures incurred with Powell Bill Street allocations for accounting purposes.

Grant Revenue Funds – The Grant Revenue Funds are used to account for the proceeds of specific revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specified purposes.

Capital Projects Funds - Capital Projects Funds account for financial resources to be used for the acquisition and construction of major capital facilities (other than those financed by proprietary funds and trust funds). The City has two Capital Projects funds within its governmental fund types, the General Capital Projects Fund, and the Powell Bill Capital Projects Fund.

Proprietary Funds

Enterprise Fund - The Enterprise Fund is used to account for operations (a) that are financed and operated in a manner similar to private business enterprises - where the intent of the governing body is that the costs (expenses, including depreciation) of providing goods and services to the general public on a continuing basis be financed or recovered primarily through user charges; or (b) where the governing body has decided that periodic determination of revenues earned, expenses incurred, and/or net income is appropriate for capital maintenance, public policy, management control, accountability, or other purposes. The Enterprise Fund includes the Water Fund, Regional Water System Fund, Sewer Fund, Capital Reserve Utilities Fund, Capital Reserve Regional Fund, and Water, Sewer, and Regional Water Capital Project Funds.

Fiduciary Fund

Pension Trust Fund - The Pension Trust Fund accounts for the Law Enforcement Officers' Special Separation Allowance enacted by the State Legislature and effective January 1, 1987.

FY 17-18 BUDGET BUDGET GUIDE

BASIS OF BUDGETING

In accordance with the North Carolina General Statutes, the City is required to budget and account for its funds on the modified accrual basis of accounting. Under this method, revenues are recognized in the accounting period in which they become available. Expenditures are recognized in the accounting period in which the goods and services are received (except for unmatured interest on general long-term debt, which is recognized when due). The City's accounting records for general governmental operations are reported on the modified accrual basis. Enterprise and pension trust operations are reported on the accrual basis.

The General Statutes also provide for balanced project ordinances for the life of the projects, including both capital and grant activities, which are expected to extend beyond the end of the fiscal year. The budgeted appropriations for capital and grant projects do not lapse until the completion of the project, while appropriations for funds that adopt annual budgets lapse at the end of the fiscal year.

In keeping with state law, the budget is prepared and accounted for on a modified accrual basis for the general fund, enterprise funds, and the Powell Bill fund. All other funds, including capital project and grant funds adopt multi-year budgets.

In keeping with Generally Accepted Accounting Principles (GAAP), financial statements for proprietary funds are prepared on a full accrual basis. A reconciliation of the full accrual basis to modified accrual basis (budgetary basis) is included in the annual financial statements for enterprise funds.

Budget Structure

Fund Accounting, required for governmental units, is the style of accounting used to segregate and account for restricted resources. The City of Henderson develops its source and use of funds estimates contained in the annual budget in a manner that follows general accepted accounting principles (GAAP). The budget is organized on the basis of funds, each of which is considered a separate budgetary and accounting entity. Governmental resources are accounted for in individual funds based upon the purposes for which they are to be spent.

The primary focuses of most budget documents are the revenue and expenditure appropriations. The City's operating expenditures are organized into the following hierarchy: Funds, Departments, Categories and Line Items. To better understand the budget documents, the terms in the City's financial structure should be understood.

FUNDS

The budget is organized on the basis of funds, each of which is considered a separate budgetary and accounting entity. Government resources are allocated to, and accounted for, in individual funds based upon the purposes for which they are to be spent.

- A. OPERATING BUDGET - The City of Henderson's annual budget is adopted as required by the North Carolina General Statutes. The annual budget is divided into twelve separate funds as indicated below:

Governmental Funds

10: General Fund - handles the general operations of the City such as administration, police protection, fire services, planning/zoning, recreational programs, street maintenance, sanitation

Governmental Funds (cont.)

services and Elmwood Cemetery operations. Resources are provided primarily through ad valorem taxes and intergovernmental revenues and are expended for services which are not compatible with a user fee financing method.

11: Powell Bill Fund - serves as a transfer account to properly account for expenditures incurred with Powell Bill Street Allocations. This annual State allocation is restricted to street, sidewalk and right-of-way maintenance, resurfacing and the purchase of equipment directly related to streets and right-of-ways. Transfers are made monthly to the General Fund or Capital Improvement Project Fund for the expenses incurred for these specific uses.

Enterprise Funds

30: Water Enterprise Fund - accounts for the provision of water services to utility customers and the revenue associated with the distribution of this water service. This enterprise fund is operated in a manner similar to private business enterprise. This fund is fully self-supporting by user charges for its service.

31: Sewer Enterprise Fund - provides for the activities necessary to furnish sewer treatment, sanitary sewer collection and inflow and infiltration of sewer. This enterprise fund is operated in a manner similar to private business enterprise. This fund is fully self-supporting by user charges for its service.

64: Regional Water System Fund - accounts for all revenue and expenditure sources to the City's Kerr Lake Regional Water System which is under the control of Henderson (60%), Oxford (20%) and Warren County (20%). The City of Henderson as the majority and controlling partner operates the system which serves over 40,000 customers for the joint use and benefit of all three entities and their respective service areas.

Capital Reserve Funds

70: Capital Reserve Utilities Fund - provides for the accumulation of revenues for future expansion and/or construction of water and sewer system and related improvements.

72: Capital Reserve General Fund - provides for the accumulation of revenues for future large capital equipment purchases and/or construction of facilities normally funded through General Fund resources including infrastructure components such as streets, sidewalks, storm drainage systems, public buildings, etc.

73: Capital Reserve Economic Development Fund - provides for a small reserve for economic development grant matches and incentives. It has no fund balance since the fund is just now being established.

78: Capital Reserve Regional Water Fund - consolidates three Regional Capital Reserve Funds into one. 75: Capital Reserve Regional Water COE, 76: Capital Reserve Regional Water 20 MGD and 77: Capital Reserve Regional General.

79: Capital Reserve Rate Stabilization Fund - was established in March 2012 for the purpose of reserving money for future debt service for the 20MGD water plant expansion and major upgrades

FY 17-18 BUDGET BUDGET GUIDE

FUNDS CONTINUED

planned for the Water Reclamation Facility (Sewer Plant) and other Capital Projects as approved by the City of Henderson Council.

- B. CAPITAL IMPROVEMENT PROJECTS FUND BUDGETS - The Capital Improvement Projects fund budgets account for financial resources to be used for the acquisition and construction of major capital facilities (other than those financed by proprietary funds and trust funds). The City has two Capital Projects Funds within its governmental fund type (General and Powell Bill), and three Capital Projects Funds within its proprietary fund type (Water, Sewer & Regional Water). Capital Improvement Projects Fund projects are not considered to be part of the annual budget process since these projects remain “open” for the life of the project.

Governmental Funds

41: General Capital Improvement Projects Fund - accounts for the costs of general projects currently in the planning and/or construction stage.

42: Powell Bill Capital Improvement Projects Fund - accounts for the costs of Powell Bill projects currently in the planning and/or constructions stage.

Proprietary Funds

43: Water Capital Improvements Projects Fund - accounts for the costs of water projects currently in the planning and/or construction stage.

44: Sewer Capital Improvements Projects Fund - accounts for the costs of sewer projects currently in the planning and/or construction stage.

46: Regional Water Improvements Projects Fund - accounts for the costs of Regional Water projects currently in the planning and/or construction stage.

- C. GRANT PROJECT FUNDS - Grant Project Funds are projects that are set up by project ordinances that are funded in full or in part by Federal or State funds and have more than one year duration.

EXPENDITURE CLASSIFICATION

Departments are divisions of a fund that are responsible for performing specific government functions within their area of accountability. The departments represent the highest level of summarization used in the City's budget structure. Each department is divided by department budget as noted below:

Fund Department

- A. **General Fund:** Governing Body, City Attorney, Administration, Human Resources, Finance, Development Services, Henderson-Vance Downtown Development, Public Buildings, Bennett Perry House, IT Services, Police, Fire, Admin/Public Works, Garage, Cemetery, Street, Sanitation, Recreation, Recreation/Youth Services, Aycock Aquatics Center, Non-Departmental, Vance County Shared Programs, Contribution to Local Agencies and Debt Service.

Fund Department cont.

- B. Water Fund:** Engineering, Water Distribution, Administrative, Customer Service, Non-Departmental and Debt Service.
- C. Sewer Fund:** Wastewater Treatment, Sewer Collection, I & I, Non-Departmental and Debt Service.
- D. Regional Water Fund:** Water Treatment, Non-Departmental and Debt Service.
- E. Capital Reserve:** Utilities, General Fund, Economic Development, Regional Water and Rate Stabilization

DEPARTMENTAL EXPENDITURES CATEGORIES

Each department is broken down into four categories:

- A. Personnel Services** includes salaries and wages (full-time and part-time), pensions, health insurance, merit and other fringe benefits.
- B. Operating** pertains to the daily operations that provide basic governmental services such as supplies, utilities, materials and travel.
- C. Debt Service** includes appropriated principal and interest payments for any outstanding debt within each funds department.
- D. Capital Outlay** includes funds for the purchase of equipment, land or other fixed assets valued at more than \$1,000 with a lifespan of at least 5 years.

LINE ITEMS

Each budget consists of individual line items which identify specific expenditures and revenues. Line items are the most detailed way to list budget information.

BUDGET AMENDMENTS

Throughout the fiscal year, adjustments to the original budget ordinance may become necessary to meet changing circumstances, better carry out planned programs and provide for new Council initiatives. Two types of changes can occur – budget amendments and budget transfers. Such changes are required at the line-item level of the budget underlying the budget ordinance.

A budget amendment increases or decreases the revenue and expenditures of an appropriated fund (this may involve decreases or increases in revenue and expenditures or shifting of monies between funds). Budget amendments, in accordance with North Carolina Statute 159-15, require the approval of City Council. Amendment requests are submitted to the Finance Department and approved by the City Manager prior to submittal to City Council.

BUDGET TRANSFERS

A budget transfer changes line-item appropriations within a particular fund without changing the fund total. Interdepartmental budget transfers are prepared by the Department Directors. All transfer actions are reviewed and approved by both the Finance Director and the City Manager.

FY 17-18 BUDGET BUDGET GUIDE

BUDGET CALENDAR

The City of Henderson begins its annual budget process in October of each year, with the distribution of the Capital Improvements Program (a ten year planning document), and the annual operating budget instructions and forms to Department Directors and Local Agencies.

The Department Directors have approximately three (3) months to concentrate on developing goals and objectives, requesting expenses and justifying any capital outlay for their department for the upcoming fiscal year.

After reviewing initial development requests, the City Manager and select staff meet with Department Directors. These informal meetings allow Department Heads to fully explain their requests and respond to questions from the City Manager. After these review meetings, expenditure and revenue decisions are made and line item recommendations are put into draft form, and presented to the Mayor, City Council and Department Directors.

Several Council/Staff work sessions are held that focus on the Operating and CIP Budgets for the upcoming year. Council directives are stated during these meetings and then incorporated into each budget document.

A public hearing on the proposed budget is held in June prior to budget adoption. Citizen concerns are voiced to the Mayor and Council at this public hearing. The budget is adopted at the City Council's last regular meeting in June or at a special called meeting set for the purpose of adopting the budget subsequent to the Budget hearing.

October	Budget instructions and forms are distributed to Department Directors and Local Agencies
January	City Council develops goals and objectives during their Strategic Planning Retreat
February	City Manager reviews Department Budget requests with the Department Directors
March	Funding requests from Local Agencies are due
April	Year-end revenue estimates are projected for current budget year Revenue projections for the upcoming budget year are developed Adjustments to all budgets, revenue projections, etc. necessary to balance budget Follow-up with individual Department Heads as needed and subject to City Manager's discretion
May	Budget Summary Draft prepared and presented to City Council at either a Regular Council Meeting or a Special Called Meeting. Budget Work Sessions held with Department Directors and Council for budget review Budget Hearing
June	Budget Adoption Notification to Local Agencies/Organizations who requested appropriation of City funds of funding status
July 1	New Fiscal Year begins
September	Final Budget/CIP Summary printed and distributed to City Council, Staff and appropriate agencies

GENERAL FUND

GENERAL FUND DEPARTMENTS

1. Governing Body
2. City Attorney
3. Administration
4. Human Resources
5. Finance
6. Information Technology (IT)
7. Downtown Development
8. Development Services
9. Public Buildings & Grounds
10. Police
11. Police Asset Forfeiture
12. Fire
13. Administration- Public Services
14. Garage
15. Cemetery
16. Street
17. Sanitation
18. Recreation
19. Youth Services
20. Aycock Aquatics Center
21. Vance County Shared Programs
22. Non-Departmental
23. Contributions to Local Agencies
24. Debt Service

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10: GENERAL FUND SUMMARY

GENERAL FUND DEPARTMENTS				
Department	2018 Council Amended Budget	2019 Department Requested Budget	2019 Manager Recommended Budget	% Increase or Decrease
Governing Body	\$ 195,820	\$ 207,225	\$ 210,780	7.64%
Administration - City Attorney	\$ 63,000	\$ 63,500	\$ 63,000	0.00%
Administrative	\$ 277,480	\$ 289,025	\$ 303,530	9.39%
Human Resources	\$ 201,370	\$ 222,500	\$ 218,290	8.40%
Finance	\$ 424,010	\$ 465,700	\$ 445,160	4.99%
Information Services	\$ 55,000	\$ 283,300	\$ 60,000	9.09%
Development Services	\$ 347,950	\$ 455,389	\$ 362,284	4.12%
Henderson-Vance DDC	\$ 55,500	\$ 50,000	\$ 50,000	-9.91%
Public Buildings and Grounds	\$ 83,220	\$ 114,400	\$ 80,900	-2.79%
Police	\$ 4,257,848	\$ 4,710,900	\$ 4,476,240	5.13%
Police - Asset Forfeiture	\$ 134,000	\$ 54,300	\$ 54,300	-59.48%
Fire	\$ 2,395,660	\$ 3,073,093	\$ 2,575,880	7.52%
Public Works Administration	\$ 160,430	\$ 171,150	\$ 158,790	-1.02%
Garage	\$ 749,210	\$ 847,100	\$ 727,320	-2.92%
Cemetery	\$ 94,800	\$ 124,800	\$ 86,000	-9.28%
Street	\$ 1,644,060	\$ 1,591,900	\$ 1,451,100	-11.74%
Sanitation	\$ 933,300	\$ 1,392,600	\$ 1,140,760	22.23%
Recreation	\$ 988,714	\$ 1,425,220	\$ 996,860	0.82%
Youth Services	\$ 180,534	\$ 183,700	\$ 183,210	1.48%
Aycock Aquatics Center	\$ 398,450	\$ 467,754	\$ 439,930	10.41%
Vance County Shared Programs	\$ 1,066,970	\$ 1,115,860	\$ 1,115,860	4.58%
Non-Departmental	\$ 1,031,110	\$ 549,450	\$ 1,104,654	7.13%
Contribution to Local Agencies	\$ 31,250	\$ 34,550	\$ 32,050	1.02%
Debt Service	\$ 472,234	\$ 597,827	\$ 597,832	26.60%
Total - General Fund	\$ 16,241,920	\$ 18,491,243	\$ 16,934,730	4.27%

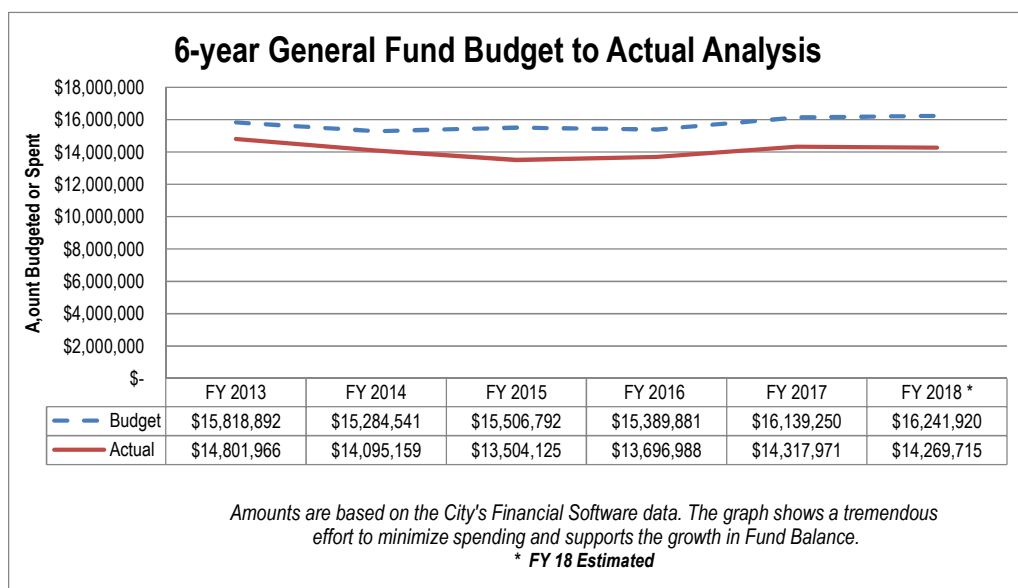
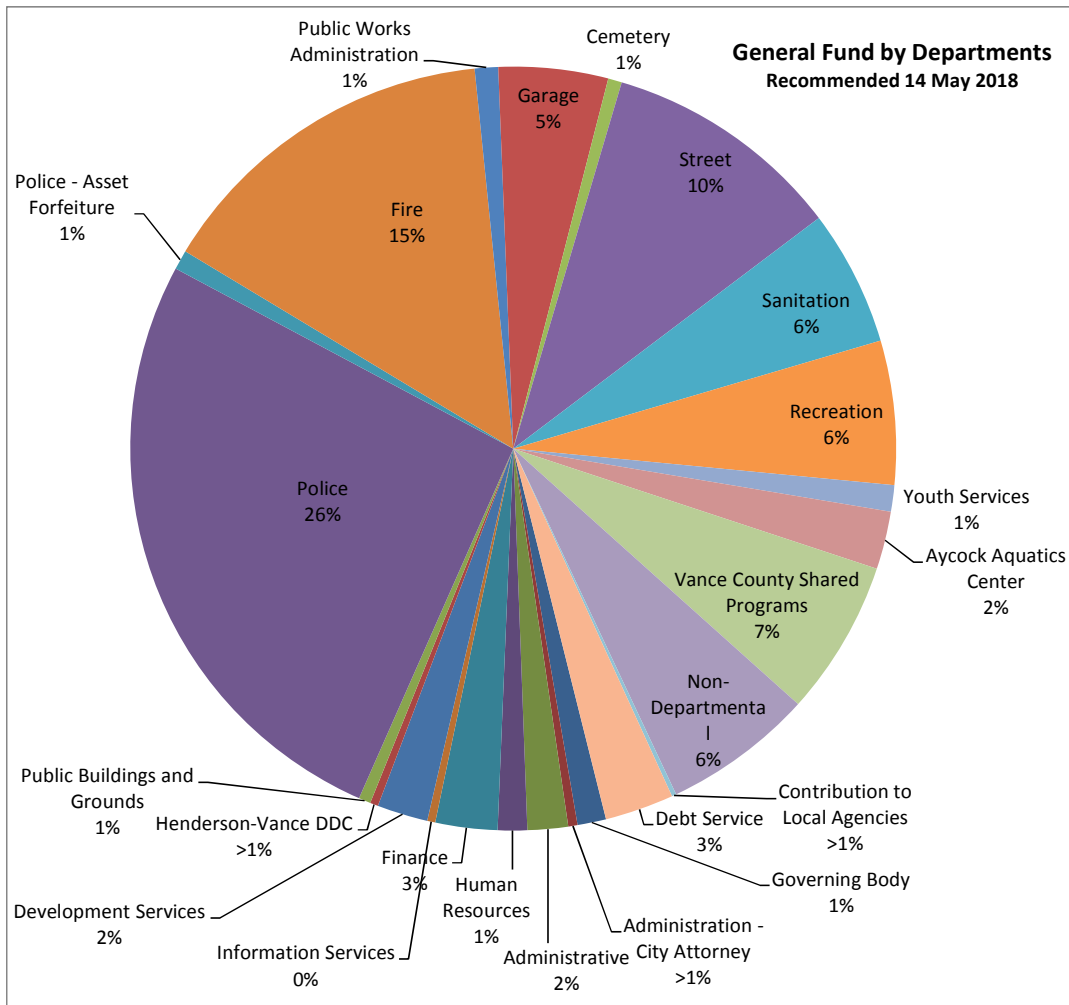
\$550,000 of Fund Balance was appropriated to balance this year's budget to help cover increases due to programs such as the redevelopment efforts, DDC and other increased operating expenses.

A lease purchase option had to be considered this year with a delay in payments in order to fulfill capital needs. This strategy allows departments to move forward with the purchases they need this year, but will likely lead to a need to go without capital outlay in at least the next fiscal year because the payments will be made at that time.

County shared programs should be revised in the future due to the significant increases in obligations and the potential shift in ability to fulfill agreements entered into when the economy was in better shape.

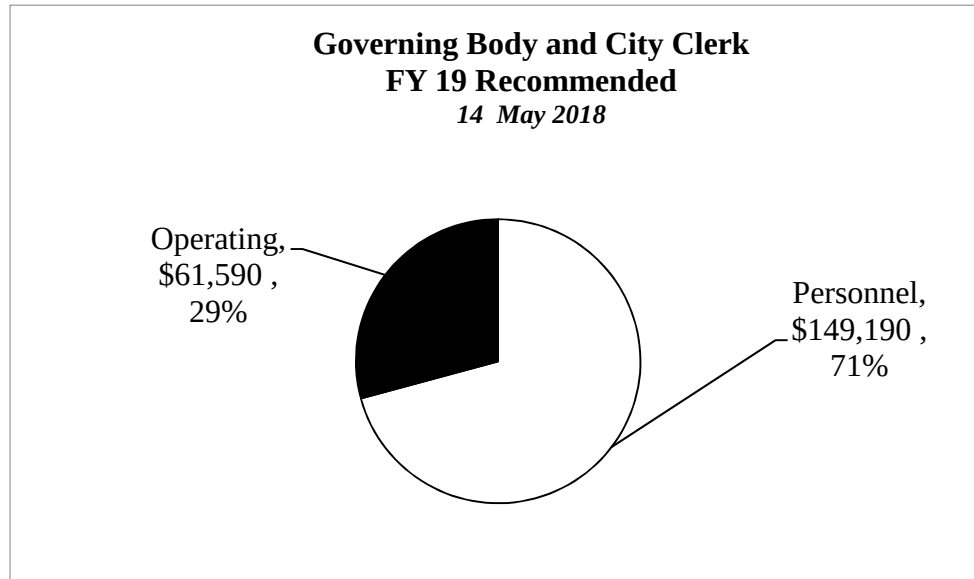
Police Asset Forfeiture funds are declining exponentially and the financial responsibility will fall back on the General Fund in order to continue to meet the demands of the community.

**FY 18-19 BUDGET
GOVERNING BODY
10: GENERAL FUND SUMMARY**



FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-410: GENERAL FUND GOVERNING BODY SUMMARY

10-410: GOVERNING BODY SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 120,270	\$ 126,493	\$ 134,200	\$ 131,430	\$ 141,000	\$ 149,190	
Operating	53,229	57,237	61,620	53,684	66,225	61,590	
Total Expenditures	\$ 173,499	\$ 183,730	\$ 195,820	\$ 185,114	\$ 207,225	\$ 210,780	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
<i>Elected Officials</i>							
1	1	Mayor					
8	8	Council Members					
<i>Administrative Staff</i>							
1	1	City Clerk	19	\$38,139	\$57,209		
1 FT/9 EO	1 FT/9 EO						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	
New Requests	0	0	0	0	0	0	
Total Funded Positions	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	1 FT/9 EO	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-410: GENERAL FUND GOVERNING BODY SUMMARY

PURPOSE

The City of Henderson is structured as a Council-Manager form of government pursuant to the North Carolina General Statutes. The Mayor is elected at large and eight Council Members are elected to represent four (4) wards. Each ward has one council member elected by ward vote only and one council member is elected at-large. Council members and the mayor are elected for four year staggered terms.

The City Council is the legislative board of City government and sets the policies for the City. It appoints the City Manager, City Attorney and City Clerk.

FY 18 ACCOMPLISHMENTS

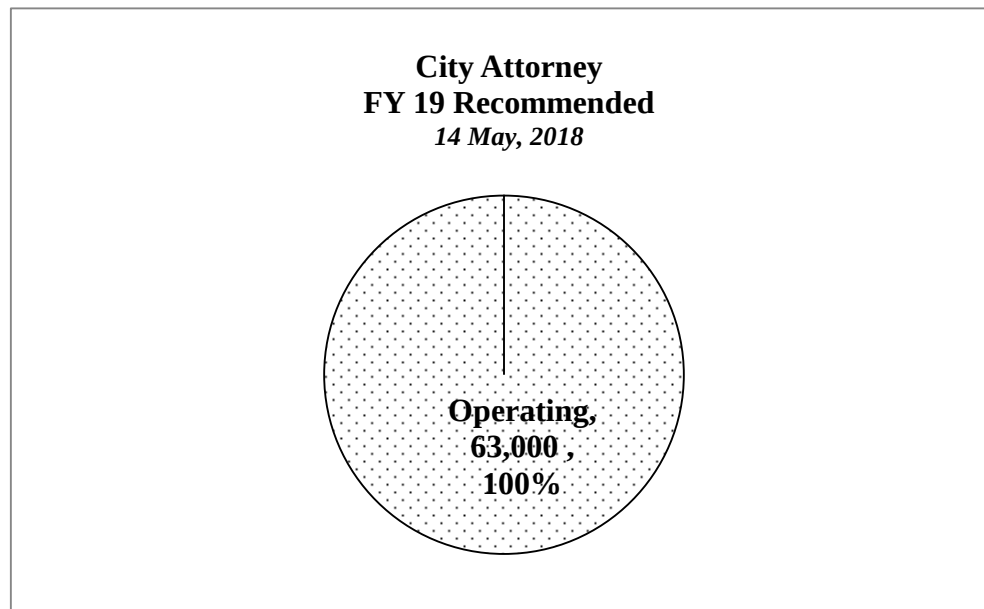
- **Strategic Plan:** The Strategic Plan was reviewed during the Council's Strategic Planning Retreat in February 2018. A mid-year Retreat will be planned for August.
- **Roles and Expectations:** Council re-affirmed the roles and expectations for the Mayor, Council and City Manager during the Strategic Planning Retreat.
- **Infrastructure:**
 - Henderson Water Reclamation Facility's dedication was held and improvements completed.
 - Funding approved for Kerr Lake Regional Water Plant upgrade and expansion for two phases.
- **Major Accomplishments:**
 - Phase IV of Pay Classification Study was funded as well as an additional increase for Fire and Police.
 - Renovation of Fire Station #2 has been completed and work continues on the old Municipal Building.
 - Several demolitions of city/county owned properties, including the former Abagayles Bookstore
 - MAKO opened a facility in Henderson with the city and county participating in incentives.
 - City's Fund Balance remained very positive and well above minimum requirements.
 - Community Outreach Program started along with Community Wide Advisory Committee.
 - Urban Homesteading Program started.

KEY BUDGET ISSUES

- Little to no growth in Real and Personal Property values; therefore, limiting funding for needed capital projects.
- Funding for salaries of employees to reach full ability to reach competitiveness with other local government agencies.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-414: GENERAL FUND CITY ATTORNEY SUMMARY

10-414: CITY ATTORNEY SUMMARY							
	Actual	Actual	Budgeted	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Personnel Services		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Operating	62,596	60,722	63,000	63,000	63,500	63,000	
Total Expenditures	\$ 62,596	\$ 60,722	\$ 63,000	\$ 63,000	\$ 63,500	\$ 63,000	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1 PT	1 PT	City Attorney (Contracted part time)					
		No Salary provided					
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT	
New Requests	0	0	0	0	0	0	
Total Funded Positions	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT	

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-414: GENERAL FUND CITY ATTORNEY SUMMARY

PURPOSE

To provide legal counsel to the Mayor, City Council, City Manager and City staff; review Ordinances and Resolutions as well as contracts and agreements; and to represent the City as needed.

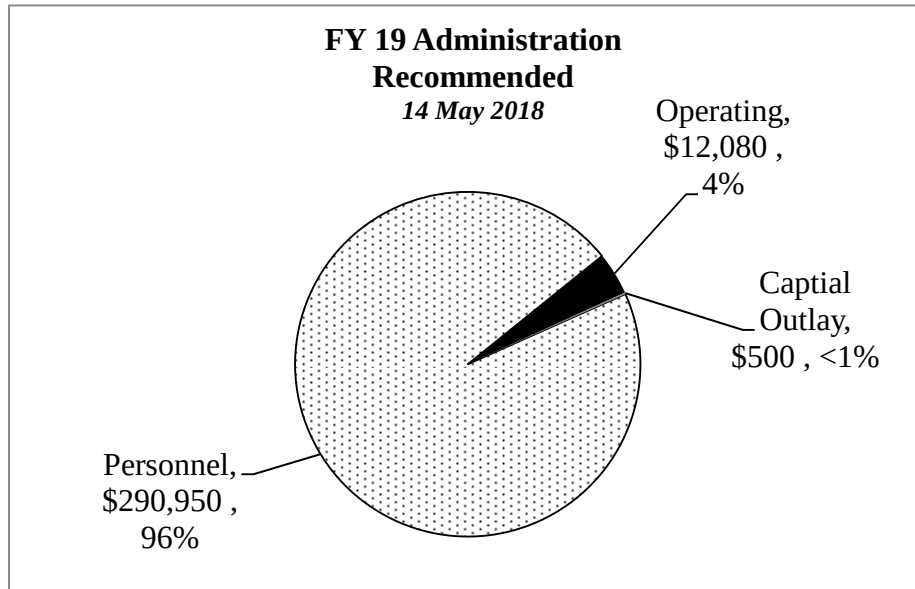
The City Attorney, D. Rix Edwards, provides part-time services to the City via a contract with the firm of Stainback, Satterwhite, & Zollicoffer.

KEY BUDGET ISSUES

- Additional funding for legal counsel outside the realm of the City Attorney's expertise
- Additional funding for extensive title searches performed by outside contractors.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-420: GENERAL FUND ADMINISTRATIVE SUMMARY

10-420: ADMINISTRATIVE DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30 June 18	18-19	18-19	18-19
Personnel Services	\$ 230,586	\$ 258,202	\$ 263,500	\$ 261,570	\$ 271,600	\$ 290,950	
Operating	11,149	10,701	12,480	10,370	16,225	12,080	
Capital Outlay	-		1,500	1,500	1,200	500	
Total Expenditures	\$ 241,735	\$ 268,903	\$ 277,480	\$ 273,440	\$ 289,025	\$ 303,530	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	City Manager	-	-	-		
1	1	Assistant to the City Manager	23	\$46,358	\$69,536		
1	1	Executive Assistant	14	\$29,883	\$44,825		
		Authorized, Frozen Unfunded Positions					
0	0	Administrative Support Specialist	11	frozen			
0	0	Special Projects Manager	n/a	frozen			
3	3						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	6	5	5	5	5	5	
New/Unfrozen Requested	1	0	0	0	0	0	
Total Funded Positions	4	3	3	3	3	3	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-420: GENERAL FUND ADMINISTRATIVE SUMMARY

PURPOSE

To guide, lead and direct all City departments in administrative matters related to and necessary for implementing City Council's policy.

The Administration Department consists of the City Manager, Assistant to the City Manager, Executive Assistant to the City Manager, Administrative Support Specialist and Special Projects Manager. The Special Projects Manager and the Administrative Support Specialist positions have been frozen and unfunded for years.

GOALS & OBJECTIVES

- **Goal 1:** Strategic Plan
- **Objective 1:** Lead the staff in continuing to implement the Strategic Plan including new action items identified for FY 18.

- **Goal 2:** Performance Excellence
- **Objective 1:** Implement process improvements throughout the organization.

- **Goal 3:** Implementation of Redevelopment Area as discussed during the Council retreat as well as further improvements in the downtown area.
- **Objective 1:** Create new growth and development of area from I-85 to the Downtown Area

- **Goal 4:** Strengthen IT services within the City
- **Objective 1:** Ensure that the city's IT programs are secure and services are performed in an efficient and timely manner.

FY 18 ACCOMPLISHMENTS

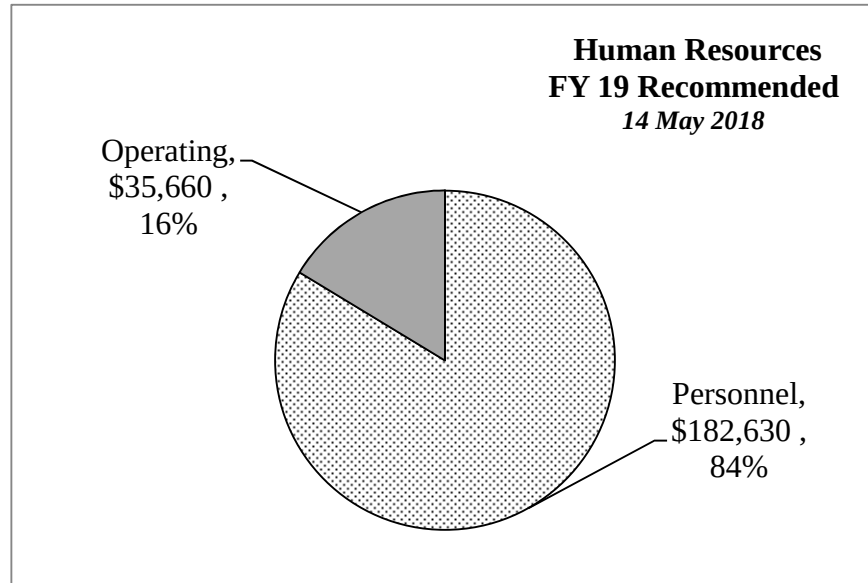
- Position Replacements: Filled HR Director Position due to the retirement of past Director.
- Implementation of Phase IV of Pay Study for all departments, including additional increase for Police and Fire.
- Continued improvement of Fund Balance for all funds. During the FY 17 audit, the unassigned Fund Balance equals 50.3% of the fiscal years expenditures using the conservative approach and 67.1% utilizing all funds.
- Improvements made regarding safety in the workplace and reducing Workers Comp claims. This resulted in savings for FY 19 in the amount of approximately \$89,570.

KEY BUDGET ISSUES

- Insufficient funds for upcoming Capital needs related to building and infrastructure as well as continuance of Pay Study and cost of living increases to improve our competitiveness with nearby communities relative to pay for our employees.
- Funding and implementation of redevelopment efforts.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-425: GENERAL FUND HUMAN RESOURCES SUMMARY

10-425: HUMAN RESOURCES SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$156,133	\$163,940	\$ 168,400	\$ 167,820	\$ 182,100	\$ 182,630	
Operating	37,541	30,964	32,570	34,185	40,400	35,660	
Capital Outlay	1,327	650	400	400	\$ -	\$ -	
Total Expenditures	\$195,001	\$195,554	\$ 201,370	\$ 202,405	\$ 222,500	\$ 218,290	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
		Authorized Funded Positions					
1	1	Human Resources Director			25	\$46,805	\$70,208
1	1	Human Resources Technician			11	\$23,639	\$35,459
1	1	Receptionist/Office Assistant			9	\$22,299	\$33,449
Total Funded Positions							
3	3						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	2	3	3	3	3	3	
New/Unfrozen Requested	0	0	0	0	0	0	
Total Funded Positions	2	3	3	3	3	3	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-425: GENERAL FUND HUMAN RESOURCES SUMMARY

PURPOSE

To establish plans and programs related to the recruitment, staffing, training, compensation, benefits, employee safety, and employee and labor relations functions of the City; to ensure that each function is performed in such a manner as to meet the needs of Henderson residents and customers, the well-being of each employee and in accordance with local, state and federal regulations.

GOALS & OBJECTIVES

- Goal 1:** Stay abreast of major personnel legislations. i.e.: “Fair Labor Standards Act” and changes in Affordable Care Act.
- Objective 1:** Identify non-compliance issues and work with the Leadership team to develop plans for potential impact.
- Goal 2:** Identify affordable professional training.
- Objective 1:** To provide in-house and on-line training for leadership, supervisors and employees. Seek affordable training through various professional member services.
- Goal 3:** Develop a comprehensive Succession Plan for key positions.
- Objective 1:** Work with Leadership Team to identify star performers to mentor. Develop customized schedule to develop them.

FY 18 ACCOMPLISHMENTS

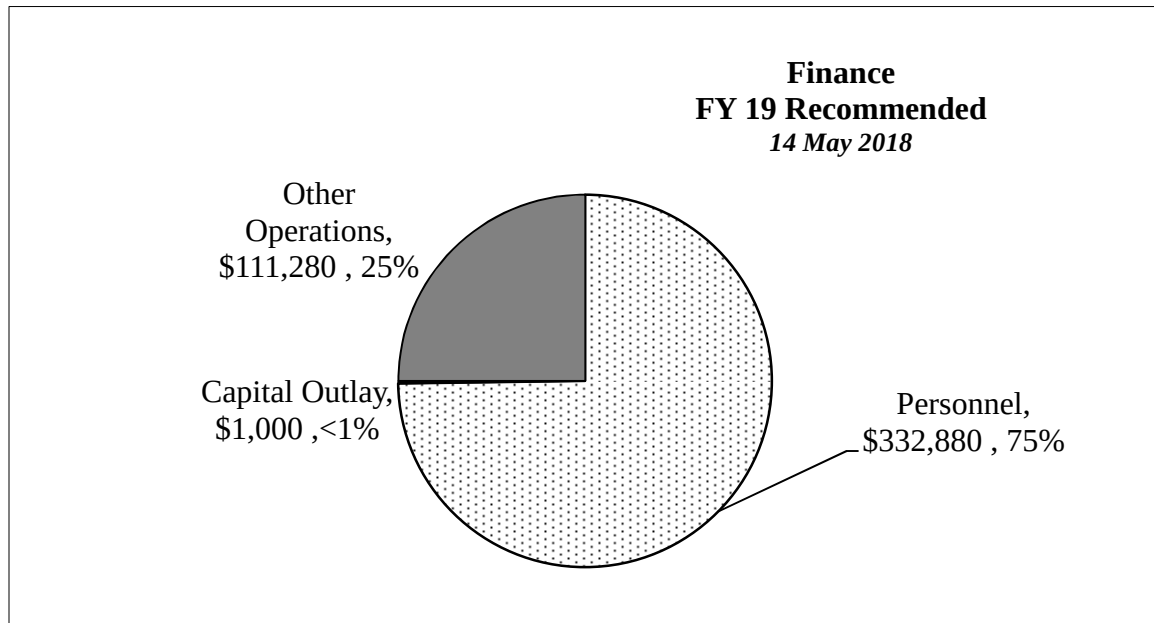
- **Pay Study-Phase IV:** Managed the implementation of Phase IV of the pay study as well as a second increase approved by Council.
- **Improved Employee Morale:** Public Council recognition of retiring employees, Holiday luncheon, Lunch and Learns and Service Award banquet.
- **Work First Intern Program:** Managed Work First Program for disadvantaged youths.
- **Compliance:** Provided guidance in the implementation of the proposed regulations from the Department of Labor - FLSA (Fair Labor Standard Act) regarding exempt versus non-exempt status.
- Monitored Evaluation process as we converted to anniversary dates for evaluations to be performed.

FY 19 KEY BUDGET ISSUES

- **Recruitment and hiring:** Vacant positions due to retirement and personnel leaving for higher paying positions in surrounding areas.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-440: GENERAL FUND FINANCE SUMMARY

10-440: FINANCE DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Personnel Services	\$ 275,382	\$ 291,246	\$ 314,525	\$ 309,500	\$ 331,200	\$ 332,880	
Operating	68,811	101,912	109,485	110,200	133,000	111,280	
Capital Outlay	-	750	1,000	1,500	1,500	1,000	
Total Expenditures	\$ 344,193	\$ 393,158	\$ 424,010	\$ 419,700	\$ 465,700	\$ 445,160	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
<i>Accounting & Payroll Section</i>		<i>Authorized Funded Positions</i>					
1	1	Finance Director	28	\$59,166	\$88,749		
1	1	Assistant Finance Director	21	\$42,048	\$63,072		
1	1	Payroll Specialist	13	\$28,460	\$42,691		
1	1	Accounts Payable Specialist	12	\$27,105	\$40,658		
1	1	Accounting Technician	12	\$27,105	\$40,658		
		<i>Authorized Unfunded Positions</i>					
0	0	Accountant	16	\$32,946	\$49,419		
5	5						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	6	6	6	6	6	6	
New/Unfrozed Requested	0	0	0	0	0	0	
Total Funded Positions	6	5	5	5	5	5	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-440: GENERAL FUND FINANCE SUMMARY**

PURPOSE

To administer the fiscal affairs of the City in compliance with local, state and federal regulations and in accordance with generally accepted accounting principles of governmental accounting and the rules and regulations of the North Carolina Local Government Commission. The Finance Department's responsibilities include the collection and disbursement of funds, control of expenditures, cash and asset management, payroll and purchasing. The Department is responsible for insuring that all of the City's disbursements are in strict compliance with laws and regulations and the City's budget ordinance.

GOALS & OBJECTIVES

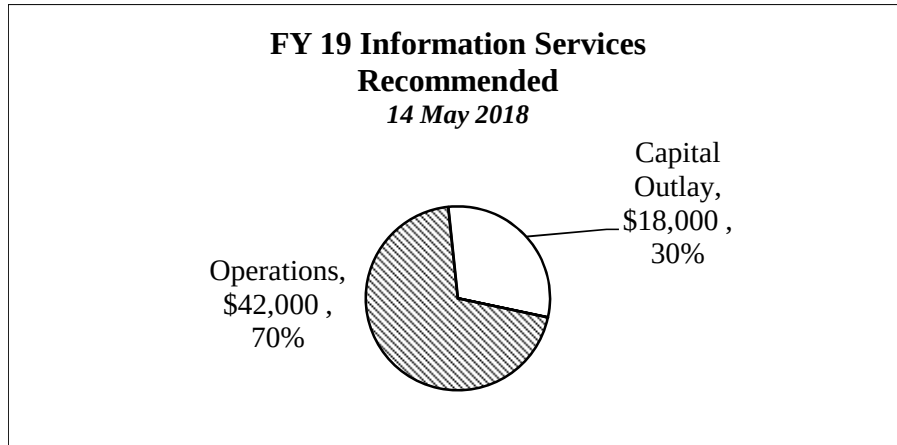
- Goal 1:** Earn the GFOA Certificate of Achievement Award for Excellence in Financial Reporting.
- Objective 1:** Work closely with auditors to ensure that the FY 18 Comprehensive Annual Financial Report meets or exceeds the requirements for the GFOA award and assist with preparation of the FY19 budget in compliance with GFOA guidelines.
- Goal 2:** To record and post financial data in a timely and efficient manner.
- Objective 1:** To utilize and/or expand the comprehensive checklist of critical dates for various items and/or tasks including revenue receipts (sales tax, utility franchise tax, etc.), debt service payments, reporting deadlines, etc.
- Objective 2:** To continue to review and monitor this checklist on an on-going basis to ensure that deadlines are met and that financial data is recorded accurately and in a timely manner in order to provide meaningful and reliable up-to-date financial information to management and department heads and submit all "outside" reports (Powell Bill, various LGC reports, NC Dept. of Revenue reports, etc.) by their required due dates.
- Goal 3:** Improve current departmental processes and procedures and cross-train all Finance staff.
- Objective 1:** Review current processes and procedures for potential improvements. Determine if distribution of departmental tasks and responsibilities are assigned in the most efficient manner and re-align/re-assign duties and responsibilities where efficiencies could be improved.

FY 18 ACCOMPLISHMENTS

- **Audit:** Received a "clean," unmodified opinion on the FY 17 financial audit report, with no "unit letter" from the NC Local Government Commission. This is the fourth year in a row that we have not received a letter and we feel that this is indicative of the progress that the Finance Department has made.
- The beginning of FY 18 was the target date to initialize the transition from paper files/documentation to electronic (email) communication between all City departments as it relates to the processing of purchase requisitions, purchase orders, and check requests. In conjunction with the implementation of the electronic purchase requisition process (ePurchReq), vendor payments were transitioned from paper checks to payments by credit card (pcard). These innovations generate the following benefits: 1) dramatic reduction in paper and toner use, 2) dramatic reduction in purchase requisition and payment processing time, and 3) use of credit card for payments generates an annual rebate back to the City projected to top \$20,000 in unbudgeted revenue and will continue to grow.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-450: GENERAL FUND INFORMATION SERVICES SUMMARY

10-450: INFORMATION SERVICES DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Operating	\$ 19,864	\$ 22,532	\$ 42,100	\$ 30,000	\$ 66,100	\$ 42,000	
Capital Outlay	11,003	10,960	12,900	12,000	217,200	18,000	
Total Expenditures	\$ 30,867	\$ 33,492	\$ 55,000	\$ 42,000	\$ 283,300	\$ 60,000	\$ -



AUTHORIZED POSITIONS							
FY 12-13	FY 13-14	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
HISTORY OF POSITION							
	FY 10-11	FY 11-12	FY 12-13	FY 13-14	Requested Fy 14-15	Recommended FY 14-15	Approved FY 14-15
Authorized	0	0	0	0	0	0	0
New Request	0	0	0	0	0	0	0
Total Funded Positions	0	0	0	0	0	0	0

FY 18-19 BUDGET
GOVERNMENTAL FUNDS

10-450: GENERAL FUND INFORMATION SERVICES SUMMARY

PURPOSE

To provide support and assistance to all departments in troubleshooting computers and software systems.

GOALS & OBJECTIVES

Goal 1: To update and maintain the City's Information Technology (IT) infrastructure.

Objective 1: To update and maintain the City's IT infrastructure to meet and exceed the needs of the City's workforce to operate, serve, and protect the public in a timely manner.

FY 18 ACCOMPLISHMENTS

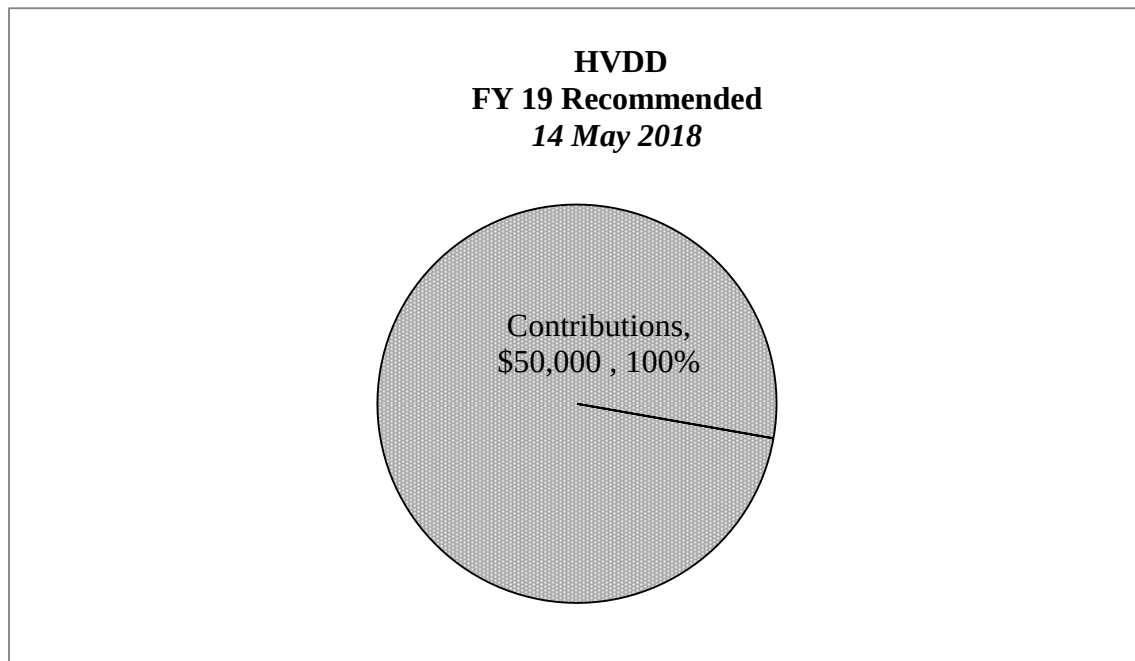
- Set-up Task Group to review IT Services. This committee made a thorough review of the City's current IT System and then provided a set of written recommendations to the City Manager
- The City has moved to a faster internet service for each Department and Facility with only a slight increase in cost. This will facilitate efficient File Transfer Protocol with consultants and developers.

FY 19 KEY BUDGET ISSUES

- Insufficient Staffing: The City has not had an IT position for years. This task is performed to a limited capacity by staff members with limited abilities. The City's IT Committee can continue to serve as advisory in the capacity of a Chief Information Officer (CIO) supplemented by on-site support through NCOL in the range of 8-24 hours/week. The NCOL helpdesk would remain active.
- Telephone System Upgrade: Currently the city is using a telephone system where the hardware and/or software are no longer supported by the manufacturer. Service work is being performed by a retired telecommunications technician au gratis. The City is without ongoing technical support. The telephone system is a critical need for the City; Police recognized this weak link and migrated to a new telephone system 2 years ago.
- Budget consolidation city wide of IT services to the IT line item to be administered by the Committee as CIO.
- Replacement of 20% of the desktop/laptop computers annually to keep all departments current and eliminate the budget constraint of replacing them all at one time. Individual departments can purchase the computers from their budget but, base it on the computer standardization by the committee.
- Update of City's website, firewalls, virus protection, ransomware and viral threat education.

FY 18-19 Budget
GOVERNMENTAL FUNDS
10-496: GENERAL FUND DOWNTOWN DEVELOPMENT SUMMARY

	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services		\$ -	\$ -	\$ -	\$ -	\$ -	
Contributions	20,000	45,900	55,500	55,500	50,000	50,000	
Total Expenditures	\$20,000	\$ 45,900	\$ 55,500	\$ 55,500	\$ 50,000	\$ 50,000	\$ -



The Main Street Manager part time position is currently funded through the Henderson-Vance Downtown Development Commission to which we contribute.

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-496: GENERAL FUND DOWNTOWN DEVELOPMENT SUMMARY

PURPOSE

To promote, enhance, facilitate and encourage a vibrant, healthy and historically significant downtown historic central business district. To ensure the Downtown business district is being managed using the four-point approach of the Main Street program: organization, promotion, design and economic vitality and that this approach leads to community transformation. The Downtown Development Commission is a twenty-three (23) member group organized as a 501c3 corporation.

GOALS & OBJECTIVES

- Goal 1:** Recruit viable businesses to downtown Henderson
Objective: Develop a business recruitment plan that includes a list of businesses that can be successful in downtown Henderson based on demographic data and begin recruitment of those businesses.
- Goal 2:** Offer an incentive package to new downtown business owners.
Objective: Develop financial incentives that can be offered to start-up businesses in downtown Henderson.
- Goal 3:** Selection as a Downtown Associates city with the NC Main Street Center
Objective: Take steps to build an organization and accomplishments that will be enable us to be a viable and competitive candidate for the program.
- Goal 4:** Take steps to become a financially independent and self-supporting organization.
Objective: Explore ways and means to generate income for the organization that is not totally dependent upon municipal funds.

FY 18 ACCOMPLISHMENTS

Occupied 207 N. Garnett St. as primary office of the HVDDC and the NC Downtown Associate Community Program. Much of the renovation was accomplished through donations.

Acceptance into the NC Downtown Associate Community Program; participation is under the guidance of a contracted part-time Director.

Expanded the Board of directors to include additional representation by the County Commissioners.

HVDDC in partnership with the City is developing the outdoor amphitheater/pavilion.

Guidelines have been developed and adopted for the loaning of funds provided under a revolving USDA grant.

KEY BUDGET ISSUES

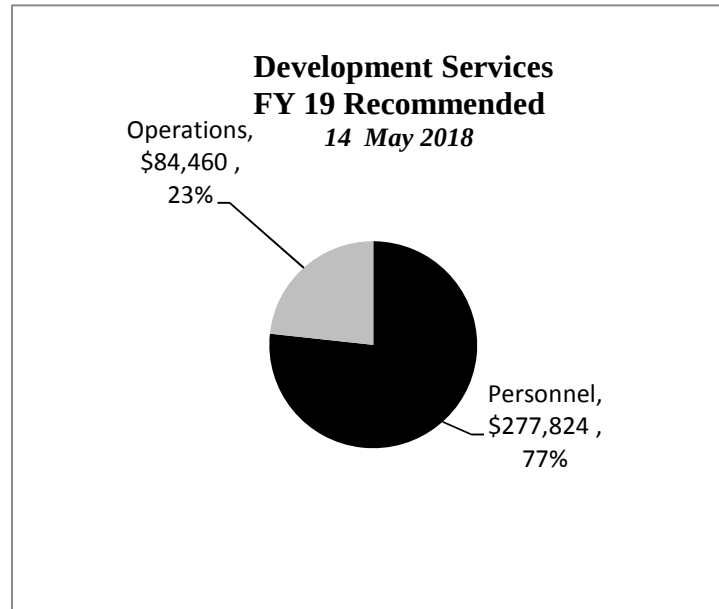
Facade Improvements: There are numerous buildings downtown in need of facade improvement to attract businesses and approve the overall appearance of downtown Henderson.

Incentive Package for new Businesses: Financial incentives available to new business owners will support the DDC's business recruitment efforts.

Funding for the Staff position: In order to be a viable candidate for the Downtown Associates Program, a part-time staff position is in place. There needs to be a more stable revenue structure for this position.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-498: GENERAL FUND DEVELOPMENT SERVICES

10-498: DEVELOPMENT SERVICES SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$218,317	\$225,202	\$256,250	\$262,101	\$276,489	\$277,824	
Operating	93,306	107,946	91,700	78,350	178,900	84,460	
Capital Outlay	-	-	-	-	-	-	-
Total Expenditures	\$311,623	\$333,148	\$347,950	\$340,451	\$455,389	\$362,284	\$-



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		<i>Board Members</i>					
15	15	Board of Adjustment Members					
10	10	Planning Board Members					
		<i>Authorized Funded Positions</i>					
1	1	Development Services Director	26	\$56,658	\$82,914		
1	1	Zoning Administrator	17	\$36,522	\$53,447		
1	1	Planner	17	\$36,522	\$53,447		
2	2	Code Compliance Inspector	15	\$33,126	\$48,477		
5	5	Total Funded					
		<i>Authorized Frozen Positions</i>					
0	0	Code Compliance Inspector		frozen			
0	0	Planning Technician		frozen			
0	0	Administrative Secretary		frozen			
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	5	4	4	5	5	5	
New & Unfrozen Requested	1	0	0	3	0	0	
Total Funded Positions	4	4	4	4 FT/ 1 PT	5	4 FT/1 PT	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-498: GENERAL FUND DEVELOPMENT SERVICES**

PURPOSE

Planning, Community Development & Zoning, along with Code Compliance operates under the Development Services Department. Planning, Zoning, and Community Development administers land use regulations for the City of Henderson. Code Compliance ensures that all neighborhoods and business areas are safe and decent by enforcing the Minimum Housing, Abandoned, Weeded Lot (Nuisances) ordinances and other applicable codes. Our overall objective is to promote smart growth, development and economic opportunity for the City and Extraterritorial Jurisdiction.

GOALS & OBJECTIVES

Goal 1: Create and Identify Community Development projects that will produce an Enforcement housing plan and potential infill housing development.

Objective 1: Identify neighborhoods where city and county vacant properties exist, evaluate the surrounding housing stock, determine if dwellings are deteriorated or dilapidated and create a neighborhood plan that can address needs (including infrastructure and housing) and potentially locate new housing developments.

Goal 2: Evaluate city neighborhoods to ensure habitable and safe housing stock.

Objective 1: With strategic planning and creating a periodic inspection/housing education program, the Code Compliance Department will continue to enforce the Minimum Housing Code and Abandoned Structure Code by evaluation of each dwelling within the neighborhoods and responding to complaints of substandard dwellings. The department, under the orders of the City Council, needs to remove the abandoned structures that are ready for demolition.

Goal 3: Assist Redevelopment Commission and the Downtown Development Commission in redevelopment of the downtown and adjacent areas.

Objective 1: In order to deal with blight and the lack of development, the City and others must officially define / establish a redevelopment zone and encourage / promote the rebuilding of these blighted areas.

Goal 4: Continue to amend the Extraterritorial Jurisdiction Boundary so property owners and developers can clearly know whether their property is within the city jurisdiction and to be consistent with property lines.

Objective 1: Finalize the new proposed boundary line with assistance of the Planning Board. There will need to be a series of Public Hearings with Planning Board and City Council.

FY 18 ACCOMPLISHMENTS

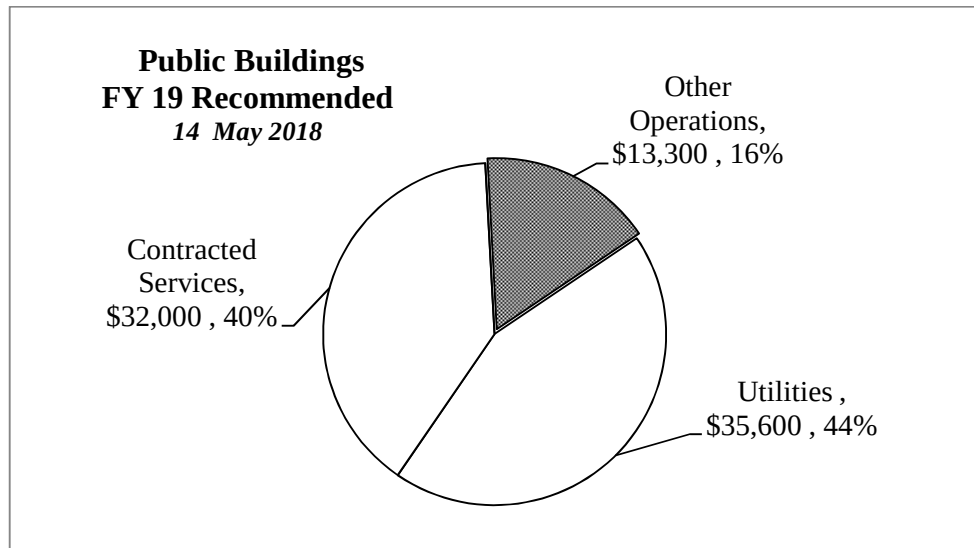
- Workshops have started with the Planning Board on amending the ETJ area and boundary. The Final amendment is expected to be completed by the fall of 2018.
- Purchased new software implementation that will create more effective and efficient permitting, enforcement notification and tracking capabilities.
- Demolition of 405 S. Garnett Street (Former Abagayle's Bookstore)
- Able to replace and hire Code Compliance Inspector.
- Board training for Planning Board and Board of Adjustment with School of Government and additional training with staff

KEY BUDGET ISSUES

- One full time position remains frozen and additional funding is available during the spring and summer.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-500: GENERAL FUND PUBLIC BUILDINGS & GROUNDS SUMMARY

10-500: PUBLIC BLDGS DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Operating	59,094	202,531	83,220	72,600	114,400	80,900	
Capital Outlay	-	-	-	-	-	-	
Transfer to Muncipal Bldg CIP	-	600,000	-	-	-	-	-
Total Expenditures	\$ 59,094	\$802,531	\$ 83,220	\$ 72,600	\$ 114,400	\$ 80,900	\$ -



NO AUTHORIZED PERSONNEL ASSIGNED TO THIS DEPARTMENT

FY 18-19

GOVERNMENTAL FUNDS

10-500: GENERAL FUND PUBLIC BUILDINGS & GROUNDS SUMMARY

PURPOSE

To provide funds on a centralized basis for general building maintenance at City Hall, Public Operations Center, First National Bank building and former Municipal Building 110 Young St. and associated insurance and utility costs for public buildings. City Hall administration is responsible for administering this budget.

GOALS & OBJECTIVES

- Goal:** Continue to make improvements to public buildings.
- Objective 1:** Increase worker productivity and safety through a better working environment.
- Objective 2:** Continue to improve the look and capability of public buildings and thereby encourage private redevelopment efforts, including promotion of the downtown district.

FY 18 ACCOMPLISHMENTS

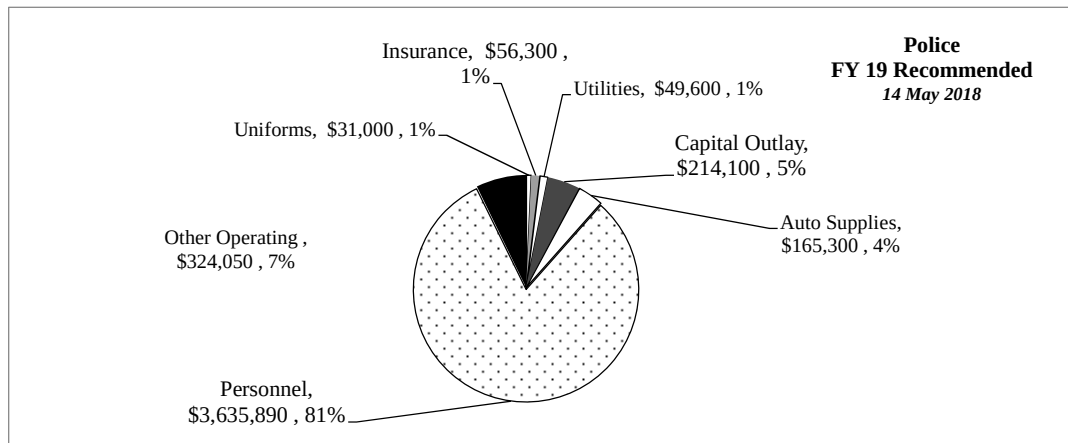
- Municipal Building (110 Young St.): renovation of the building's common area spaces and preparation of remaining space for tenant improvements
- City Hall: installed digital display systems at Council chambers, conference room #149 and lobby areas

KEY BUDGET ISSUES/REQUESTS

- Electric Door Lock System: Insufficient funds to install new electronic door lock system for the employee entrances which would aid in protection of access, tracking access by employees and better control of access to City Hall during non-work hours.
- Maintenance and upkeep: Insufficient funds for interior painting of City Hall.
- The Front Entrance: The front entrance to City Hall does not have ADA automatic door openers.
- Building security: Requires controlled access from the lobby area to the building corridors during normal working hours.

FY 18-19 BUDGET
GENERAL BUDGET
10-510: GENERAL FUND POLICE DEPARTMENT SUMMARY

10-510: POLICE DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 3,062,351	\$ 3,119,453	\$ 3,436,063	\$3,497,459	\$ 3,664,800	\$ 3,635,890	
Operating	\$ 557,950	\$ 688,199	736,180	737,270	820,800	626,250	
Capital Outlay	\$ 78,242	\$ 76,360	85,605	85,605	225,300	214,100	
Total Expenditures	\$ 3,698,543	\$ 3,884,012	\$ 4,257,848	\$4,320,334	\$ 4,710,900	\$ 4,476,240	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
Actual	Requested						
Sworn Law Enforcement Officers Full Time							
1	1	Chief of Police	PS 28	\$60,941	\$91,412		
0	1	Assistant Police Chief	PS 24	\$53,557	\$80,336		
2	2	Captain	PS 22	\$48,578	\$72,867		
9	6	Lieutenant	PS 21	\$46,265	\$69,398		
9	9	Sergeant	PS 20	\$44,062	\$66,093		
4	4	Senior Police Officer	PS 17	\$38,063	\$57,095		
11	9	Patrol Officer II	PS 16	\$36,250	\$54,375		
16	19	Patrol Officer I	PS 15	\$34,524	\$51,786		
52	51	Subtotal					
Administrative Full Time							
2	0	Administrative Support Specialist	11	\$26,588	\$39,882		
0	1	Executive Police Assistant	13	\$29,314	\$43,971		
1	1	Court Liasion	11	\$26,588	\$39,882		
3	2	Police Records Clerk	11	\$26,588	\$39,882		
1	1	Parking Enforcement	6	\$20,833	\$31,250		
7	5	Subtotal					
Part Time Employees							
1	1	Crime Analyst		\$15	\$15		
1	1	Assistant to Administrative Services		\$15	\$15		
1	1	Training Coordinator Officer		\$15	\$15		
1	1	Accrediation Manager		\$15	\$15		
1	1	Administrative Support Specialist		\$15	\$15		
1	1	R-DC/TAC		\$15	\$15		
				\$8	\$8		
6	6	Subtotal					
59 FT-6 PT	56 FT- 6 PT						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
AUTHORIZED	60 FT-14PT	60 FT-14 PT	59 FT-16 PT	59 FT-4 PT	56 FT-6 PT	56 FT- 6 PT	
NEW REQUESTS	0	0	0	0	0	0	
TOTAL FUNDED POSITIONS	60 FT-14 PT	60 FT-14 PT	59 FT-16 PT	59 FT-4 PT	56 FT- 6 PT	56 FT- 6 PT	

FY 18-19 BUDGET
GENERAL BUDGET

10-510: GENERAL FUND POLICE DEPARTMENT SUMMARY

PURPOSE

The prevention of crime, the protection of life and property, and the general preservation of the public peace.

GOALS AND OBJECTIVES

- GOAL 1:** Reduce the overall violent crime rate for Henderson and continue to reduce the overall Part 1 Crime Volume along the current ten (10) year trend.
- Objective 1:** Continue to use the Federal Court System to remove violent and habitual felons from the City.
- Objective 2:** Continue working closely with Recreation and Parks on juvenile criminal activity and community engagement.
- Objective 3:** Continue to engage community groups and organizations in cooperative programs designed to increase trust in the Police Department.
- Objective 4:** Work with the District Attorney's Office to establish a formal criminal deferment program and model.
-
- GOAL 2:** Implement 800 MHz Radio Replacement Plan
- Objective 1:** Full replacement of portable radios for our agency and begin phasing out mobile units.
- Objective 2:** Seek assisted funding through grants or other sources.
- Objective 3:** Conduct a comparison on various radios to find the most cost efficient source.
- Objective 4:** Place a repeater within the City limits to ensure public safety and continuous radio contact
-
- GOAL 3:** To reach and maintain full sworn officer staffing
- Objective 1:** To hire personnel to fill all existing allocated sworn positions.
- Objective 2:** Increase in-service training and training in the areas of supervision and command staff.
-
- GOAL 4:** Continue to seek resources to address needed CIP purchases
- Objective 1:** Continue the upgrades of agency technology and improve IT support.
- Objective 2:** Maintain the current level of operation, efficiency and expenditures of our individually assigned Police Department vehicle fleet program.

FY 18 ACCOMPLISHMENTS

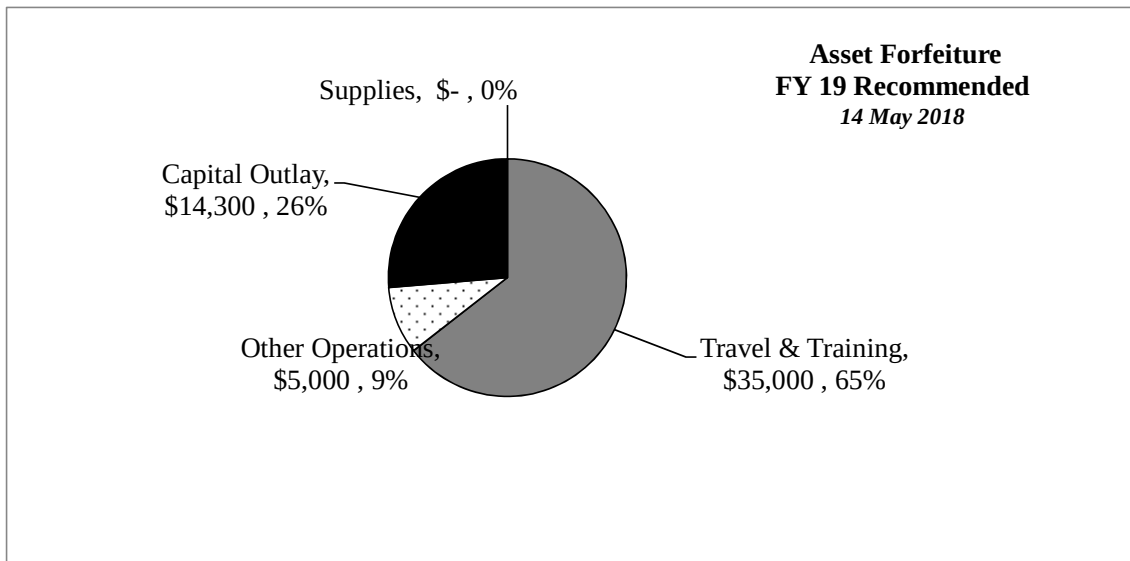
- The lowest overall Part 1 Crime Rate in the last thirty (30) years and consecutive lower rates since 2010.
- Purchase of a new Records Management System that will further lessen our dependency on paper and increase interoperability.
- Agency recognition by multiple community groups, schools and churches for department efforts.

KEY BUDGET ISSUES

- **Larger capital items:** Includes replacement vehicles and equipment using General Fund monies. We are approaching, this year, the necessity to replace our 800 MHz radios.
- **Maintenance:** There is and will be a need for an increase in the Maintenance and Repair Equipment line item for our aging fleet. Our building is starting to see some wear and tear with roof, windows, HVAC, masonry, and other items.
- **Technology:** Law Enforcement has taken huge steps in technology and it is imperative that we keep up with this trend. We will need a specialist in IT to be able to maintain equipment and communicate with various agencies. A more costly portion of this will be annual fees and data storage.
- **Training and Recruitment:** Due to several retirements, the agency will have several positions which require advanced training at the Command and Supervisory level. The agency will also be required to fill the vacancies left by these retirements. Even with the salary increases seen we are currently in a trend that is being experienced state wide. BLET classes have shrunk and interest in becoming a Law Enforcement Officer has decreased.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-512: GENERAL FUND POLICE –ASSET FORFEITURE SUMMARY

10-512: POLICE FED ASSET FORFEITURE DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Operating	41,889	9,602	66,035	66,035	-	40,000	
Capital Outlay	89,152	101,661	67,965	67,965	-	14,300	
Total Expenditures	\$ 131,041	\$ 111,263	\$ 134,000	\$ 134,000	\$ -	\$ 54,300	\$ -



No Personnel Assigned to this Department

FY 18-19 BUDGET
GOVERNMENTAL FUNDS

10-512: GENERAL FUND POLICE –ASSET FORFEITURE SUMMARY

PURPOSE

To provide resources that will expand the ability of the City to provide capital equipment, training and first year personnel.

GOALS & OBJECTIVES

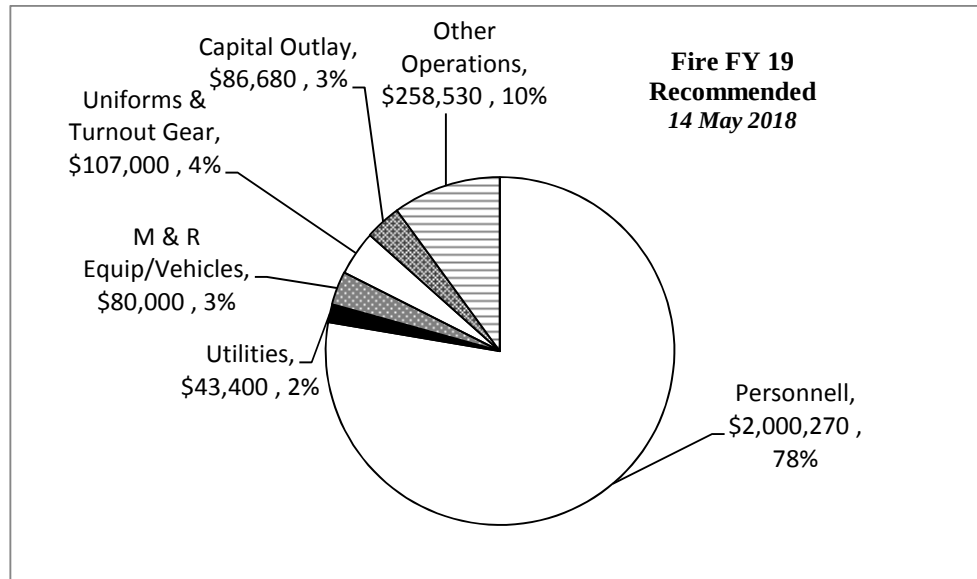
See Police Department on prior pages.

KEY BUDGET ISSUES

- **Use of Funds:** Funding levels of various accounts are consistent with the current availability of these funds as collected by the Police Department.
- **Rate of Seizure is Down:** Seizure funds continue to decrease which will have impacts on future budgets due to the effectiveness of intervention and enforcement efforts of the agency and the increase by criminals in the use of online and “electronic” fund transfers.
- **Asset Forfeiture Funds:** The Utilization of Asset Forfeiture funds is occurring at a pace faster than funds are being received. Eventually, these funds will no longer be available at the capacity they once were. The City will need to increase financial responsibility if maintaining the status and condition of the Police Department’s equipment and facility is a priority.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-530: GENERAL FUND FIRE DEPARTMENT SUMMARY

10-530: FIRE DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 1,681,403	\$ 1,828,523	\$ 1,933,260	\$ 1,932,100	\$ 2,256,200	\$ 2,000,270	
Operating	362,050	400,314	459,900	447,903	650,923	488,930	
Capital Outlay	42,863	57,513	2,500	2,500	165,970	86,680	
Total Expenditures	\$ 2,086,316	\$ 2,286,350	\$ 2,395,660	\$ 2,382,503	\$ 3,073,093	\$ 2,575,880	\$ -



	REQUESTED	AUTHORIZED POSITIONS					
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1	1	Fire Chief			PS 27	\$58,039	\$87,059
1	1	Assistant Fire Chief			PS 23	\$51,007	\$76,511
1	1	Battalion Chief/Fire Inspections/Training			PS 21	\$46,265	\$69,398
3	3	Battalion Chief			PS 21	\$46,265	\$69,398
1	1	Fire Captain/Fire Safety Educator			PS 18	\$39,966	\$59,949
6	7	Fire Captain			PS 18	\$39,966	\$59,949
6	7	Fire Engineer			PS 15	\$34,524	\$51,786
6	7	Senior Firefighter			PS 14	\$32,880	\$49,320
9	10	Firefighter			PS 13	\$31,314	\$46,971
34	38	Subtotal					
		Administration					
1	1	Administrative Support Specialist			11	\$27,253	\$39,882
1	1	Hydrant Maintenance Technician			8	\$22,968	\$34,452
36	40	Total Full Time					
		Part Time					
20	20	Part Time Firefighter				\$13	\$13
0	20	Part time/ Equipment Technician				\$15	\$15
36 FT - 20 PT	40 FT-20 PT						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 17-18
Authorized Positions	35 FT-11 PT	35 FT-12 PT	35 FT- 12 PT	36 FT-20 PT	40 FT-20 PT	36 FT- 20 PT	
New/Unfrozen			5 FT/ 8 PT	1 FT/ 8 PT	4 FT-20 PT	36 FT- 20 PT	
Total Funded Positions	35 FT-11 PT	35 FT-12 PT	35 FT- 12 PT	36 FT- 20 PT	40 FT-20 PT	36 FT- 20 PT	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-530: GENERAL FUND FIRE DEPARTMENT SUMMARY

PURPOSE

To prevent fires and fire hazards throughout the City, suppression and containment of fires, education and related initiatives in fire prevention, the provision of rescue and emergency medical services, and interpretation and enforcement of Chapter V of the State Fire Prevention Code.

GOALS & OBJECTIVES

- Goal 1:** Hire 12 firefighters (4 each for the next three years) to staff a “Third Fire Company” for fire suppression/prevention activities.
- Objective 1:** Secure approval and funding for sustaining the retention of this third fire company.
- Goal 2:** To continue to replace vehicles as they become unreliable for emergency service.
- Objective 1:** Replace 2 small vehicles by May of 2019.
- Goal 3:** Continue to seek resources to address needed Capital Improvement Project (CIP).
- Objective 1:** Secure funding for replacing our obsolete radios.
- Objective 2:** Conduct a fire study for the purpose of locating and building a third fire station.
- Goal 4:** To provide rapid and effective rescue operations in response to motor vehicle collisions, structural collapses and other entanglements.
- Objective 1:** Purchase electric cordless tools to replace our antiquated hydraulic rescue tools.
- Objective 2:** Purchase high angle equipment in order to meet the medium rescue standards.
- Goal 5:** Reduce acute and chronic exposure of firefighters to carcinogens and other harmful compounds associated with firefighter activities.
- Objective 1:** We must maintain a budget to provide two sets of Personnel Protection Equipment clothing for each firefighter.

FY 18 ACCOMPLISHMENTS

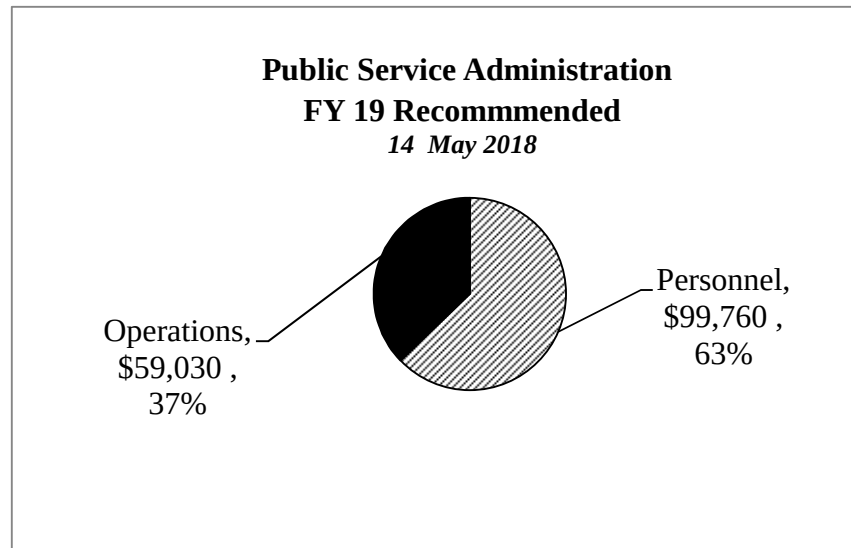
- The department performed a self-study during the previous 12 months preparing for an ISO visit. Our goal was to improve our rating from a class 4 to 3. Our goal was exceeded when we received a **Class 2 rating**.
- The city council has approved the funding for a new fire engine. We are currently in the planning and building stage and expect to take delivery of this new pumper during the summer of 2018.
- So far, we have provided 16 of our 32 full-time employees (firefighters) with two sets of PPE clothing. We must provide the remaining 16 with a second set.
- The department reached out to 15,148 participants in regard to public fire education. This was accomplished through home inspections, seminars and activities in the schools.
- 100 % of the required fire inspections were completed.
- Our personnel completed 9,751 man hours of fire/rescue, EMS and special training.

KEY BUDGET ISSUES

- Funding is needed to hire a Third Fire Company.
- Funding is needed to replace all our radios that have become unserviceable.
- Funding is needed for a Fire Service Study for the new Fire Station
- Funding needed to replace two vehicles that have already been taken out of service.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-545: GENERAL FUND PUBLIC WORKS ADMINISTRATION SUMMARY

10-545: PUBLIC SERVICES/ADMIN DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 79,233	\$ 86,096	\$ 93,200	\$ 93,850	\$ 99,800	\$ 99,760	
Operating	34,975	46,496	67,230	59,400	71,350	59,030	
Capital Outlay	3,641	2,000	-		-	-	
Total Expenditures	\$ 117,849	\$ 134,592	\$ 160,430	\$ 153,250	\$ 171,150	\$ 158,790	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Administrative Services Officer	17	\$34,593	\$47,519		
1	1	Administrative Support Specialist	11	\$25,814	\$38,722		
2	2						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	2	2	2	2	2	2	
New /Unfrozen Requests	0	0	0	0	0	0	
Total Funded Positions	2	2	2	2	2	2	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-545: GENERAL FUND PUBLIC WORKS ADMINISTRATION SUMMARY

PURPOSE

To provide for the overall fiscal and compliance management and support functions for the Cemetery, Sanitation, Garage, Street, Water Distribution, Sewer Collection and Sewer I&I Divisions.

This department manages the budget for the Operations and Service Center. Sixty (60%) percent of the total cost associated with the Operations Center is reimbursed by the Water and Sewer funds. Additionally, this office (as part of Sanitation Division Management) is charged with contract compliance responsibilities, and complaint resolution, for any contract or franchise agreements with private waste haulers or collectors operating within the city, including commercial/industrial bulk container collection and monitoring customer service.

GOALS & OBJECTIVES

Goal 1: Provide overall management of contracts and other fiscal matters.

Objective 1: Track spending, checking for compliance with contracts and customer service, and collecting and analyzing data to improve efficiency and track customer service issues.

Goal 2: Further development of graphs and other data relative to revenues.

Objective 1: Consistent monitoring of revenues to ensure budget projections are met.

Goal 3: Further enhance Storm Water Maintenance in conjunction with Operations Center Storm Water Permit.

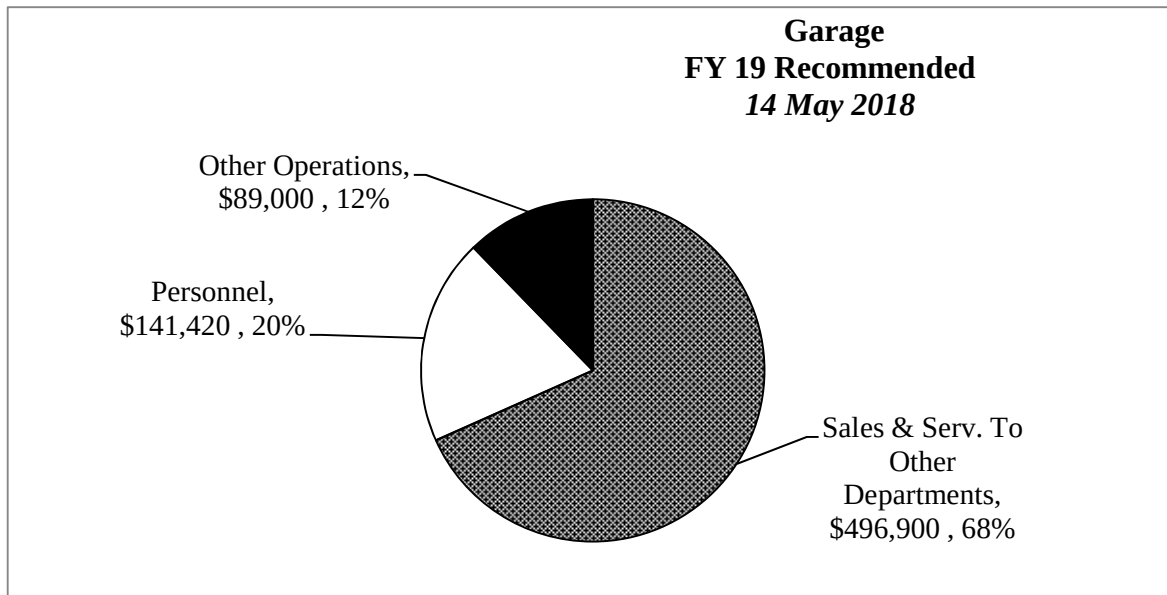
Objective 1: Complying with permit.

FY 18 ACCOMPLISHMENTS

- **Strengthened Safety** as it relates to correct PPE (personal protection equipment) and complying with various safety policies on the job site.
- **Monitored** preventative maintenance measures on equipment.
- **Worked in conjunction** with Customer Service in completing review of billing by Waste Industries resulting in savings and additional revenue for carts not being billed.
- **Continued to utilize more data** in tracking expenditures and monitoring contracts for compliance. As well as tracking expenses within all budgets of the Public Works Department.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-555: GENERAL FUND GARAGE SUMMARY

10-555: GARAGE DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 124,414	\$ 136,232	\$ 143,100	\$ 109,300	\$ 141,100	\$ 141,420	
Operating	82,702	40,974	63,900	91,500	104,100	89,000	
Sales & Services to other Depts.	365,157	380,996	534,710	444,500	593,400	496,900	
Capital Outlay	33,450	9,391	7,500	7,500	8,500	-	
Total Expenditures	\$605,723	\$ 567,593	\$ 749,210	\$ 652,800	\$ 847,100	\$ 727,320	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Fleet Service Technician	10	\$25,323	\$37,985		
1	1	Fleet Maintenance Mechanic	14	\$30,779	\$46,169		
1	1	Fleet Maintenance Supervisor	17	\$35,631	\$53,447		
0	0	Auto Mechanic		frozen			
		Part Time Employees					
0	0	Part Time					
3 FT/ 1 PT	3 FT/1PT						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	4 FT/ 1 PT	4 FT/1PT	4 FT/1PT	3FT	3 FT	3 FT	
New Requests	0	0	0	0	0	0	
Total Funded Positions	3 FT/ 1 PT	3 FT/1PT	3 FT/1PT	3 FT	3 FT	3 FT	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-555: GENERAL FUND GARAGE SUMMARY**

PURPOSE

To provide maintenance and repair services and dispense fuel, oil and other parts and supplies to the City's vehicle fleet.

Departmental expenses are "charged back" to the appropriate operations, included (for the most part) in the individual expenditure accounts of Maintenance and Repair – Equipment (5016-05), Maintenance and Repair – Auto Repair and Maintenance (5031-05) and Motor Fuels (5031-06). This has the effect of artificially increasing the size of the General Fund Reserves including the Garage.

GOALS & OBJECTIVES

- Goal 1:** Provide timely preventative maintenance to vehicles and equipment.
Objective 1: Documentation of time and materials associated with repairs and maintenance performed to reduce major repairs and extend the longevity of the equipment.
- Goal 2:** The installation of GPS tracking units by the Garage department.
Objective 1: Provide better tracking of City vehicles and verification of service.
- Goal 3:** Further development of reporting, record keeping and inventory control.
Objective 1: Consistent monitoring of daily work to ensure accurate monthly and yearly reports.

FY 18 ACCOMPLISHMENTS

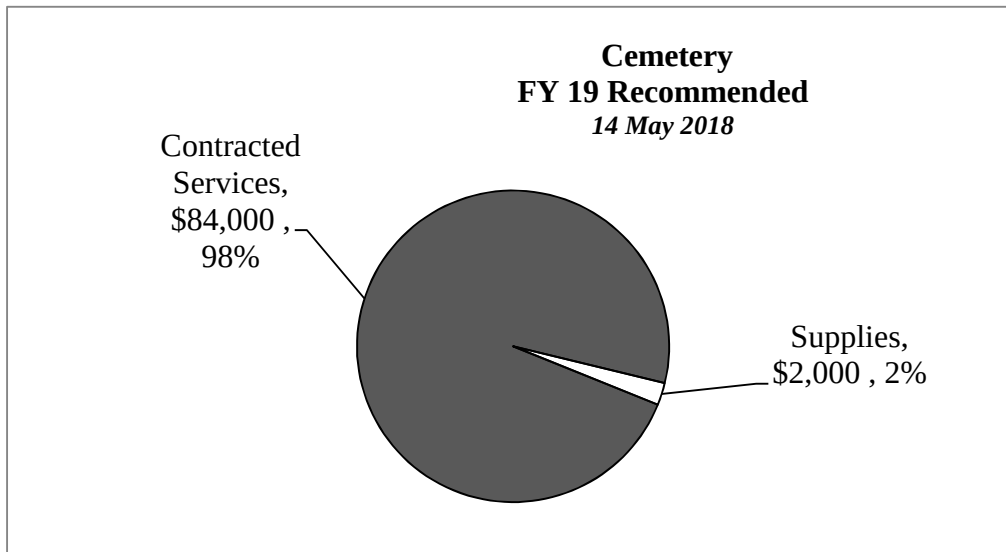
- **Preventative Maintenance:** Continued to improve preventative maintenance on equipment, which has helped reduce downtime and cost of repairing the equipment. This data is being analyzed on a consistent basis when considering equipment replacement needs and/or major repairs.
- **Snow Equipment:** Very instrumental in keeping our snow removal equipment going during the January 2018 snow event. At one point we had 3 of 6 snow plows down and our mechanics were able to get them repaired and back on route with minimum down time.
- **Leaf Equipment:** Continued maintenance and repair on our leaf machines lead to a safe and productive leaf season without need for an extension.

KEY BUDGET ISSUES

- **Motor Fuels Costs:** Unleaded and Diesel fuel costs remain volatile and unpredictable. The City tracks fuel cost with three different vendors to ensure we receive the best price.
- **Aging Fleet:** Maintenance and repair costs are increasing as the fleet ages, particularly in the General Fund.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-560: GENERAL FUND CEMETERY SUMMARY

10-560: CEMETERY DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Operating	86,065	98,438	94,800	94,800	124,800	86,000	-
Debt Service	-	-	-	-	-	-	-
Capital Outlay	-	-	-	-	-	-	-
Total Expenditures	\$86,065	\$98,438	\$ 94,800	\$ 94,800	\$ 124,800	\$ 86,000	\$ -



NO PERSONNEL ASSIGNED TO THIS DEPARTMENT

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-560: GENERAL FUND CEMETERY SUMMARY**

PURPOSE

To provide for the perpetual care and maintenance of Elmwood and Blacknall Cemeteries, as well as the coordination of funeral services and burials in Elmwood Cemetery.

GOALS & OBJECTIVES

Goal 1: Improve signage at the entrance of Elmwood Cemetery and having remote accessibility to cemetery records for citizens.

Objective 1: Further enhance the beauty of the cemetery as well as providing better accessibility for citizens searching for a deceased individual.

Goal 2: Continue improvement of the removal of trees which causes conflicts with the existing tombstones.

Objective 1: To avoid tombstones disturbance.

Goal 3: Work in conjunction with Engineering to improve the purchase and interment process.

Objective 1: To create a streamline process for citizens wishing to purchase plots.

FY 18 ACCOMPLISHMENTS

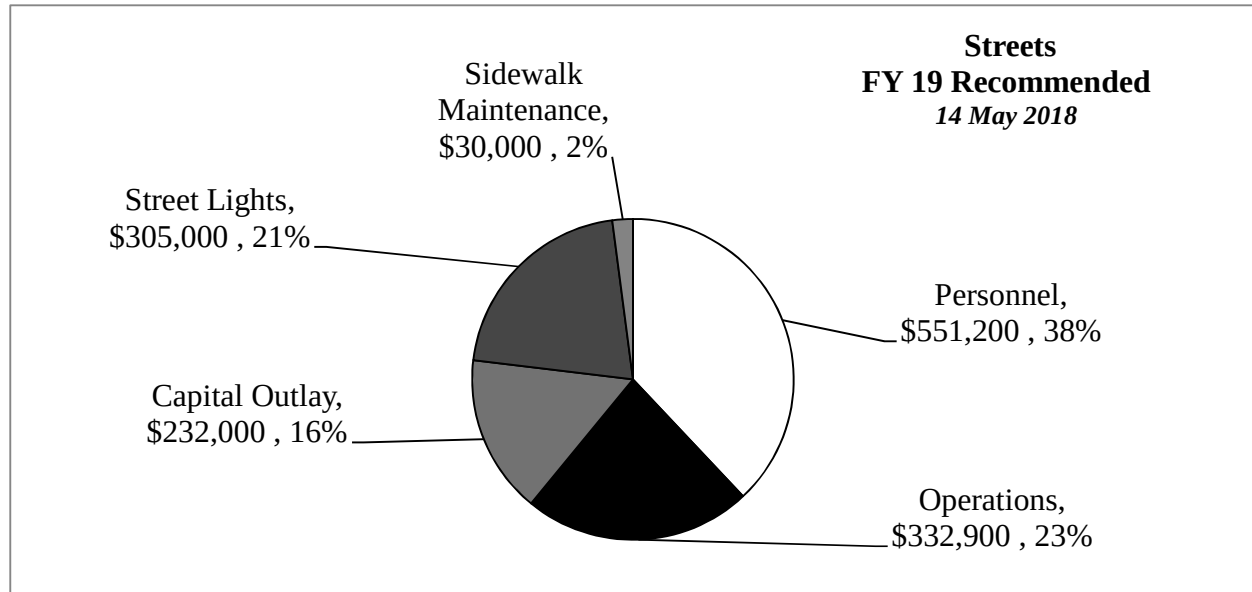
- Repaired and painted gates at the entrance of Elmwood Cemetery.

KEY BUDGET ISSUES

- Use of Cemetery funds to help with improvements made at the Cemetery.
- Funding for purchase of new software for internet and outside users for cemetery records.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-570: GENERAL FUND STREET SUMMARY

10-570: STREET DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 416,652	\$ 473,008	\$ 509,860	\$ 503,600	\$ 555,300	\$ 551,200	
Operating	583,166	730,398	874,200	871,100	718,500	667,900	
Capital Outlay	10,234	89,220	260,000	229,900	318,100	232,000	
Total Expenditures	\$ 1,010,052	\$ 1,292,626	\$ 1,644,060	\$ 1,604,600	\$ 1,591,900	\$ 1,451,100	



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
		Full Time					
1	1	Street Maintenance Supervisor			17	\$35,631	\$53,447
1	1	Public Works Supervisor			17	\$35,631	\$53,447
1	1	Street Maintenance Crew Leader			13	\$29,314	\$43,971
4	4	Senior Street Maintenance Worker			10	\$25,323	\$37,955
1	1	Street Sign Technician			9	\$24,116	\$36,174
5	5	Street Maintenance Worker			8	\$22,968	\$34,452
		Part Time					
1	1	Street Maintenance					
13 FT- 1 PT	13 FT-1 PT						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	13 FT-1 PT	13 FT - 1 PT	13 FT - 1 PT	13 FT - 1 PT	13 FT - 1 PT	13 FT - 1 PT	
New Requests	0	0	0	0	0	0	
Total Funded Positions	13 FT-1 PT	13 FT - 1 PT	13 FT - 1 PT	13 FT - 1 PT	13 FT - 1 PT	13 FT - 1 PT	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-570: GENERAL FUND STREET SUMMARY**

PURPOSE

To provide for the general maintenance of streets, curbs, gutters, sidewalks, storm drains and ditches throughout the city including snow removal as needed. The City has approximately 80 miles of City-maintained streets and 17 miles of State-maintained/owned roadways.

GOALS & OBJECTIVES

- Goal 1:** Provide further extensive training to all Street Division employees.
Objective 1: To ensure that employees perform their jobs in a safe and high quality manner to professional standards.
- Goal 2:** Identify a comprehensive list of needed storm drain repairs.
Objective 1: Ensure problems are prioritized so that the integrity of the streets are not compromised and remain safe for travel.
- Goal 3:** Identify and prioritize sidewalk repair/replacement projects.
Objective 1: To encourage pedestrian traffic by improving the appearance and safety of sidewalks.
- Goal 4:** Improve appearance of city streets.
Objective 1: To foster a sense of pride in the community as well as encourage citizens to maintain their homes and surroundings in a well-kept manner.

FY 18 ACCOMPLISHMENTS

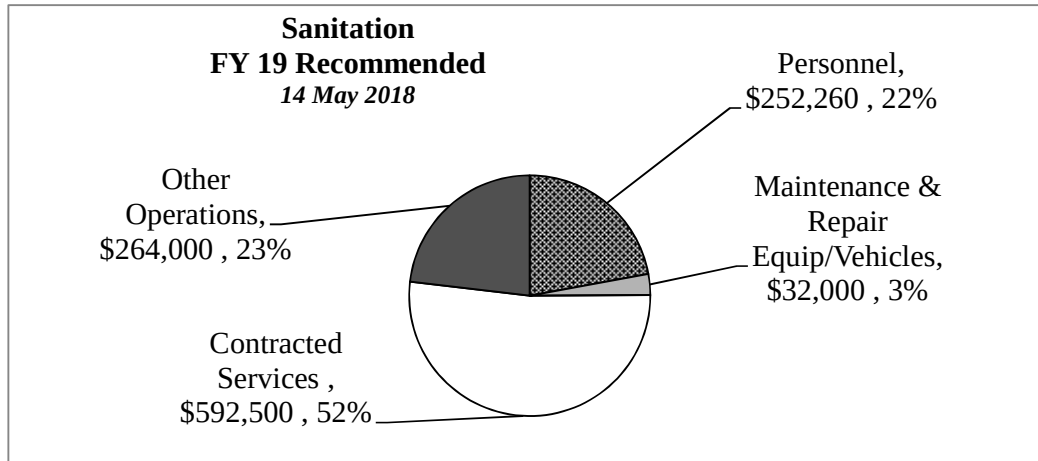
- **Sidewalk Repair:** The City is continuing to repair and replace broken sidewalks. The street department is prioritizing and preparing to replace more sidewalks in the coming months.
- **Storm Drainage Improvements:** City staff continues to clean and repair storm sewer and catch basins and has reworked numerous drainage ditches since July 2017.
- **Street Sweeper:** With the purchase of the new street sweeper we collected nearly 240 tons of debris off the streets from August 1 –January 31. This has made a drastic improvement to keeping our streets clean as well as keeping that debris out of our storm sewer system.
- **Street Resurfacing:** With help from the City Engineering Department we were able to resurface 15 of the City's streets with a \$400,000 budget.

KEY BUDGET ISSUES

- **Right-of-Way Mowing Equipment:** The equipment is aging, less reliable and repair costs are increasing. It is recommended to purchase a new tractor with flail mower attachment to keep the grass in the street right-of-ways cut.
- **Additional Personnel:** These positions would be responsible for picking up litter on City Streets to improve the appearance of the City overall; however, the full time positions are not included in this proposed budget; however, a small amount of part-time funds are included.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-580: GENERAL FUND SANITATION SUMMARY

10-580: SANITATION DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 210,678	\$ 217,844	\$ 238,400	\$ 241,300	\$ 249,600	\$ 252,260	
Operating	612,217	631,073	694,900	688,700	745,500	719,000	
Capital Outlay	176,306	1,725	-	-	397,500	169,500	
Total Expenditures	\$ 999,201	\$ 850,642	\$ 933,300	\$ 930,000	\$1,392,600	\$ 1,140,760	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
		Full Time Employees					
1	1	PublicWorks Supervisor			17	\$35,631	\$53,447
4	4	Solid Waste Equipment Operator			9	\$24,116	\$36,174
		Part Time Employees					
7	7	Seasonal, Leaf Crew			1		
5 FT/ 7 PT	5 FT/7 PT						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized d Positions	5 FT/ 6 PT	5 FT/6FT	5 FT/6FT	5 FT/ 7FT	5 FT/7FT	5 FT/7FT	
New Requests	0	0	0	0	0	0	
Total Funded Positions	5 FT/ 6 PT	5 FT/6FT	5 FT/6FT	5 FT/ 7FT	5 FT/7FT	5 FT/7FT	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-580: GENERAL FUND SANITATION SUMMARY**

PURPOSE

To provide solid waste collection and management for over 6,500 residential customers. This includes loose leaf collection (at curbside) during the fall and early winter months, recycling waste and the bulk item collection program.

GOALS & OBJECTIVES

Goal 1: Improve consistency of fleet by ensuring that each truck follows the same path every time they run a particular route.

Objective 1: Improved customer service and consistency with pick up times for citizens.

Goal 2: Improve Communication with citizens relative to garbage collection procedures.

Objective 1: Education of citizens to help with the efficiency of collection of yard debris and recyclables as well as items no longer allowed by state law such as electronics, collection times and to continue to improve the overall appearance of the city.

FY 18 ACCOMPLISHMENTS

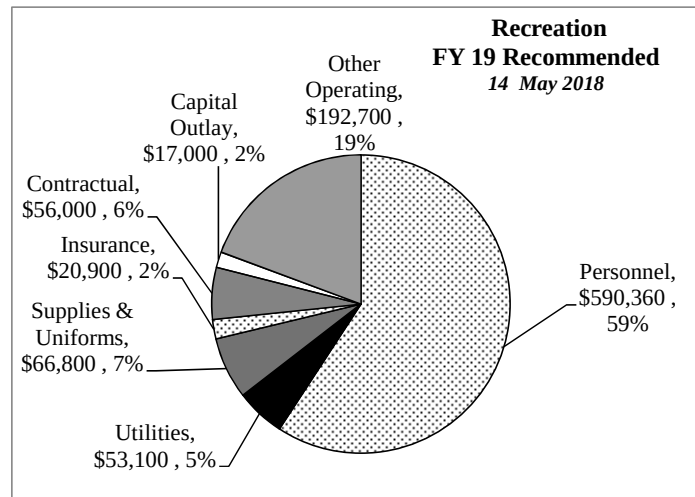
- **Leaf Collection:** Provided loose-leaf collection throughout the city in a timely. Collected 810 tons of leaves from October 15 – January 15.
- **Yard Debris and Recyclables:** Collected 483 tons of yard debris, 223 tons of garbage and 116 tons of recyclable material thru the first seven months of the year.
- **Reduced Customer Complaints:** Improved communication and productivity among sanitation division personnel. We continued to improve overall yard debris, recycling, and bulky waste pickup, in turn reducing customer complaints.
- **Audit:** Audit of existing charges and services provided by Waste Industries to ensure revenues and expenditures are in compliance. This is an ongoing process.

KEY BUDGET ISSUES

- **Contract Cost Increase:** The contract for Waste Industries includes a 3.15% increase based on the Consumer Price Index (excluding fuel) for sanitation.
- **Aging Fleet:** Existing sanitation fleet is getting older and needs to be replaced. We are requesting a new knuckle boom truck, garbage truck, leaf machine and pickup truck for the upcoming year.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-620: GENERAL FUND RECREATION SUMMARY

10-620: RECREATION DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 467,207	\$ 504,399	\$ 572,304	\$ 572,304	\$ 629,220	\$ 590,360	
Operating	292,261	\$ 281,723	398,310	400,319	532,000	389,500	
Capital Outlay	47,757	\$ 14,453	18,100	18,100	264,000	17,000	
Total Expenditures	\$ 807,225	\$ 800,575	\$ 988,714	\$ 990,723	\$ 1,425,220	\$ 996,860	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	Park & Recreations Director	26	\$56,658	\$82,914		
1	1	Recreation & Parks Program Supervisor	21	\$42,048	\$63,072		
1	1	Recreation Program Supervisor	17	\$31,679	\$47,519		
1	1	Parks Maintenance Supervisor	15	\$28,733	\$43,100		
1	1	Recreation & Parks Program Specialist	13	\$26,062	\$39,093		
	1	Administrative Support Specialist	11	\$23,639	\$35,459		
3	3	Maintenance Worker	8	\$20,420	\$30,630		
8	9	Total Funded					
		Authorized Frozen Positions					
0	0	Maintenance Worker	8	frozen	frozen		
0	0	Recreation Program Specialist	13	frozen	frozen		
8	9	Subtotal					
		Regular Part Time Employees					
11	11	Facility Supervisor - RPT					
1	1	Athletic Program Assistant - RPT					
16	11	Various Part-Time - TSPT					
1	1	Maintenance Assistant - RPT					
	5	Various Part-Time - RPT					
29	29	Subtotal					
9 FT - 29 PT	9FT- 29 PT						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	9 FT-24 PT	9 FT-24 PT	9 FT-24 PT	9 FT-29 PT	9 FT-29 PT	9 FT-29 PT	
New &/or Unfrozen Requested	0	0	0	0	2	1	
Total Funded Positions	9 FT-24 PT	9 FT-24 PT	9 FT-24 PT	9 FT-29 PT	11 FT-29 PT	10 FT-29 PT	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-620: GENERAL FUND RECREATION SUMMARY**

PURPOSE

To provide a variety of recreational opportunities for all segments of the community in addition to providing management oversight for the Youth Services/Community Service and Restitution Program. Staff support is also provided to (and policy direction is obtained from) the Recreation and Parks Commission. All costs are funded by the City of Henderson (55%) and Vance County (45%).

GOALS & OBJECTIVES

- Goal 1:** Begin to develop action plans to implement the recommendations outlined in the Comprehensive System-Wide Master Plan scheduled to be completed in December 2018.
- Objective 1:** Establish program and facility needs for the future.
- Goal 2:** Expand existing youth athletic programs and implement new youth and adult athletic programs.
- Objective 2:** Request funding to advertise/operate/reinstate the adult athletic programs that were previously cut from the budget, and funding to implement new youth athletic programs.
- Goal 3:** Provide increased maintenance and repair efforts at park and facilities.
- Objective 3:** Request funding to unfreeze a frozen maintenance worker position and increase funding for maintenance and repair efforts to help provide desired level of upkeep.

FY 18 ACCOMPLISHMENTS

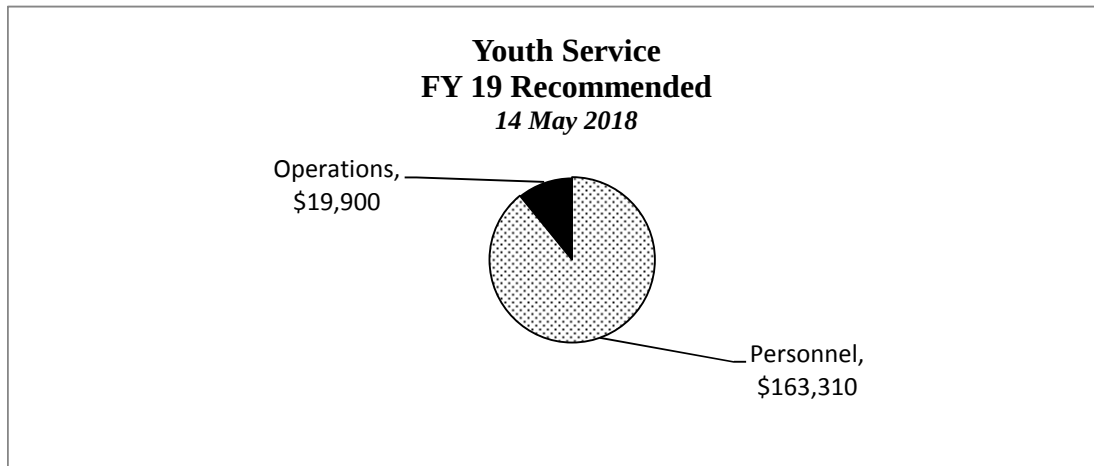
- Youth Athletic programs had a total of 997 participants ranging in age from 5-16 who participated in the sports of basketball, baseball, softball, soccer, football and volleyball. There were 414 games played and 1,032 practices for a total of 52,660 participant hours of activity. This resulted in 49,317 spectators attending youth athletic programs.
- Henderson Rec. Players - A drama program celebrating its 45th year of theater excellence. Henderson Rec Players held a Valentine's weekend fundraiser with three productions of "Comedy Cabaret", two of which were a dinner theater and one was a matinée, in which 284 people from the community enjoyed the show. "The Wizard of Oz" was performed in July 2017 at McGregor Hall with a cast and crew of 150 and about 2373 in attendance. "To Kill a Mockingbird" was performed in August 2017 at McGregor Hall with a cast and crew of 38 and 1052 in attendance.
- Continued Customer Service initiatives through departmental trainings for Part Time and Full Time Employees.
- Special Olympics – The Recreation Program Supervisor is the local coordinator for Special Olympics Vance County, which offers athletic opportunities for individuals ages 8 and older who suffer from intellectual disabilities. Fundraisers for 2017 included the Law Enforcement Torch Run, Cops on Top at Chick-fil-a, and our fifth annual Polar Plunge at Kerr Lake where 63 people jumped in the lake and \$2,920 was raised. A Medfest Event was held in Vance County at the Granville Vance Health Department. Medfest offered the physical exam that all athletes need prior to participating in Special Olympics Sports Programming. Exams and health assessments were free. Flu shots were available along with sports and yoga demos, corn hole, and music.
- Grant Funding, Carolina Panthers Challenger Flag Football – Department received a \$2,500 grant from the Carolina Panther Organization for participants with special needs. This is 8 week program that had 23 participants registered and participated.
- Opening Ceremony for all athletics programs while observing other city-county departments for their hard work for the citizens i.e. Police Department, City/County Fire Department and Public Service Department.
- Reclassified 3 positions to provide a more appropriate service to the citizens as well as assisting in retaining employees.

KEY BUDGET ISSUES

- Need Positions Unfrozen – Maintenance worker position is needed to provide for a full time employee at Fox Pond, and a Recreation Superintendent is needed to help provide better program supervision and organization of the Recreation Division.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-622: GENERAL FUND YOUTH SERVICES SUMMARY

10-622: YOUTH SERVICES DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Personnel Services	\$ 157,165	\$ 145,898	\$ 172,834	\$ 173,050	\$ 160,900	\$ 163,310	
Operating	5,604	6,777	7,700	7,700	22,800	19,900	
Total Expenditures	\$ 162,769	\$ 152,675	\$ 180,534	\$ 180,750	\$ 183,700	\$ 183,210	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Youth Services Outreach Specialist	21	\$43,309	\$64,964		
2	2	Youth Services Outreach Administrators	17	\$35,631	\$53,447		
3	3						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	4	3	3	3	3	3	
New Requests	0	0	0	0	0	0	
Total Funded Positions	4	3	3	3	3	3	

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS**

10-622: GENERAL FUND YOUTH SERVICES SUMMARY

PURPOSE

To provide the following array of services for referred youth to prevent and reduce juvenile crime and deter commitments to Youth Development Centers.

- Community Service/Restitution provides a means where adjudicated delinquents can demonstrate responsibility by completing Juvenile Court mandated community service/restitution hours at assigned work sites to compensate the community and/or victims of their offenses.
- Project Youth Outreach promotes interpersonal skills addressing conflict resolution, character education, informal counseling, bullying, school drop-out prevention, healthy choices and recreational outings for at risk school and Juvenile Court referred youth.
- Vance County Teen Court is a diversion program for first time juvenile offenders who admit responsibility for committing minor misdemeanor offenses. By complying with the sanctions of Teen Court imposed by a jury of their peers, juveniles bypass Juvenile Court and have no juvenile record.

GOALS & OBJECTIVES

- Goal 1:** Continue to offer Community Service/Restitution, Project Youth Outreach, and Teen Court for referred youth and their families in Vance County.
- Objective 1:** Submit program proposals to the NC Department of Public Safety – Division of Adult Correction and Juvenile Justice, Vance County and United Way of Vance County to secure funding to sustain services offered through Youth Services.
- Goal 2:** Serve Juvenile Court referred (top priority) youth at risk for delinquent and undisciplined behaviors through an array of services under Youth Services.
- Objective 1:** Give priority placement for juvenile court referrals through juvenile court counselors and program staff consensus and admit other at risk youth through school and law enforcement referrals
- Goal 3:** Enhance professional and personal development of staff.
- Objective 1:** Division staff will explore training options to obtain at least 40 hours of training for professional and personal development.

FY 18 ACCOMPLISHMENTS

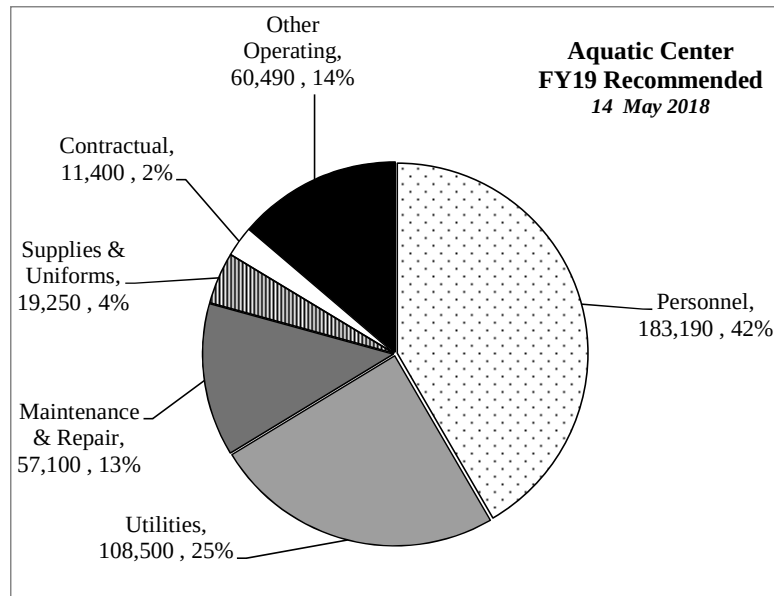
- Continued funding: Youth Services received funding by NC Department of Public Safety – Division of Adult Corrections and Juvenile Justice and Vance County for FY 2017-18 to offer Youth Services programs (Community Service/Restitution, Project Youth Outreach and Teen Court).
- Priority Placement Services were offered to top priority Juvenile Court referred youth and those at risk youth for delinquent and undisciplined behaviors.
- Training: All division staff exceeded the 40 hours of professional training for the year
- Youth Services Outreach Administrator, Gregory Kelly was re-nominated as President of the NC Teen Court Association for fiscal year 2017-18.
- Youth Services-Outreach Unit has taken on city-county wide outreach programs such as Tunnel Vision, Cornhole Fundraiser, and Peace Toys for War Toys Program.
- City-Wide Advisory Committee was established and will be overseen by Youth Services-Outreach Unit.

KEY BUDGET ISSUES

- State funds controlled by General Assembly and NC General Statute: 100% reimbursable by Vance County via State allocations and County's matching funds.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-623: GENERAL FUND AYCOCK AQUATICS CENTER SUMMARY

10-623: AYCOCK AQUATICS DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Personnel Services	\$ 163,397	\$ 185,452	\$ 179,200	\$ 178,900	\$ 202,801	\$ 183,190	
Operating	158,650	147,870	219,250	219,190	264,953	256,740	
Capital Outlay	-	21,000	-	-	-		
Total Expenditures	\$ 322,047	\$ 354,322	\$ 398,450	\$ 398,090	\$ 467,754	\$ 439,930	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Community Center Supervisor	17	\$36,522	\$53,447		
1	1	Aquatics Program Supervisor	17	\$36,522	\$53,447		
2	2	Subtotal					
		Regular Part Time					
1	1	Head Lifeguard					
1	1	Instructor					
8	8	Facility Supervisor					
6	6	Lifeguard					
16	16	Subtotal					
		Temporary Seasonal Part Time					
0	0	Facility Supervisors (TSPT)					
0	0	Lifeguard (TSPT)					
0	0	Subtotal					
2 FT-16 PT	2FT- 16 PT	Total					
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recomm ended FY 18-19	Approve d FY 18-19
Authorized Positions	2 FT-30 PT	2 FT-30 PT	2 FT-30 PT	2 FT-16 PT	2 FT-16 PT	2 FT-16 PT	
New Requests	0	0	0	0	0	0	
Total Funded Positions	2 FT-30 PT	2 FT-30 PT	2 FT-30 PT	2 FT-16 PT	2 FT-16PT	2 FT-16 PT	

FY 17-18 BUDGET
GOVERNMENTAL FUNDS

10-623: GENERAL FUND AYCOCK AQUATICS CENTER SUMMARY

PURPOSE

To provide a variety of educational, recreational and athletic programs including indoor swimming, indoor volleyball, indoor basketball, indoor walking track, multi-purpose rooms and restroom/dressing room facilities. This recreational facility is a joint City of Henderson-Vance County project that began in 1996 with the construction of the Aycock Multi-field Complex. The County pays 50% of the debt service and 45% of the operations cost.

GOALS & OBJECTIVES

- Goal 1:** Provide a safe environment for swimmers.
Objective 1: Conduct in-service training for Life Guards and meet all health department guidelines for swimming pool operation.
- Goal 2:** Reinstate the hours of operation and staffing levels for both the pool and the Center in general that have been reduced due to budget cuts in previous years, in order to give the citizens adequate access to the Center.
Objective 1: Request funding to operate and staff the Center at the level of operation established when it was originally opened, including morning hours, Saturday evenings, and Sunday afternoons. Since 2005 the Center hours of availability have been reduced by 18.5 hours, while the pool hours of availability have been reduced by 34.5 hours, resulting in less service and usage to the general public.
- Goal 3:** Expand the program base offered and increase participation in existing programs.
Objective 1: Continue to offer existing popular programs while researching and implementing new programs based on customer requests, as well as reviewing current programs to make improvements or adjustments as needed and increase program marketing and promotion.

FY 18 ACCOMPLISHMENTS

- Conducted annual “Cookies & Milk with Santa” with over 200+ participants.
- Conducted annual “Fall Festival” with over 623+ participants.
- Conducted annual “Egg Hunt” at two sites with over 260+ participants.
- Conducted Save Our Kids water safety program with 225 second graders from Carver, Pinkston, E.O. Young, Aycock, and Clarke Elementary schools to teach water safety and survival skills in the water.
- Facilitated CPR re-certification for 100% of lifeguard staff and Recreation professional staff.
- There with 7 swim teams Northern Vance, Southern Vance, Vance Aquatics, Bunn High School, Franklinton High school, Louisburg High School and Oxford Prep that was scheduled 226 times with 4,678 participants and 385 hours of use. High Schools Swim meets were scheduled 3 times with 452 swimmers, 17 teams and 13 hours of use.
- Swim groups were scheduled 75 times with 1,999 participants and 196 hours of use.
- New swim hours from 8am-10am Monday, Wednesday and Friday mornings. Open swim was used 115 times with 169 participants and 230 hours of use.
- Vance County Schools utilized the Aquatic Center 21 times with 470 participants and 32 hours of use for their reward system for reading goals winners.
- New Programs: F.I.T. (Fun Interval Training) and Zumba throughout the week at various times in a partnership with Vance County-Cooperative Extension Department for fitness programs.

KEY BUDGET ISSUES

- Reinstate hours of operation and staffing levels that have been cut due to prior year’s budget reductions. or allow for outside traditional hours for rentals at additional cost to provide services.
- Increase budget to provide more special events to the public.
- Need increased advertising funding to properly promote programs and services to the citizens.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-650: VANCE COUNTY SHARED PROGRAMS

10-650: VANCE COUNTY SHARED PROGRAM SUMMARY						
	Actual	Actual	Budget	Requested	Recommended	Approved
	15-16	16-17	17-18	18-19	18-19	18-19
Board of Elections	57,438	47,796	58,740	43,650	43,650	
Tax Office	149,882	148,759	171,770	176,180	176,180	
911	528,182	586,311	627,360	678,630	678,630	
NCDMV Tax & Fees	21,979	25,542	21,700	20,000	20,000	
Perry Memorial Library	187,400	187,400	187,400	197,400	197,400	
Total Expenditures	\$ 944,881	\$ 995,808	\$ 1,066,970	\$ 1,115,860	\$ 1,115,860	\$ -

PURPOSE

This budget is designed to account for the appropriation and transfer of funds directly from the City to Vance County and the Perry Memorial Library for jointly fund programs that benefit both the citizens of Vance County and the City of Henderson.

KEY BUDGET ISSUES

- **Tax Office:** 176,180 provides for the contract with Vance County to bill and collect city taxes. This figure is based on 25% of the budget that is managed by Vance County.
- **911 Emergency Services:** The City provides 50% of the funding of this County managed joint operation.
- **Perry Memorial Library:** \$197,400 is provided on a 75% County and 25% City financial sharing.
- **Board of Elections:** Provides 17% of the annual operating budget and 100% of City elections to Vance County.

FY 18-19 BUDGET

**GOVERNMENTAL FUNDS 10-660: GENERAL FUND NON-DEPARTMENT &
10-670: LOCAL AGENCIES SUMMARY**

10-660: NON-DEPARTMENTAL SUMMARY

	Actual 15-16	Actual 16-17	Budget 17-18	Recommended 18-19	Approved 18-19
Personnel Services	\$ 308,788	\$ 371,924	\$ 450,900	\$ 424,700	
Operating	40,584	785	14,615	23,000	
Transfers to other Accounts	99,410	132,846	107,200	239,540	
Economic Dev. Incentive	-	44,370	* 260,000	100,000	
Reserve	2,112	(1,229)	198,395	317,414	-
Total Expenditures	\$ 450,894	\$ 548,696	\$ 771,110	\$ 1,104,654	\$ -

* Includes one time incentive of \$200,000 paid to MAKO

PURPOSE

The purpose of the Non-Departmental Budget is to provide a system to account for items of a general nature that apply to all General Fund Departments, but which can not be easily assignable into specific cost components for particular operations.

The City's retiree insurance is budgeted in Non-Departmental and includes total cost City-wide. The cost for Enterprise Fund retiree insurance is made by a transfer from those funds to the General Fund. The 5% pay increase for General Fund employees is budgeted in Non-Departmental.

10-670: CONTRIBUTIONS TO LOCAL AGENCIES SUMMARY

	Actual 15-16	Actual 16-17	Budget 17-18	Requested 18-19	Recommended 18-19	Approved 18-19
Airport	\$28,750	\$ 28,750	\$28,750	\$ 28,750	\$ 28,750	
Crime Stoppers	600	600	600	1,000	800	
Boys & Girls Club	800	800	800	2,500	1,200	
Arts Council	300	300	300	1,500	500	
Bennett Perry House	-	-	800	800	800	
Total Expenditures	\$30,450	\$ 30,450	\$31,250	\$ 34,550	\$ 32,050	\$ -

PURPOSE

This budget is designed to account for the appropriation and transfer of funds directly from the City to various affiliated agencies. Each of these organizations/agencies supplement the services and programs provided by the City. Their funding meets the "public purpose" definition as outlined in the North Carolina General Statutes and their continuing eligibility is periodically reviewed by the City Attorney and/or an independent Auditor. Most are also supported, to some extent either by contractual arrangement with the City or through general practice, by Vance County.

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE SUMMARY

10-680: DEBT SERVICE SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	15-16	16-17	17-18	30-Jun-18	18-19	18-19	18-19
Debt Service Principal	\$ 647,016	\$ 404,970	\$ 410,370	\$ 410,370	\$ 563,705	\$ 563,710	
Debt Service Interest	79,043	58,008	30,734	34,122	34,122	34,122	
Lease Purchase Payment	52,134	31,127	31,130	-	-		
Total Expenditures	\$ 778,193	\$ 494,105	\$ 472,234	\$ 444,492	\$ 597,827	\$ 597,832	\$ -

The variance between the debt schedule and the presentation number is a combination of rounding up and the transfer from the General Fund to the Water Fund (\$97,200) for the General Fund's portion of the revenue bonds that were refunded in 2016. The bonds covered projects in the General, Water and Sewer Funds. The entire debt for this refunding is recorded in the Water Fund; therefore, the General Fund and the Sewer Fund transfer their portion of this debt to the Water Fund so that the debt payment can be made directly from the Water Fund.

Debt service comprised approximately 4.10% of the total General Fund expenditures. If the transfer out for the General Fund's portion of the revenue bonds is subtracted, that percentage is reduced to 3.53%.

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal payments; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

- **Police Station final debt** payment will be made in FY 2019.
- **The Ability to Support New Debt Service** in the General Fund is limited given the modest growth of the tax base.
- **Increase in debt service** is attributable to authorized equipment purchases and improvements to the fire station and former municipal building.

**FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE**

10: General Fund Debt Service Schedule												
Last Updated: April 2018												
Type of Debt		Actual	Scheduled							Six Year Total		
Revenue Bond: Funds	P/I	FY14-15	FY15-16	FY16-17	FY17-18	FY18-19	FY19-20	FY20-21	By Total	By Total		
10: Operations and Service Center--DS Payment - 40% General Fund (\$366,606)Outstanding Principal at \$916,516 (total project)	P	\$ 84,026	\$ 86,232	\$ 88,726	\$ 90,549	\$ 92,659	\$ 94,673	\$ -	\$	\$ 536,865	\$ 582,853	
	I	\$ 12,884	\$ 10,868	\$ 8,799	\$ 6,669	\$ 4,496	\$ 2,272	\$ -	\$	\$ 45,988		
Certificates of Participation												
Aycock Aquatics Center: 5.46% interest; issued 12/2000; (15 year) semi-annual interest payments, annual principal ending FY 2015-2016. Outstanding Principal \$0	P	\$ 264,266	\$ 264,266	\$ -	\$ -	\$ -	\$ -	\$ -	\$	\$ 264,266	\$ 278,695	
	I	\$ 28,858	\$ 14,429	\$ -	\$ -	\$ -	\$ -	\$ -	\$	\$ 14,429		
Embassy Block - Police Station: 4.84% interest; issued 1/18/02 (17 year) semi-annual interest payments, annual principal ending FY 2018-2019. Outstanding Principal \$985,000.	P	\$ 350,000	\$ 350,000	\$ 350,000	\$ 345,000	\$ 290,000	\$ -	\$ -	\$	\$ 1,335,000	\$ 1,492,058	
	I	\$ 81,554	\$ 64,614	\$ 47,674	\$ 30,734	\$ 14,036	\$ -	\$ -	\$	\$ 157,058		
Old Municipal Building: 2.25% interest (10 year) - annual principal and interest payments beginning FY19 and ending FY28. Total project \$676,727.10 increased to \$830,000	P	\$ -	\$ -	\$ -	\$ -	\$ 83,000	\$ 83,000	\$ 83,000	\$	\$ 166,203	\$ 203,020	
	I	\$ -	\$ -	\$ -	\$ -	\$ 20,086	\$ 18,078	\$ 16,069	\$	\$ 36,817		
Inter-Governmental Agreements												
City Hall: Created 2008; total project \$163,750; 0% interest; payments began FY12 and end FY 16. Outstanding Principal \$0. Financed by Vance Co.	P	\$ 32,750	\$ 32,750	\$ -	\$ -	\$ -	\$ -	\$ -	\$	\$ 32,750	\$ 32,750	
	I	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$	\$ -		
Lease-Purchase												
1 Ford Explorer and 2 Dodge Chargers (Police Dept) 14-15, 1.98% interest for 5 years, issued 10-10-14, annual payments ending FY 18-19. Outstanding Principal & Interest \$54,162.	\$	18,054	18,054	18,054	18,054	18,054	18,054	\$ -	\$		72,216	
2 Ford Explorers (Fire Dept) 14-15, 1.98% interest for 5 years, issued 10-10-14, annual payments ending FY 18-19. Outstanding Principal & Interest \$39,222.	\$	13,074	13,074	13,074	13,074	13,074	13,074	\$ -	\$		52,296	
1 Utility Spec. (Fire), 1 F250 (Rec.), 1 F250 (Garage), 1 Leaf (San.), 1 Garbage (San.) - 2.45% interest (5 year) issued FY17 ending FY21	\$	-	-	57,936	57,936	57,949	57,949	57,949	\$			
1 F250 (Fire) - 2.45% interest (5 year) issued FY17 ending FY21	\$	-	-	7,368	7,368	7,368	7,368	7,368	\$			
1 Fire Pumper Truck - 3.25% interest (20 year) issued FY19 ending FY38	\$	-	-	-	-	32,602	32,602	32,602	\$			
1 Street Sweeper Truck - 1.94% interest (5 year) issued FY19 ending FY23	\$	-	-	-	-	47,734	47,734	47,734	\$			
2 Police Dodge Chargers - 1.94% interest (5 year) issued FY19 ending FY23	\$	-	-	-	-	13,890	13,890	13,890	\$		289,747	
Long Term Principal	\$	731,042	733,248	438,726	435,549	465,659	177,673	83,000	\$	2,250,855		
Long Term Interest	\$	123,296	89,911	56,473	37,403	38,618	20,350	16,069	\$	242,755	\$ 2,493,610	
Total Long Term Debt Service:	\$	854,338	823,159	495,199	472,952	504,277	198,023	99,069	\$	2,493,610		
Total Lease Purchase (P & I) Debt Service:	\$	31,128	96,432	96,432	96,432	190,671	159,543	159,543	\$	605,334		
Total Fund Debt Service:	\$	885,466	854,287	591,631	569,384	694,948	357,566	258,612	\$	3,098,944	\$ 2,812,231	

FY 18-19 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE SUMMARY

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POWELL BILL

FY 18-19 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY

Key Fund Issues

There are several key issues facing the Powell Bill Fund that serve to impact not only FY19, but the next several fiscal years as well. A brief summary of these key issues is provided below:

- **Revenues are Flat and/or Declining** over time. Revenues fell during the Recession years of 2008—2010 and have flattened out but not recovered to previous levels. Revenues remain \$100,000 less per year than they were just seven years ago.
- **Powell Bill Allocation Formula** is based on three major factors as follows: 1) amount of State gasoline tax collected, 2) number of lane miles within a locality and 3) the locality's population.
- **Small annexations** will provide a small increase in population and lane miles.

Basic Fund Information

The Powell Bill fund is used as a transfer mechanism to properly account for revenues received from the State and expenditures incurred by the Street Division of the Public Works Department related to street, sidewalk and right-of-way maintenance, resurfacing and the purchase of equipment directly related to streets and right-of-ways authorized by "Powell Bill" legislation. In addition, funds are transferred from this fund on a monthly basis to the City's General Fund, 10-570: Street Powell Bill, related to maintenance of streets, sidewalks and right-of-ways.

Financial Summary

A financial summary of the Powell Bill fund is provided on the following page.

**FY 18-19 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY**

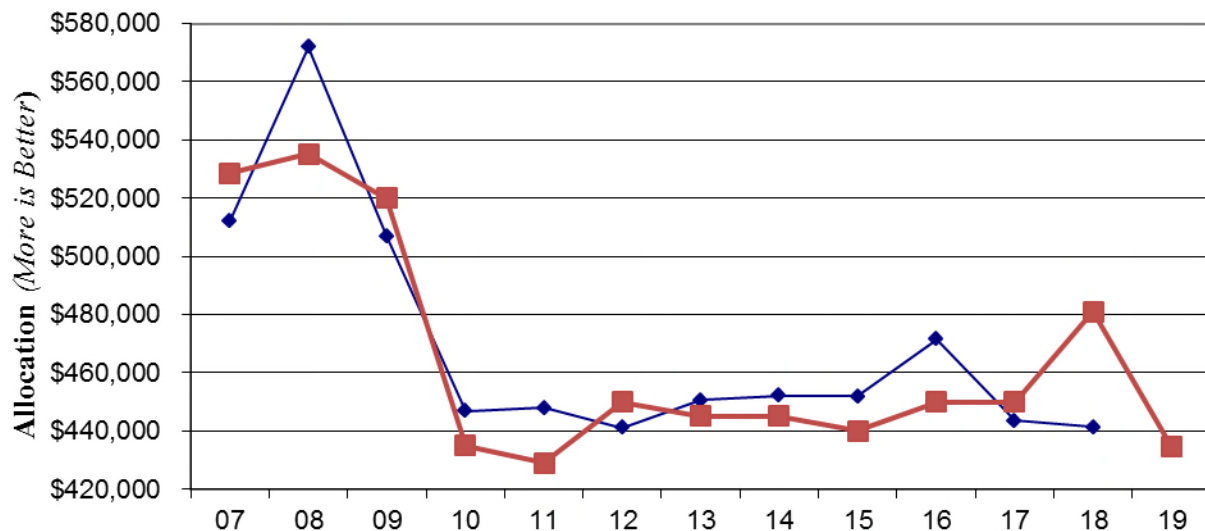
POWELL BILL OPERATING FUND SUMMARY									
11 POWELL BILL OPERATING FUND									
			FY16 Prior Year 447503	FY17 Prior Year Actual	FY18 Current Year as Amended	Estimated 30 June 17	Dept. Requested	Manager Recommend	Council Approved
Revenues	Code	Line Item							
Revenues	11-110-411-120	Powell Bill Allocation	\$ 447,503	\$ 440,005	\$ 441,000	\$ 441,000	\$ 434,780	\$ 434,780	
Revenues	11-110-444-010	Investments	\$ 1,679	\$ 3,505	\$ -	\$ -			
Revenues	11-110-491-100	Fund Balance Appropriated	\$ -	\$ -					
Revenues	11-990-490-999	Fund Balance Appropriated	\$ -	\$ -	\$ 40,000	\$ 40,000	\$ 200,000	\$ 200,000	
Revenues	11-110-461-042	Trans from 42: CIP Powell Bill	\$ 22,465	\$ -			\$ -	\$ -	\$ -
Total Revenues			\$ 471,647	\$ 443,510	\$ 481,000	\$ 481,000	\$ 634,780	\$ 634,780	\$ -
Expenditures									
Non-Dept.	11-690-561-042	Transfer to 42: CIP Powell Bill	\$ -	\$ -	\$ -	\$ -	\$ 200,000	\$ 200,000	\$ -
Non-Dept.	11-690-561-090	Transfer to 90: A. L. Harris Grant	\$ -	\$ -			\$ -	\$ -	\$ -
Non-Dept.	11-690-561-010	Transfer to 10: General Fund	\$ 248,531	\$ 289,786	\$ 481,000	\$ 481,000	\$ 434,780	\$ 434,780	
Total Expenditures			\$ 248,531	\$ 289,786	\$ 481,000	\$ 481,000	\$ 634,780	\$ 634,780	\$ -

Key Powell Bill Fund Financial Metrics

Budget projections estimates a decrease in allocations in FY 2019; however, some fund balance was used in FY 18

Powell Bill Allocation

—◆— Actual —■— Budgeted



FY 18-19 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY

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WATER FUND

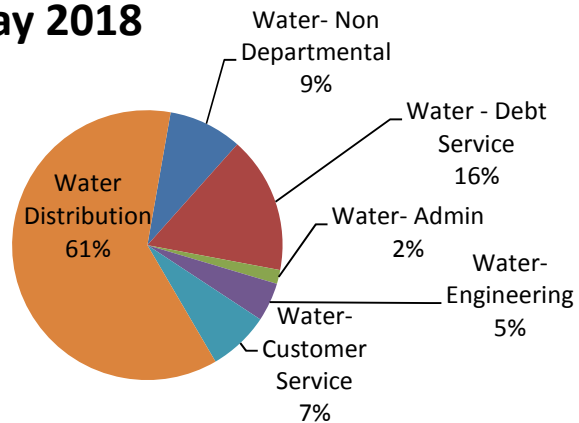
WATER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Administration
4. Engineering
5. Customer Service
6. Distribution System

WATER FUND SUMMARY

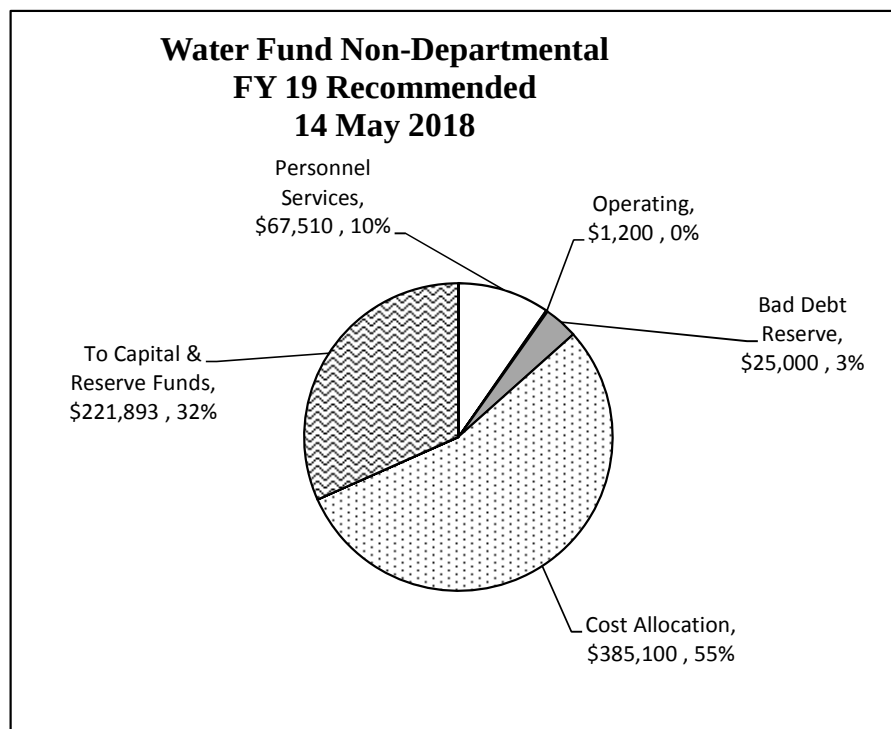
DEPARTMENT	2018 Council Amended Budget	2019 Department Requested Budget	2019 Manager Recommended Budget	% Increase or Decrease
Water- Non Departmental	\$ 520,010	\$ 446,060	\$ 700,703	37.98%
Water - Debt Service	\$ 1,244,675	\$ 1,256,451	\$ 1,303,832	4.75%
Water- Admin	\$ 90,800	\$ 133,550	\$ 132,900	47.47%
Water- Engineering	\$ 324,700	\$ 378,675	\$ 370,010	16.79%
Water- Customer Service	\$ 556,020	\$ 577,900	\$ 579,600	2.44%
Water Distribution	\$ 4,565,330	\$ 4,857,459	\$ 4,870,730	6.12%
Total Water Fund	\$ 7,301,535	\$ 7,650,095	\$ 7,957,775	8.87%

WATER FUND BY DEPARTMENT FY 19 Recommended 14 May 2018



**FY 18-19 BUDGET
ENTERPRISE FUNDS
30-660: WATER FUND NON-DEPARTMENTAL**

30-660: NON-DEPARTMENTAL SUMMARY						
	Actual 15-16	Actual 16-17	Budget 17-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 22,911	\$ 21,115	\$ 38,058	\$ 23,120	\$ 67,510	
Operating	7,192	18,622	4,597	1,200	1,200	
Bad Debt Reserve	-	-	50,000	50,000	25,000	
To CIP Water Fund			55,615			
To Cost Allocation	361,300	361,300	366,740	366,740	385,100	
To Rate Stabilization						
To Capital & Reserve Funds		5,000	5,000	5,000	221,893	-
Total Expenditures	\$ 391,403	\$ 406,037	\$ 520,010	\$ 446,060	\$ 700,703	\$ -



The Non-Departmental Budget group was established for this fund, as well as others, during FY 11-12 in order to better account for inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures, such as retiree health insurance and reserves for incumbent liabilities for accrued vacation and compensatory time, are accounted for in this budget department. Additionally, the Fund's share of the recommended Pay & Classification Study is included in this budget.

The largest expenditure center for the non-departmental budget is the inter-fund transfer. The transfer provides for "sending" money from Sewer Fund to the Capital Reserve and CIP funds as well as to the General and Water funds for cost allocation.

FY 18-19 BUDGET
ENTERPRISE FUNDS
30-680: WATER FUND DEBT SERVICE

30-680: DEBT SERVICE SUMMARY						
	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Long-Term Debt Service- P&I	\$ 98,122	\$ 1,220,575	\$ 1,250,335	\$ 1,203,869	\$ 1,251,250	
Lease Purchase Debt Service- P&I	719	24,100	-	52,582	52,582	
Total Expenditures	\$ 98,841	\$ 1,244,675	\$ 1,250,335	\$ 1,256,451	\$ 1,303,832	\$ -

Debt Service comprises approximately 17.10% of the total fund budget. If the transfers in for the General and Sewer Funds' portion of the debt is subtracted, that percentage is reduced to 3.04%.

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

- During FY 2020, the City will retire the Revenue Bonds, thus 'freeing' approximately \$512,000 for re-appropriation. This windfall offers the City a wonderful opportunity to re-invest in the water system infrastructure for replacement of old lines and provide for new extensions within the City's un-served utility service area as well as pay for needed capital equipment.

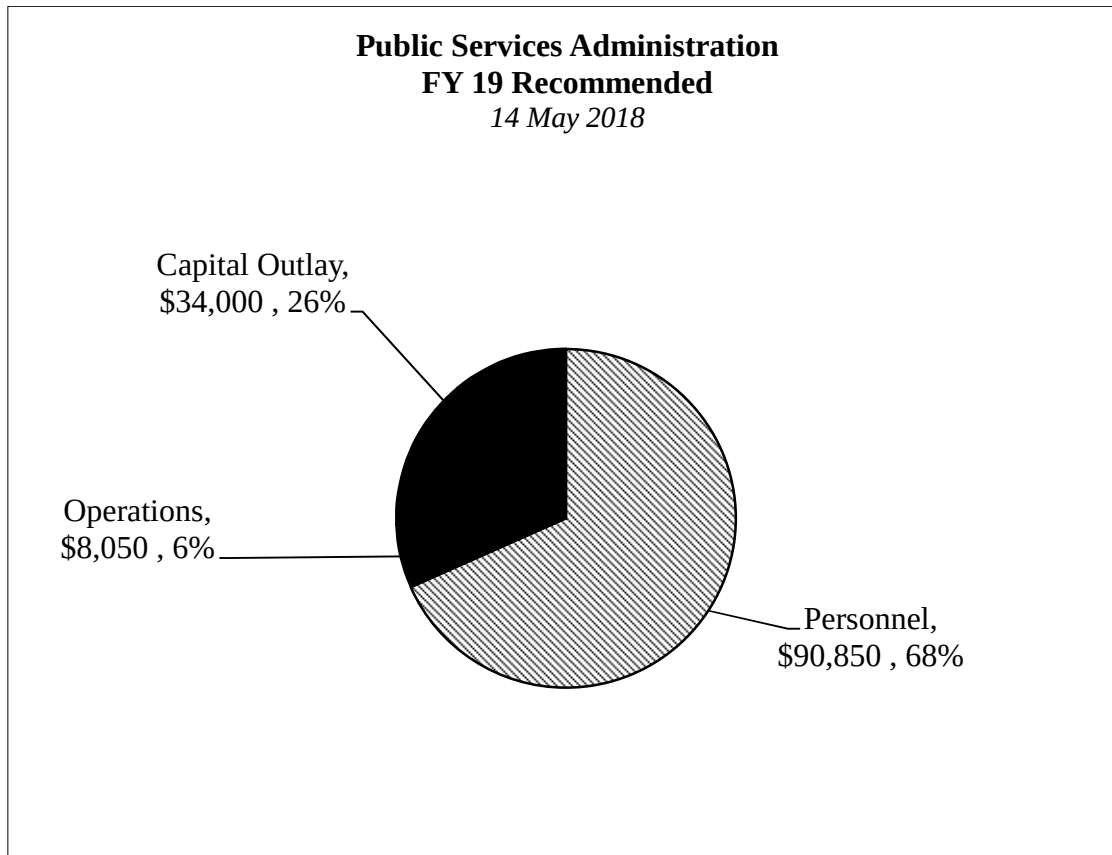
A variance between the summary and the City's debt schedule is a combination of rounding up and the transfers in from the General Fund (\$97,220) and Sewer Fund (\$328,991) for those funds' portion of the revenue bonds that were refunded in 2011 and other shared debt service payments. The bonds covered projects in both funds. The entire debt for this refunding is recorded in the Water Fund; therefore, the debt payment is made directly from the Water Fund

**FY 18-19 BUDGET
ENTERPRISE FUNDS
30-680: WATER FUND DEBT SERVICE**

30: Water Fund Debt Service Schedule																				
Last Updated: April 2018																				
30: Water Fund			Actual	Scheduled							Six Year Total									
	P / I	FY 14-15	FY 15-16	FY 16-17	FY 17-18	FY 18-19	FY 19-20	FY 20-21		By P & I	By Total									
Revenue Bond: Funds 10, 30 & 31	P	\$	381,586	\$	391,604	\$	402,930	\$	411,207	\$	420,789	\$	429,937	\$	-	\$	2,438,053	\$	2,646,900	
	I	\$	58,513	\$	49,356	\$	39,957	\$	30,286	\$	20,417	\$	10,318	\$	-	\$	208,847			
	P	\$	63,019	\$	64,674	\$	66,545	\$	67,911	\$	69,494	\$	71,005	\$	-	\$	402,648	\$	437,140	
	I	\$	9,664	\$	8,151	\$	6,599	\$	5,002	\$	3,372	\$	1,704	\$	-	\$	34,492			
State Revolving Loan																				
Overhead Storage Tank-Water Share: 3.43% interest; issued 4/1/98 (20 year)/semi annual interest payments, annual principal ending FY 2016-2017. Outstanding Principal \$42,098	P	\$	42,098	\$	42,098	\$	42,098	\$	-	\$	-	\$	-	\$	-	\$	126,294	\$	134,958	
	I	\$	4,332	\$	2,888	\$	1,444	\$	-	\$	-	\$	-	\$	-	\$	8,664			
	P	\$	-	\$	94,929	\$	88,220	\$	91,574	\$	91,574	\$	91,574	\$	91,574	\$	569,574	\$	569,574	
	I	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-			
2" Water Line Replacement: \$1,898,571 Zero % interest, 20 years, beginning FY16 and ending FY35 (Res 12-62 & Ord 12-50); Outstanding Principal \$1,803,642.	P	\$	14,697	\$	14,697	\$	14,697	\$	14,697	\$	14,697	\$	14,697	\$	14,697	\$	88,182	\$	88,182	
	I	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-			
	P	\$	-	\$	-	\$	-	\$	83,516	\$	83,516	\$	83,516	\$	83,516	\$	334,064	\$	334,064	
	I	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-			
Radio Read Meters: \$293,928; issued July 2012; 20 years at Zero % interest; Beginning FY15 and ending FY34 (Res 12-63 and Ord 12-51); Outstanding principal \$264,535.																				
Young Ave. Water Main - 0% interest (20yr) Beg. FY 18 ending FY 38 - total project \$1,548,000.	P	\$	-	\$	-	\$	-	\$	83,516	\$	83,516	\$	83,516	\$	83,516	\$	334,064	\$	334,064	
	I	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-			
Inter-Governmental Agreement																				
Warren County District II Water Line: Financed by Warren County annual payments ending FY 2041-2042 (40 years) Outstanding Principal \$149,653	P	\$	2,555	\$	3,140	\$	3,268	\$	3,402	\$	3,540	\$	3,685	\$	3,835	\$	20,870	\$	55,500	
	I	\$	7,801	\$	6,110	\$	5,982	\$	5,848	\$	5,710	\$	5,565	\$	5,415	\$	34,630			
Lease-Purchase																				
Pick-up truck (Water Dist): 12-13, 1.527% issued FY 2013 (3 years) annual payments ending FY 15-16 . Outstanding Principal & Interest \$0.		\$	10,307	\$	10,307	\$	-	\$	-	\$	-	\$	-	\$	-	\$	-	\$	10,307	
Backhoe (Water Dist): 12-13, 1.527%, issued FY 2013 (5 years) annual payments ending FY 17-18 . Outstanding Principal & Interest \$48,128.		\$	24,064	\$	24,064	\$	24,064	\$	24,064	\$	-	\$	-	\$	-	\$	-	\$	72,193	
Freightliner Sewer Cleaner truck with 20% coming out of the Water Fund: FY 15-16, 2.45% interest (5 years). issued 2-23-16, annual payments ending FY 21-22. Outstanding Principal & Interest \$56,176		\$	-	\$	14,044	\$	14,044	\$	14,044	\$	14,044	\$	14,044	\$	-	\$	-	\$	70,220	
Dump truck - FY 18-19 2.25% interest (5yr) - annual payments ending FY 22-23. P&I \$65,000.		\$	-	\$	-	\$	-	\$	-	\$	17,126	\$	17,126	\$	17,126	\$	-	\$	41,673	
Mini excavator - FY 18-19 2.25% interest (5yr) - annual payments ending FY 22-23. P&I \$80,000.		\$	-	\$	-	\$	-	\$	-	\$	13,316	\$	13,316	\$	13,316	\$	-	\$	51,900	
Long Term Principal: Long Term Interest: Total Long Term Debt Service:		\$	503,955	\$	611,142	\$	617,758	\$	672,307	\$	683,610	\$	694,414	\$	193,622	\$	3,279,231			
		\$	80,310	\$	66,505	\$	53,982	\$	41,136	\$	29,499	\$	17,587	\$	5,415	\$	208,709	\$	3,487,940	
		\$	584,265	\$	677,647	\$	671,740	\$	713,443	\$	713,109	\$	712,001	\$	199,037	\$	3,487,940			
		\$	34,371	\$	48,415	\$	38,108	\$	38,108	\$	44,486	\$	44,486	\$	30,442	\$	-	\$	213,604	
Total Lease Purchase (P & I) Debt Service:			\$	618,636	\$	726,062	\$	709,848	\$	751,551	\$	757,595	\$	756,487	\$	229,479	\$	3,701,544	\$	3,701,544

FY 18-19 BUDGET
ENTERPRISE FUNDS
30-715: WATER FUND ADMINISTRATION

30-715: WATER ADMINISTRATION FUND SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 88,892	\$ 45,848	\$ 81,900	\$ 87,650	\$ 89,900	\$ 90,850	
Operating	6,565	3,825	8,900	7,250	9,650	8,050	
Capital Outlay	-	-	-	-	34,000	34,000	-
Total Expenditures	\$ 95,457	\$ 49,673	\$ 90,800	\$ 94,900	\$ 133,550	\$ 132,900	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1	1	Public Works Director			28	\$59,166	\$88,750
1	1						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	1	1	1	1	1	1	
New Requests	0	0	0	0	0	0	
Total Funded Positions	1	1	1	1	1	1	

PURPOSE

To provide overall leadership and supervision of the Public Works Department including Cemetery, Sanitation, Garage, Street, Water Distribution, Sewer Collection and Sewer I&I Divisions. To provide reliable and dependable services to the citizens of Henderson.

GOALS & OBJECTIVES

- Goal 1:** Evaluating existing services and providing improvements and changes as needed.
Objective 1: To provide the best service in a safe and cost effective manner.
- Goal 2:** To ensure a well trained work force.
Objective 1: Continued implementation of Career Development Plan.
Objective 2: Attend schools and seminars for future education to stay abreast of rules and regulations in the Public Works field.

FY 18 ACCOMPLISHMENTS

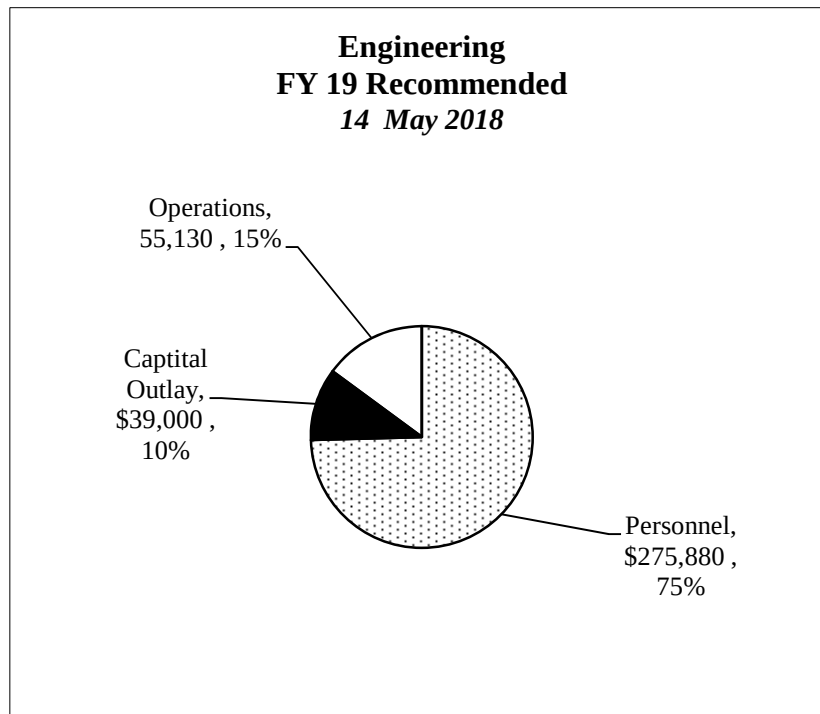
- **Staff Roles:** Instituted expectations for each department and implemented changes to fulfill those expectations.
- **Training:** Provided training in safety measures as well as performance measures so that we are more streamlined and efficient in our tasks. Staff is excited about pursuing new and innovative training to make them better prepared and more efficient.
- **Snow Removal:** We have streamlined our snow removal to be more efficient and better prepared to handle snow events as they occur.

KEY BUDGET ISSUES

- **Personnel:** Competing with surrounding employers to hire and retain a qualified work force.

FY 18-19 BUDGET
ENTERPRISE FUNDS
30-720: WATER FUND ENGINEERING

30-720: ENGINEERING DEPARTMENT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 202,879	\$ 193,872	\$ 265,600	\$ 233,100	\$ 276,690	\$ 275,880	
Operating	30,165	38,030	56,700	49,700	61,285	55,130	
Capital Outlay	-	712	2,400	2,400	40,700	39,000	
Total Expenditures	\$ 233,044	\$ 232,614	\$ 324,700	\$ 285,200	\$ 378,675	\$ 370,010	\$ -



<u>AUTHORIZED POSITIONS</u>							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	City Engineer	28	\$59,166	\$88,750		
1	1	Engineering Technician	18	\$36,323	\$54,485		
1	1	Engineering Construction/Inspector	18	\$36,323	\$54,485		
1	1	GIS Technician	17	\$34,593	\$51,890		
		<i>Part Time (TSPT)</i>					
1	1	Intern to assist with Data Entry(TSPT)					
4 FT/ 1 PT	4FT/ 1 PT						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	5	4 FT/ 1 PT	4 FT/ 1 PT	4 FT/1PT	4 FT/1PT	4 FT/1PT	
Frozen Positions	1	1	1	1	1	1	
New Requests	1	1	1	1	0	0	
Total Funded Positions	4	4 FT/ 1 PT	4 FT/ 1 PT	4 FT/1PT	4 FT/1PT	4 FT/1PT	

**FY 18-19 BUDGET
ENTERPRISE FUNDS
30-720: WATER FUND ENGINEERING**

PURPOSE

To provide overall engineering design, as well as planning, project management and inspection services to utility (water distribution, sewer collections, streets, stormwater, wastewater and water treatment) and general governmental operations. In addition, this division provides extensive technical support and assistance to the City Manager's office, and other City departments upon request. The planning and administrative responsibilities for the City's two delegated authorities (Erosion Control and Stormwater) are managed by this department as well.

GOALS & OBJECTIVES

- Goal 1:** Continued implementation of our Geographical Information System (GIS) mapping to include additional storm water lines and other water and sewer details
- Objective 1:** To have the best available mapping to insure that valuable information on existing utilities is recorded on GIS and easily available to staff. This will help to serve trucks and other field personnel to increase response times and repairs.
- Goal 2:** Assessment and Management of various projects in the proposed CIP.
- Objective 1:** Continue to monitor and facilitate the completion of the Beckford Drive Widening project, DWSRF- AC Waterline Project, CDBG Sewer project, Elmwood Sewer project Bearpond Sewer funded projects to completion and other sewer collection improvement projects. Develop data driven decision matrices to identify infrastructure needs and roll this into a Capital Improvement Plan.
- Goal 3:** Work on Engineering Design and Construction standards for Water/Sewer Stormwater Utility installations.
- Objective 1:** This is to ensure proper and consistent installation methods for utilities.

FY 18 ACCOMPLISHMENTS

- **Various Stormwater Projects.** Worked on various storm water designs and projects to correct or improve drainage. Working actively to develop a stormwater utility and master storm water plan.
- **KLRWS 20 MGD Expansion:** Worked closely with KLRWS Staff, Partners, State and consultant to secure funding for the Phase 1b to increase capacity to 20 MGD as well as implement the Design-Build Delivery System for Phase 1a and ultimately Phase 2 (construction).
- **Project Reviews.** Provided engineering project reviews on various projects throughout the year for new developments.
- **Expand GIS Role.** GIS is a map based database that in conjunction with hyperlinking of the data permits public work crews to see as-built drawings of the utility systems and permits Public Safety a floor plan of each facility which allows quick assessment of entrapment locations or active shooter mitigation. Technician continues to increase the accuracy and mapping of utilities and storm drainage.
- **CAD Program** has been brought up-to-date and standards specifications have been developed,
- **Work Order System.** Engineering has implemented the work order/asset management software that will help each department better track work and identify Capital Improvement Projects before they become an emergency, which cost the City more money.

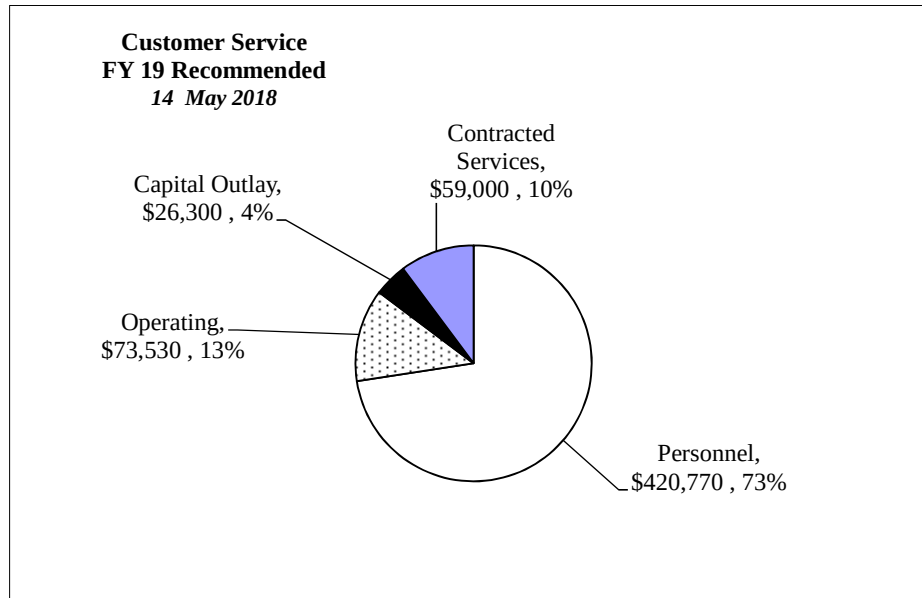
KEY BUDGET ISSUES

The current 2002 Durango is a 4 wheel drive that is experiencing frequent failures. Reliable transportation is needed by the engineering staff.

FY 18-19 BUDGET
ENTERPRISE FUNDS
30-725: WATER FUND CUSTOMER SERVICE

30-725: WATER FUND CUSTOMER SERVICE SUMMARY

	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 333,075	\$ 380,401	\$ 392,600	\$ 364,850	\$ 417,500	\$ 420,770	
Operating	58,606	\$ 52,629	68,720	58,664	75,100	73,530	
Contracted Services	52,177	\$ 51,958	60,000	59,000	59,000	59,000	
Capital Outlay	3,701	\$ 1,168	34,700	32,040	26,300	26,300	
Total Expenditures	\$ 447,559	\$ 486,156	\$ 556,020	\$ 514,554	\$ 577,900	\$ 579,600	\$ -



AUTHORIZED POSITIONS					
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM
		<i>Full Time Employees</i>	Proposed Phase III		
1	1	Customer Service Supervisor	17	\$34,593	\$51,890
2	2	Utility Billing Specialist	12	\$27,105	\$40,857
3	3	Customer Service Representative	10	\$24,585	\$36,877
4	4	Meter Reader	8	\$22,299	\$33,449
		<i>Part Time Employees</i>			
1	1	RPT Meter Reader	8	\$22,299	\$33,449

10 FT/2 PT	10 FT/2 PT						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	10 FT/ 1 PT	10 FT/ 1 PT	10 FT/1 PT	10 FT/1 PT	10 FT/1 PT	10 FT/1 PT	
New Requests	0	0	0	0	0	0	
Total Funded Positions	10 FT/ 1 PT	10 FT/ 1 PT	10 FT/ 1 PT	10 FT/ 1PT	10 FT/ 1PT	10 FT/ 1PT	

**FY 18-19 BUDGET
ENTERPRISE FUNDS
30-725: WATER FUND CUSTOMER SERVICE**

PURPOSE

To provide excellent customer service to the City's approximate 8,800 utility customers through the reading of water meters, billing and collections and working with customers if they have special needs.

GOALS & OBJECTIVES

- Goal 1:** Collect unpaid account balances from inactive accounts.
Objective 1: Continue to add unpaid account balances to Debt Setoff Program, which will collect customers' State Tax Refunds and State Lottery winnings to pay off delinquent accounts.
- Goal 2:** To promote the paperless billing option to customer.
Objective 1: This is at no additional cost to the City but will provide savings in the costs of postage.
- Goal 3:** Continue with Radio Read Meter replacements.
Objective 1: Replace existing manual read meters with Radio Read meters, which will reduce read time for billing cycles and consistently ensure accurate readings. This goal has already reduced the cost of retrieving reading data.

FY18 ACCOMPLISHMENTS

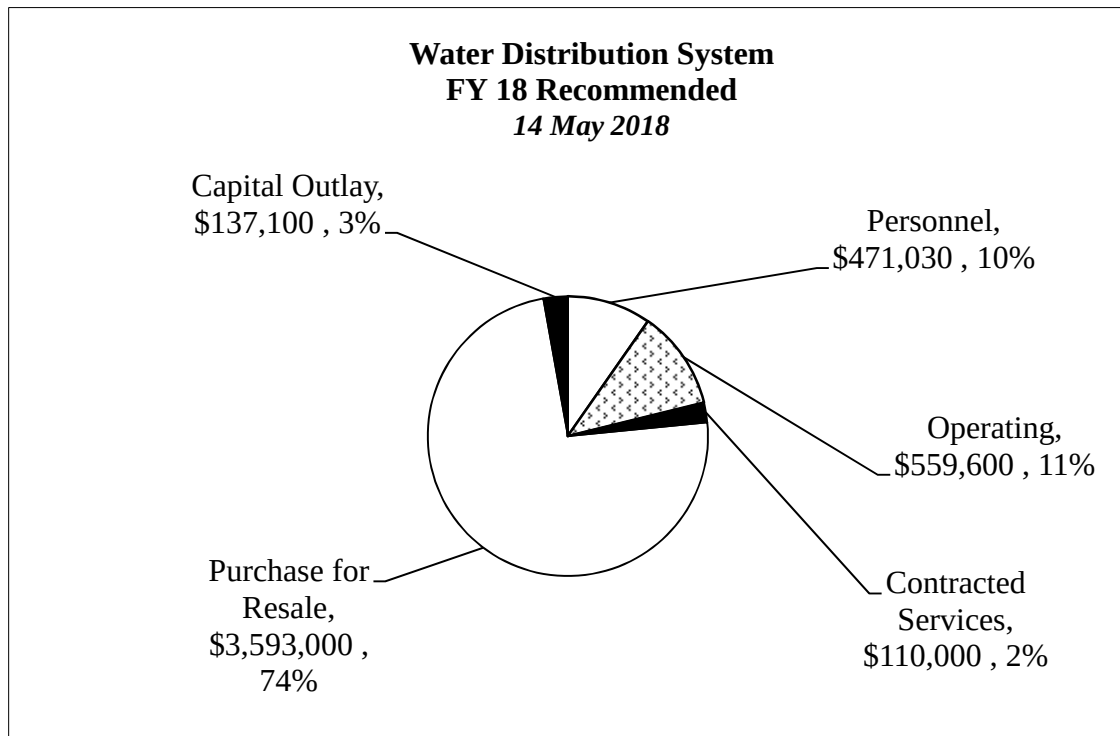
- **Implementation of Outbound Calls** prior to cutoff dates to account holders who have a past due balance. The automated call reminds customers that they must pay their past due account by 5 PM on the business day prior the upcoming cutoff date in order for their account not to be included on the cutoff list.
- **Point & Pay** collecting online and automated phone payments via e-check and credit/debit cards has offered customers a convenient option to pay their utility statement. FY 2016 collections via Point & Pay totaled \$224,691.72. FY 2017 collections totaled \$746,636.07 and as of January 30, 2018 FY 2018 collections totaled \$513,563.60.
- **NC Debt Setoff** program allowed the City to collect \$35,884.80 on delinquent utility accounts over the 2017 calendar year.
- Remote Image Deposit of check payments allows immediate bank deposit.

KEY BUDGET ISSUES

- Funds are being requested for two additional wireless tablets to be used by meter readers so that they are able to receive work orders while in the field. This should add to productivity while decreasing fuel costs by eliminating the practice of meter readers driving to the office to retrieve hard copies of work orders.
- 2005 meter reader truck is in poor condition and needs to be replaced.
- Upgrade of customer service supervisor position.

FY 18-19 BUDGET
ENTERPRISE FUNDS
30-818: WATER FUND WATER DISTRIBUTION SYSTEM

30-818: WATER DISTRIBUTION SYSTEM SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimate 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 386,534	\$ 346,104	\$ 458,450	\$ 435,050	\$ 455,100	\$ 471,030	
Operating	707,631	854,759	528,550	491,101	598,200	559,600	
Contracted Services	75,147	74,148	104,460	104,500	137,400	110,000	
Purchase for Resale	3,067,269	3,158,359	3,324,870	3,438,695	3,507,459	3,593,000	
Capital Outlay	2,719	2,591	149,000	149,000	159,300	137,100	
Total Expenditures	\$ 4,239,300	\$ 4,435,961	\$ 4,565,330	\$ 4,618,346	\$ 4,857,459	\$ 4,870,730	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1	1	Assistant Public Works Director			23	\$46,358	\$69,536
1	1	Distribution and Collection System Supervisor			20	\$40,046	\$60,069
7	7	Utility Maintenance Mechanic			9	\$23,414	\$35,121
1	0	Hydrant Maintenance Technician			8	\$22,299	\$33,449
10	9						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	10	10	9	9	9	9	
New Requests	0	0	0	0	0	0	
Total Funded Positions	10	10	9	9	9	9	

**FY 18-19 BUDGET
ENTERPRISE FUNDS**

30-818: WATER FUND WATER DISTRIBUTION SYSTEM

PURPOSE

To provide maintenance and repair on water transmission and distribution mains throughout the City's service area (as part of the Regional System); and to install water taps, provide force labor and management for improvements and extensions to the water system. The City owns and maintains over 230 miles of water lines and roughly 600 hydrants.

GOALS & OBJECTIVES

- Goal 1:** Provide better water quality and service to meet or exceed customer demands with ample pressure.
- Objective 1:** Continue to identify and provide improvements to areas with water quality issues such as dead-end mains and small waterlines operating at minimum pressure.
- Objective 2:** Continue to identify areas where we can switch water services from small older water mains to larger newer water mains. Discontinue service on small older water mains.
- Goal 2:** Provide better fire protection and consistency of service as it relates to flushing and fire protection services.
- Objective 1:** Continue to change out older style fire hydrants without pumper nozzle which do not conform to NCDENR standards.
- Goal 3:** Become better prepared for emergency situations when turning water off becomes a necessity.
- Objective 1:** Develop a valve maintenance program to clean valve boxes, exercise valves and verify valve location on a consistent basis.
- Goal 3:** Ensure that all distribution and regional waterlines are accessible for maintenance.
- Objective 1:** Devise a plan to cut large overgrowth and come up with a mowing schedule for cutting within the right-of-way for those waterlines. Repair creek crossings as necessary.

FY 18 ACCOMPLISHMENTS

- **Waterline replacement** to our customers on Railroad Street. These customers had inadequate water pressure. We resolved the issue by replacing roughly 600' feet of waterline by using city employees and resources.
- **Regional Waterline:** Completed three water main repairs on the 20" Regional Waterline. These repairs were completed in a safe and timely manner with minimum disruption of service.
- **Workplace training and safety** continue to improve, which will help with future rates for workers compensation insurance.

KEY BUDGET ISSUES

- **Equipment:** Funding of new and aging equipment to ensure quality and timely work for installation and repairs of water mains. We have proposed several items in the upcoming budget.
- **Additional Personnel:** These positions would be responsible for routine valve maintenance and right of way maintenance; however, the positions are not included in this proposed budget. A small amount of part-time funds are included.

FY 18-19 BUDGET
ENTERPRISE FUNDS
30-818: WATER FUND WATER DISTRIBUTION SYSTEM

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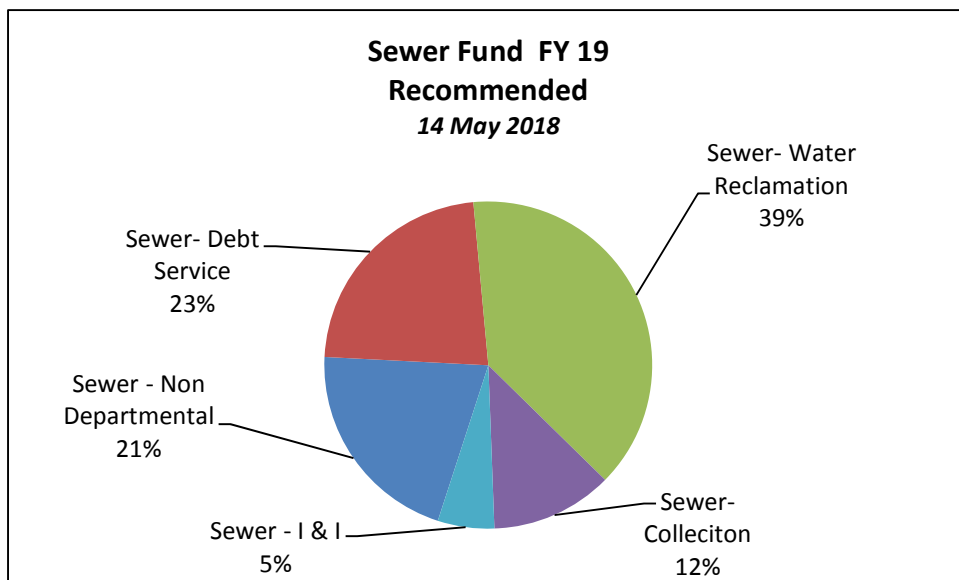
SEWER FUND

SEWER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Water Reclamation
4. Collection
5. Inflow & Infiltration (I & I)

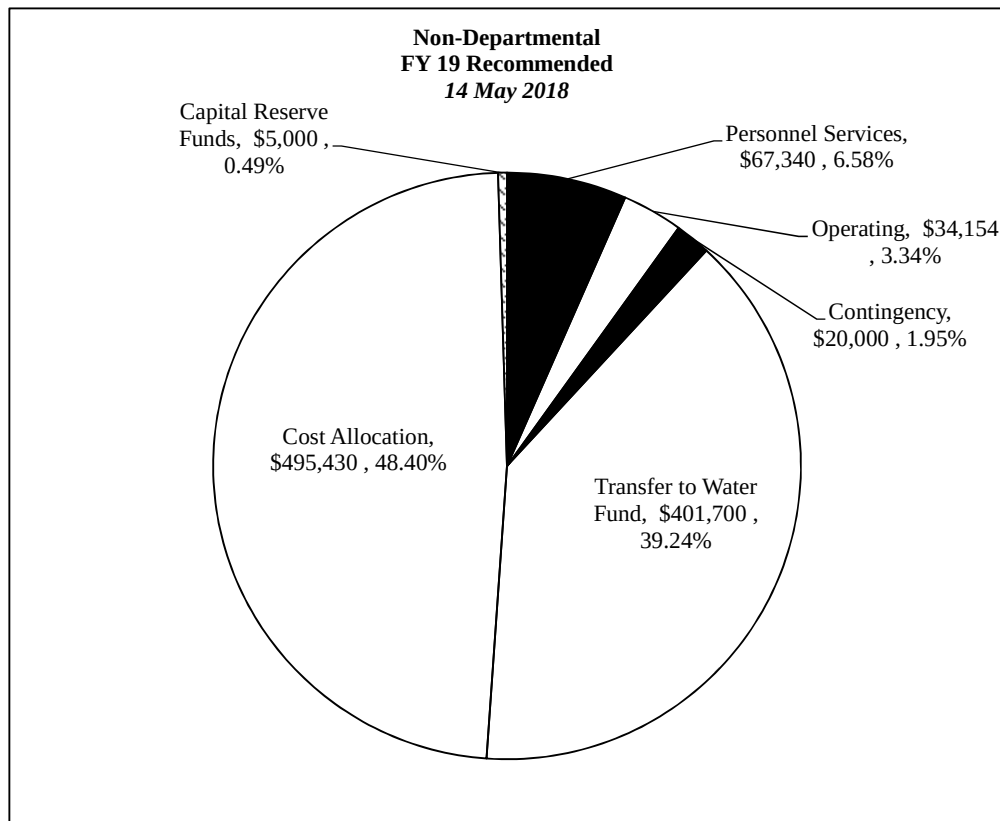
SEWER FUND SUMMARY

Department	2018 C ouncil Amended Budget	2019 Department Requested	2019 Manager Recommended Budget	% Increase or Decrease
Sewer - Non Departmental	\$ 1,017,370	\$ 955,000	\$ 1,023,624	0.61%
Sewer- Debt Service	\$ 1,095,440	\$ 1,078,119	\$ 1,120,376	2.28%
Sewer- Water Reclamation	\$ 1,849,500	\$ 1,957,585	\$ 1,911,190	3.34%
Sewer- Colleciton	\$ 451,540	\$ 668,450	\$ 592,950	31.32%
Sewer - I & I	\$ 242,150	\$ 428,230	\$ 275,310	13.69%
Total Sewer Fund	\$ 4,656,000	\$ 5,087,384	\$ 4,923,450	5.74%



**FY 18-19 BUDGET
ENTERPRISE FUNDS
31-660: SEWER FUND NON-DEPARTMENTAL**

31-660: NON-DEPARTMENTAL SUMMARY						
	Actual Expended		Budget 17-18	Requested 18-19	Recommended 18-19	Approved 18-19
	15-16	16-17				
Personnel Services	\$ 23,407	\$ 31,325	\$ 27,300	\$ 42,900	\$ 67,340	
Operating	531	\$ 11,449	90,250	55,700	34,154	
Contingency	-	\$ -	19,440	29,706	20,000	
Cost Allocation	466,200	\$ 458,200	458,200	471,830	495,430	
Transfer to Wate/Sewer Fund	401,500	\$ 1,061,047	401,500	401,900	401,700	
Capital Reserve	-	\$ -	56,848	17,680	5,000	
Total Expenditures	\$ 891,638	\$ 1,562,021	\$ 1,053,538	\$ 1,019,716	\$ 1,023,624	\$ -



The Non-Departmental Budget group was established for this fund, as well as others, during FY 11-12 in order to better account for inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures such as retiree health insurance and reserves for incumbent liabilities for accrued vacation and compensatory time are accounted for in this budget department.

The largest expenditure center for the non-departmental budget is the inter-fund transfer. The transfer provides for “sending” money from Sewer Fund to the Capital Reserve and CIP funds as well as the General and Water funds for cost allocations.

FY 18-19 BUDGET
ENTERPRISE FUNDS
31-680: SEWER FUND DEBT SERVICE

31-680: DEBT SERVICE SUMMARY						
	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Debt Service Principal	\$ -	\$1,035,505	\$ 1,036,503	\$ 1,036,503	\$ 1,078,760	
Debt Service Interest	28,006	27,545	41,616	41,616	41,616	
Lease Purchase Payments	937	31,390	-	-	-	
Total Expenditures	\$ 28,943	\$1,094,440	\$ 1,078,119	\$ 1,078,119	\$ 1,120,376	\$ -

Debt service comprised approximately 23.53% of the total fund budget. The majority of this is due to the debt on the renovations at the Henderson Water Reclamation Facility (HWRF). If the transfer out for the Sewer Fund's portion of the revenue bonds is subtracted, that percentage is reduced to 6.29%

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

- **Scheduled Debt Service is Relatively Flat** until FY 2021. During FY 2020, the City will retire the Revenue Bonds as well as other projects.
-

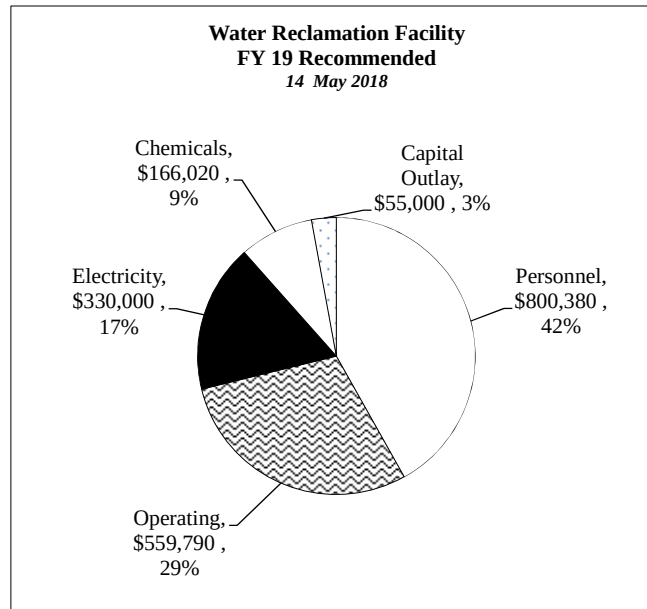
A variance between the summary and the City's debt schedule is a combination of rounding up and the transfer from the Sewer Fund to the Water fund (\$328,991) for the Sewer Fund's portion of the revenue bonds that were refunding in 2011. The bonds covered projects in the General, Water and Sewer Funds. The entire debt for this refund is recorded in the Water Fund; therefore, the General Fund and the Sewer Fund transfer their portion of this debt to the Water Fund so that the debt payment can be made directly from the Water Fund.

**FY 18-19 BUDGET
ENTERPRISE FUNDS
31-680: SEWER FUND DEBT SERVICE**

31: Sewer Fund Debt Service Schedule												
Last Updated: April 2018												
Type of Debt			Actual		Scheduled					Six Year Total		
	P/I		FY 14-15	FY 15-16	FY 16-17	FY 17-18	FY 18-19	FY 19-20	FY 20-21	By P & I	By Total	
Revenue Bond: Funds 10, 30 & 31	P	31: Operations and Service Center--DS Payment 30% Sewer Fund (\$274,955); Outstanding Principal \$916,516 (total project)	\$ 63,019	\$ 64,674	\$ 66,545	\$ 67,911	\$ 69,494	\$ 71,005	\$ -	\$ 339,629	\$ 364,457	
	I		\$ 9,664	\$ 8,151	\$ 6,599	\$ 5,002	\$ 3,372	\$ 1,704	\$ -	\$ 24,828	\$ -	
31: Redbud Pump Station	P		\$ 234,155	\$ 240,303	\$ 247,252	\$ 252,331	\$ 258,212	\$ 263,825	\$ -	\$ 1,261,923	\$ 1,354,174	
Outstanding Principal \$1,021,621	I		\$ 35,906	\$ 30,286	\$ 24,519	\$ 18,585	\$ 12,529	\$ 6,332	\$ -	\$ 92,251	\$ -	
31: WWTP Study	P		\$ 4,818	\$ 4,945	\$ 5,087	\$ 5,192	\$ 5,313	\$ 5,428	\$ -	\$ 25,965	\$ 27,862	
Outstanding Principal \$21,021	I		\$ 739	\$ 623	\$ 504	\$ 382	\$ 258	\$ 130	\$ -	\$ 1,897	\$ -	
31: Oxford Road Sewer Upgrade	P		\$ 45,377	\$ 46,568	\$ 47,915	\$ 48,899	\$ 50,039	\$ 51,127	\$ -	\$ 244,548	\$ 262,425	
Outstanding Principal \$197,980	I		\$ 6,958	\$ 5,869	\$ 4,751	\$ 3,602	\$ 2,428	\$ 1,227	\$ -	\$ 17,877	\$ -	
State Revolving Loans												
HWRP: E-SRF-T-92-OR25: 385% interest; issued 3/25/94 (20 year semi-annual interest payments, annual principal ending FY 2013-2014; Outstanding Principal \$0	P		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
	I		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Ruin Creek Outfall - E-SRF-T-95-0024: 3.43% interest; issued 5/1/97 (20 year semi-annual interest payments, annual principal ending FY 2016-2017; Outstanding Principal \$115,286 56% Vance County participation	P		\$ 115,286	\$ 115,286	\$ 115,286	\$ -	\$ -	\$ -	\$ -	\$ 230,572	\$ 242,436	
	I		\$ 11,863	\$ 7,909	\$ 3,955	\$ -	\$ -	\$ -	\$ -	\$ 11,864	\$ -	
NVHS Sewer Line - E-SBF-T-94-0004: 5.85% interest; issued 11/1/96 (20 year) semi-annual interest payments, annual principal ending FY 2015-2016 Outstanding Principal \$0 100% Vance County participation	P		\$ 62,227	\$ 62,227	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 62,227	\$ 63,083	
	I		\$ 4,543	\$ 856	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 856	\$ -	
Sandy Creek Pump Station Improvements: 0.00% interest; approved FY 2013, (20 years) annual principal payments ending FY 2032-2033; Total Project = \$1.8M; Principal Forgiveness: \$900,000; Outstanding Principal: \$806,015	P		\$ -	\$ 42,422	\$ 42,422	\$ 42,422	\$ 42,422	\$ 42,422	\$ 42,422	\$ 212,110	\$ 212,110	
	I		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Sewer Rehab Project--E-SRF-T-12-O3002: 2.0% interest; issued 5/1/2013 (20 years); semi-annual interest payments, annual principal payments ending FY 2032-2033; Total Project \$988,782. Principal Forgiveness: \$494,391. Outstanding Principal: \$420,232	P		\$ 24,439	\$ 24,720	\$ 24,720	\$ 24,720	\$ 24,720	\$ 24,720	\$ 24,720	\$ 123,600	\$ 163,152	
	I		\$ 9,388	\$ 8,899	\$ 8,405	\$ 7,910	\$ 7,416	\$ 6,922	\$ 6,428	\$ 39,552	\$ -	
HWRP Improvements: 0.00% interest; approved FY 2013 (20 years) annual principal payments ending 5/06/2035.	P		\$ -	\$ 805,750	\$ 805,750	\$ 805,750	\$ 805,750	\$ 805,750	\$ 805,750	\$ 4,028,750	\$ 4,028,750	
Outstanding Principal \$15,309,250	I		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Elmwood Interceptor. Project cost = \$1.8M. (20yr) 2.0% interest. 1st payment due in FY17-18. Last payment FY 37.	P		\$ -	\$ -	\$ -	\$ 90,000	\$ 90,000	\$ 90,000	\$ 90,000	\$ 360,000	\$ 482,828	
	I		\$ -	\$ -	\$ -	\$ 19,628	\$ 34,200	\$ 38,400	\$ 30,600	\$ 122,828	\$ -	
Lease Purchase												
Freightliner Sewer Cleaner Truck - 80% paid out of Sewer Fund 2.45% interest - (5yr) issued 2/16 last payment FY 20.	\$ -		\$ 73,982	\$ 73,982	\$ 73,982	\$ 73,969	\$ 73,969	\$ 73,969	\$ -	\$ 369,871	\$ -	
Dump Truck (Sewer Coll): 12-13: 3.12% issued 10-29-08 (5 years); annual payments ending FY 17-18 . Outstanding Principal \$99,395.90.	\$ 19,879		\$ 19,879	\$ 19,879	\$ 19,879	\$ 19,879	\$ -	\$ -	\$ -	\$ 59,637	\$ -	
Tractor/Bushhog - 1.527% interest (5 year) issued FY13 ending FY18	\$ 11,509		\$ 11,509	\$ 11,509	\$ 11,509	\$ 11,509	\$ -	\$ -	\$ -	\$ 34,527	\$ 551,215	
Ford F150 Cargo Van - 1.527% interest (5 years) issued FY16 ending FY20	\$ -		\$ 4,912	\$ 4,912	\$ 4,912	\$ 4,912	\$ 4,912	\$ 4,912	\$ -	\$ 24,560	\$ -	
Ford F250 Truck (WRTF) - 1.527% interest (5 years) issued FY16 ending FY20	\$ -		\$ 6,262	\$ 6,262	\$ 6,262	\$ 6,262	\$ 6,262	\$ 6,262	\$ -	\$ 31,310	\$ -	
Ford F250 Truck (Sewer I&I) - 1.527% interest (5 years) issued FY16 ending FY20	\$ -		\$ 6,262	\$ 6,262	\$ 6,262	\$ 6,262	\$ 6,262	\$ 6,262	\$ -	\$ 31,310	\$ -	
Long Term Principal:	\$ 549,321		\$ 1,406,895	\$ 1,354,977	\$ 1,337,225	\$ 1,345,950	\$ 1,354,277	\$ 962,892	\$ 6,799,324	\$ 7,080,677	\$ 7,080,677	
Long Term Interest:	\$ 79,061		\$ 62,593	\$ 48,733	\$ 55,109	\$ 60,203	\$ 54,715	\$ 37,028	\$ 281,353	\$ -	\$ -	
Total Long Term Debt Service:	\$ 628,382		\$ 1,469,488	\$ 1,403,710	\$ 1,392,334	\$ 1,406,153	\$ 1,408,992	\$ 999,920	\$ 7,080,677	\$ -	\$ -	
Total Lease Purchase (P & I) Debt Service:	\$ 31,388		\$ 122,806	\$ 122,806	\$ 122,793	\$ 91,405	\$ 91,405	\$ -	\$ -	\$ -	\$ -	
Total Fund Debt Service:	\$ 659,770		\$ 1,592,294	\$ 1,526,516	\$ 1,515,127	\$ 1,497,558	\$ 1,500,397	\$ 999,920	\$ 7,631,892	\$ 7,631,892	\$ 7,631,892	

FY 18-19 BUDGET
ENTERPRISE FUNDS
31-822: SEWER FUND WATER RECLAMATION FACILITY

31-822: WATER RECLAMATION FACILITY SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel	\$ 782,133	\$ 740,159	\$ 790,000	\$ 785,049	\$ 800,100	\$ 800,380	
Operating	1,233,253	\$ 1,366,587	548,000	537,600	574,265	559,790	
Electricity	338,418	\$ 318,288	330,000	330,000	362,200	330,000	
Chemicals	142,131	\$ 164,854	147,000	147,000	166,020	166,020	
Capital Outlay	4,144	\$ 4,298	34,500	34,500	55,000	55,000	
Total Expenditures	\$ 2,500,079	\$ 2,594,186	\$ 1,849,500	\$ 1,834,149	\$ 1,957,585	\$ 1,911,190	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
Special Certified or Sworn Employees (i.e., police officers, firefighters, treatment operators, etc.)							
1	1	Director of HWRF		23	\$46,358	\$69,536	
1	1	Chief Plant Operator		18	\$36,323	\$54,485	
1	1	Laboratory Supervisor		18	\$36,323	\$54,485	
5	5	Treatment Plant Operator		12	\$27,105	\$40,657	
8	8						
All Other Full Time, both exempt and non-exempt							
1	1	Plant Maintenance Supervisor		17	\$34,593	\$51,890	
1	1	Senior Instrumentation Tech		17	\$34,593	\$51,890	
0	0	Laboratory Analyst		15	\$31,377	\$47,066	
1	1	Instrument Technician Assistant		13	\$28,460	\$42,691	
2	2	Plant Maintenance Mechanic		12	\$27,105	\$40,657	
2	2	Lab Technician		13	\$28,460	\$42,691	
1	1	Administrative Support Specialist		11	\$25,814	\$38,722	
0	0	Maintenance Worker		9	\$23,414	\$35,121	
8	8						
<u>HISTORY OF POSITIONS</u>							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	20	20	20	16	16	16	
New Requests	0	0	0	0	0	0	
Total Funded Positions	20	20	20	16	16	16	

31-822: SEWER FUND WATER RECLAMATION FACILITY

PURPOSE

To provide adequate treatment of wastewater to meet the effluent limits set forth in the City's National Pollutant Discharge Elimination System (NPDES) permit; to provide adequate management and maintenance of the City's pump station facilities (5 major and 8 minor stations) and sludge disposal program; and to make available adequate capacity for continued residential, commercial and industrial growth within Henderson's corporate limits and throughout the service area.

GOALS & OBJECTIVES

Goal 1: Operate the HWRF, pump stations, laboratory, SCADA, stormwater, odor control and land application of sludge efficiently and maintain compliance with all NPDES, laboratory, land application of sludge and stormwater permit limits including the Environmental Protection Agency (EPA)/Division of Water (DWQ) regulations in a cost effective manner.

Objective 1: Analyze the operational parameters of the treatment plant and train staff in its interpretation. Coordinate with the lab, operations and maintenance staff to make needed adjustments to the plant and other processes to maintain compliance with the current NPDES limits.

Goal 2: Continue to improve and maintain the safety record at the HWRF.

Objective 1: Continue plant safety inspections and staff training.

Objective 2: Correct any issues or concerns that arise.

Goal 3: Continue using Cartegraph asset management system.

Objective 1: Manage assets, request, community's work and resources.

FY 18 ACCOMPLISHMENTS

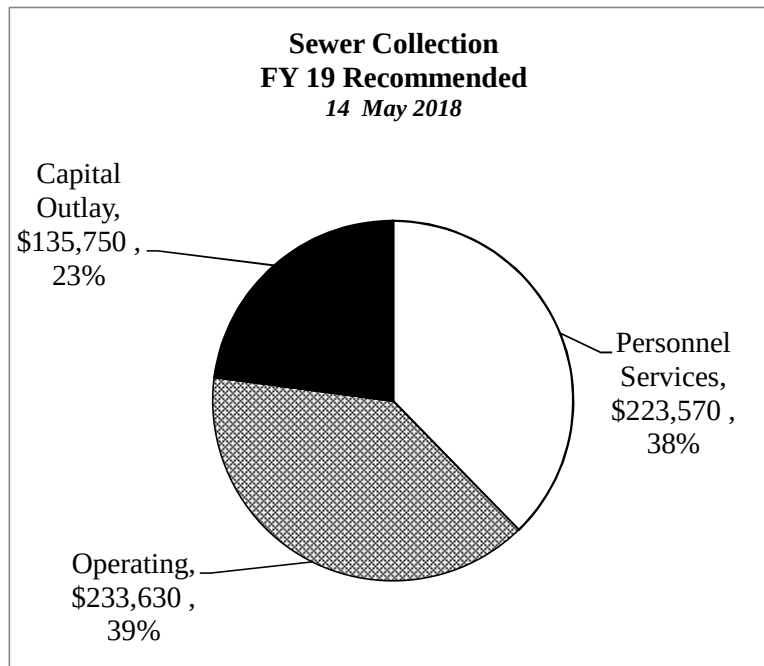
- Completion of the HWRF Improvement Project.
- Improvements to smaller Pump Stations as well as ongoing construction of outfall which will eliminate the need for the Newton Dairy Road Pump Station.
- Further combined staff responsibilities allowing the elimination of one position at the plant.

KEY BUDGET ISSUES

- Sludge holding tank renovations may be necessary in the future.
- Demo of remaining wastewater equipment not in original project demolition.

FY 18-19 BUDGET
ENTERPRISE FUNDS
31-828: SEWER FUND COLLECTION

31-828: SEWER COLLECTION SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 214,057	\$ 198,015	\$ 220,110	\$ 213,910	\$ 228,300	\$ 223,570	
Operating	74,643	123,806	227,030	211,830	246,100	233,630	
Capital Outlay	2,479	3,513	4,400	4,400	194,050	135,750	
Total Expenditures	\$ 291,179	\$ 325,334	\$ 451,540	\$ 430,140	\$ 668,450	\$ 592,950	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
2	2	Maintenance Crew Leader	13	\$28,460	\$42,691		
3	3	Maintenance Worker	9	\$23,414	\$35,121		
5	5						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	5	5	5	5	5	5	
New Requests	0	0	0	0	0	0	
Total Funded Positions	5	5	5	5	5	5	

PURPOSE

To perform both scheduled and emergency maintenance on more than 200 miles of sanitary sewer lines (both gravity and force mains); to install sewer taps; to provide force account labor for some capital improvement projects to the system; and manage the Sewer Collection and I & I Division.

GOALS & OBJECTIVES

- Goal 1:** To stay in compliance with sanitary sewer collections permits and avoid potential fines from sanitary sewer overflows.
- Objective 1:** Continue to clean and monitor sewer mains and manholes to reduce the risk of spills/overflows.
- Goal 2:** Further reduce infiltration/inflow to maximize capacity within the collection system.
- Objective 2:** Continue to work in conjunction with Sewer I&I Division to inspect sewer mains with TV inspection equipment and smoke testing equipment to find potential sources of I&I.
- Goal 3:** Ensure that all sanitary sewer outfalls are accessible for maintenance.
- Objective 1:** Devise a plan to cut large overgrowth and maintain the mowing schedule for cutting within the right-of-way for those outfalls. Repair creek crossings as necessary.

FY 18 ACCOMPLISHMENTS

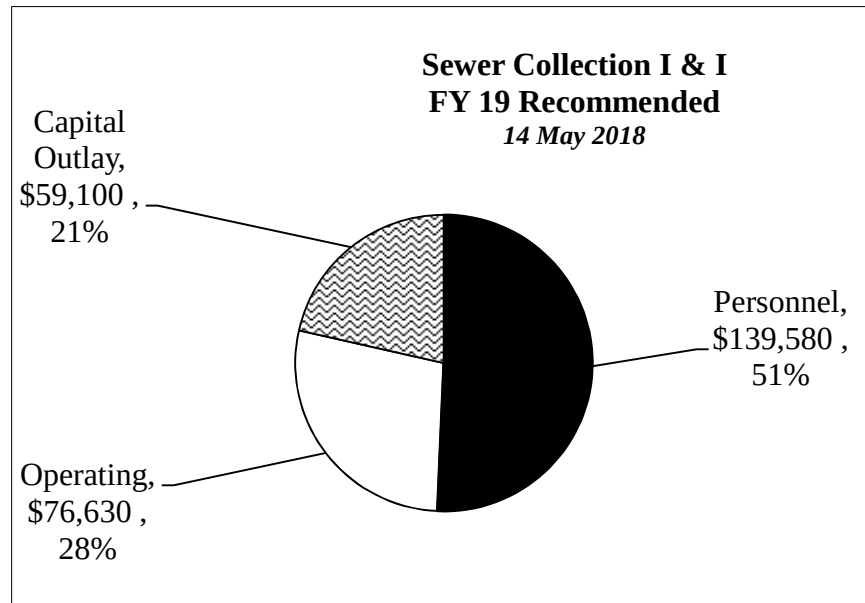
- **Line Rehabilitation:** Successfully completed foam injection to existing sewer mains to eliminate root problems which can cause spills.
- **Right-of-Way Clearing:** Continued right of way clearing on Sanitary Sewer outfalls. This year approximately 12 miles of sewer outfall was cut.
- **Line Cleaning:** Crews are on track to complete cleaning of the 83,000 linear feet that is required by State mandate. As of January 31, 2018 62,440 linear feet of sanitary sewer has been cleaned.
- **Elmwood Cemetery Outfall:** Construction was completed and is in service.

KEY BUDGET ISSUES

- **Funding:** Needed for projects relative to capital improvement projects as well as other sewer improvement projects.
- **Equipment:** Funding of new and aging equipment to ensure quality and timely work for maintenance of sewer mains and services. We have proposed several items in the upcoming budget.
- **Additional Personnel:** These positions would be responsible for outfall right-of-way maintenance; however, the positions are not included in this proposed budget. A small amount of part-time funds are included.

FY 18-19 BUDGET
ENTERPRISE FUNDS
31-829: SEWER FUND I & I OPERATIONS

31-829 SEWER FUND I & I OPERATIONS							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 6/30/20178	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 104,042	\$ 91,818	\$ 128,950	\$ 118,800	\$ 140,300	\$ 139,580	
Operating	58,780	54,401	87,100	85,000	89,330	76,630	
Capital Outlay	-	-	26,100	26,100	198,600	59,100	
Total Expenditures	\$ 162,822	\$ 146,219	\$ 242,150	\$ 229,900	\$ 428,230	\$ 275,310	\$ -



AUTHORIZED POSITIONS							
FY 17-18	FY 18-19	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1	1	Crew Leader			13	\$28,460	\$42,691
2	2	Maintenance Worker			8	\$22,299	\$33,449
3	3						
HISTORY OF POSITIONS							
	FY 14-15	FY 14-15	FY 15-16	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized	3	3	3	3	3	3	
New Requests	0	0	0	0	0	0	
Total Funded Positions	3	3	3	3	3	3	

PURPOSE

To perform scheduled maintenance of sanitary sewer mains relative to the identification and reduction of storm and groundwater inflow/infiltration (I&I) into the sanitary sewer system.

GOALS & OBJECTIVES

- Goal 1:** Inflow & Infiltration Reduction and Identification.
- Objective 1:** Continue smoke testing and performing visual inspections of the collection system in order to keep as much rain and storm water flow as possible out of the sanitary sewer system.
- Goal 2:** Perform repairs identified by smoke testing, visual inspection and other means. Perform day-to-day I&I preventive maintenance as required of this system.
- Objective 2:** Record and document flow reduction from outside sources. Dedicate 70% of time to use of Jet-Vac, camera truck, sewer rodder, I&I elimination and mapping assistance with engineering. Dedicate 30% of time to manhole inspections and high priority line inspections as required by state law and NCDENR on a yearly basis.

FY 18 ACCOMPLISHMENTS

- **I&I Work:** Continued to work toward strengthening the City's efforts in reducing inflow/infiltration (I&I) and therefore minimizing sanitary sewer overflows and bypasses. A major I & I problem in our sewer collection system in the Sandy Creek Basin was found and corrected. This I&I problem was a major contributor to SSO's (Sanitary Sewer Overflows) during heavy rainfall events. Having the problem corrected should greatly reduce the risk of an SSO in the future. The Utility and Street Divisions were instrumental in correcting this issue.
- **TV and Visual Monitoring:** Identified various areas with open cleanouts and or discontinued services which contributed to I&I.
- **Fats, Oils & Grease Compliance:** The Sewer Collection I&I Division continues to work in identifying accumulation of grease build-up within the mains and help HWRF to identify potential businesses which may be depositing excessive amounts of fats, oils and grease.

KEY BUDGET ISSUES

- **Contract Services:** Includes a minimal amount of funds related to smaller sewer construction repairs that cannot be performed by the city.
- **Funding for key equipment** and additional I&I sewer line work included in the budget.

FY 18-19 BUDGET
ENTERPRISE FUNDS
31-829: SEWER FUND I & I OPERATIONS

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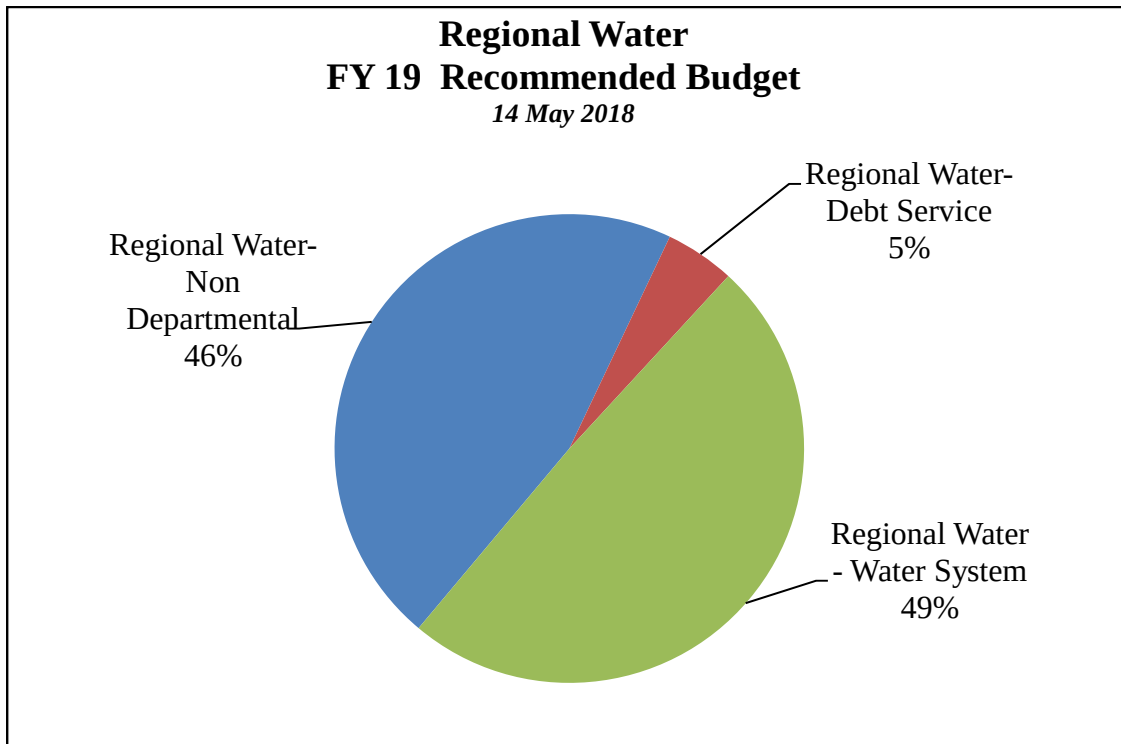
REGIONAL WATER FUND

REGIONAL WATER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Water Plant

REGIONAL WATER FUND

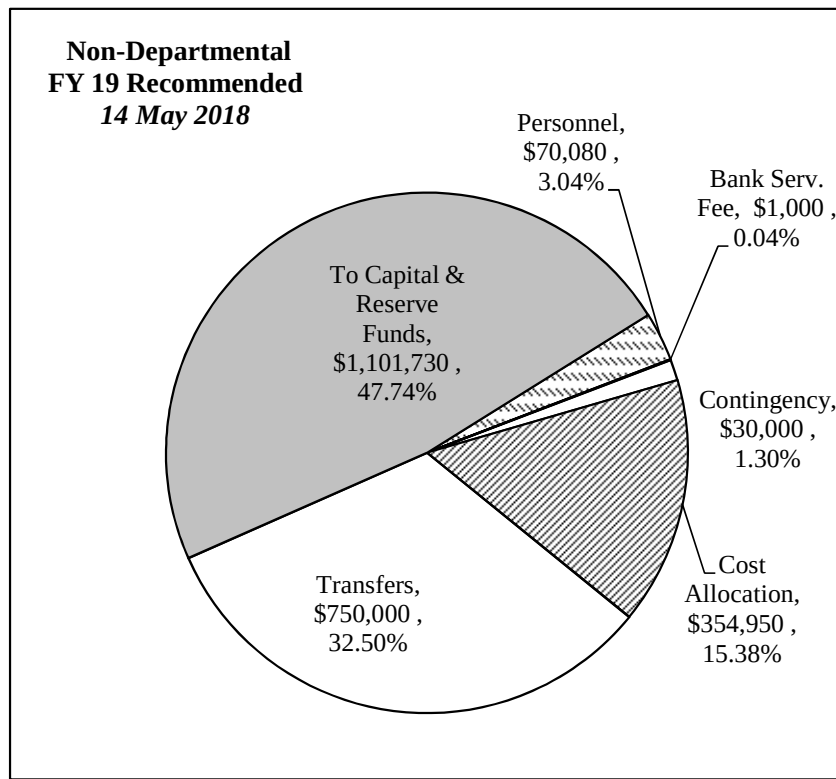
Department	2018 Council Amended Budget	2019 Department Requested Budget	2019 Manager Recommended Budget	% Increase or Decrease
Regional Water- Non Departmental	\$1,878,500	\$ 2,034,140	\$ 2,307,760	22.85%
Regional Water- Debt Service	\$ 240,200	\$ 240,300	\$ 240,300	0.04%
Regional Water - Water System	\$2,489,000	\$ 2,477,600	\$ 2,475,940	-0.52%
Total Regional Water	\$4,607,700	\$ 4,752,040	\$ 5,024,000	9.03%



**FY 18-19 BUDGET
ENTERPRISE FUNDS**

64-660: REGIONAL WATER FUND NON-DEPARTMENTAL

64-660: NON-DEPARTMENTAL SUMMARY						
	Actual 15-16	Actual 16-17	Budget 17-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel	\$ 20,771	\$ 32,248	\$ 48,050	\$ 45,650	\$ 70,080	
Bank Service Fees	\$ 437	\$ 573	\$ 2,000	\$ 1,000	\$ 1,000	
Contingency	-	-	30,000	30,000	30,000	
Cost Allocation	948,954	315,700	338,030	351,500	354,950	
Transfers		16,286	-	-	750,000	
To Capital & Reserves	612,100	1,318,790	1,460,420	1,605,990	1,101,730	
Total Expenditures	\$ 1,582,262	\$ 1,683,597	\$ 1,878,500	\$ 2,034,140	\$ 2,307,760	\$ -



The Non-Departmental Budget group provides for a better accounting of inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures such as retiree health insurance and the fund's share of the recommended pay and classification study are accounted for in this budget department.

The largest expenditure center for the non-departmental budget is the transfer to the Capital Reserve Fund. This will be used for a future capital improvements project with the extension of a water main loop along Nutbush Road.

FY 18-19 BUDGET
ENTERPRISE FUNDS
64-680: REGIONAL WATER DEBT SERVICE

64-680: DEBT SERVICE SUMMARY						
	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Long-Term Debt Service P&I	\$ -	\$ 229,600	\$ 228,100	\$ 235,000	\$ 235,000	
Lease Purchase Debt Service P&I	56,939	18,600	12,100	5,300	5,300	
Total Expenditures	\$ 56,939	\$ 248,200	\$ 240,200	\$ 240,300	\$ 240,300	\$ -

Debt service comprises approximately 4.78% of total fund budget.

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

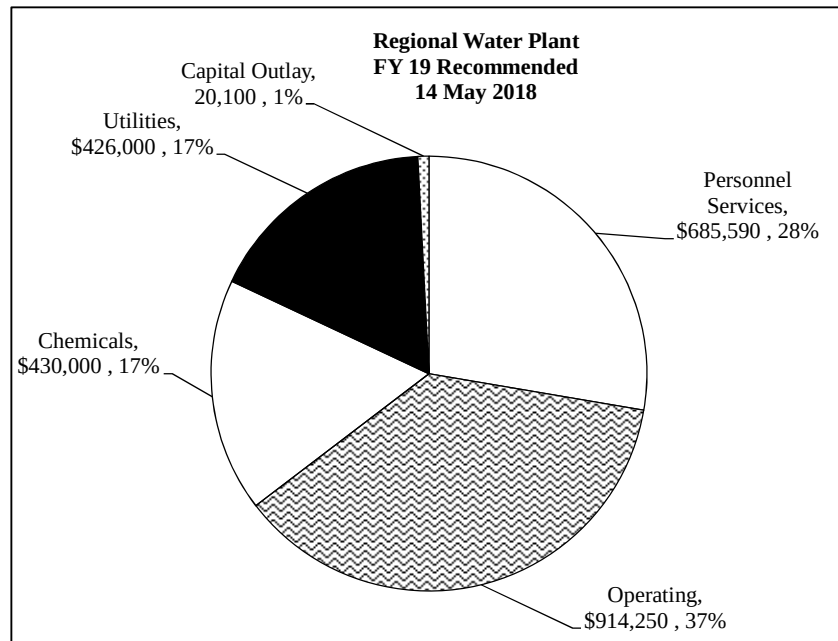
- Upcoming Debt Service will be necessary for the 20 MGD upgrade.
- City has secured funding for rehabilitation and possible expansion of KRWR Plant.

**FY 18-19 BUDGET
ENTERPRISE FUNDS
64-680: REGIONAL WATER DEBT SERVICE**

64: Regional Water Fund Debt Service Schedule										
<i>Last Updated: April 2018</i>										
64: Regional Water Fund		Actual	Scheduled						Six Year Total	
State Revolving Loan	P / I	FY 14-15	FY 15-16	FY 16-17	FY 17-18	FY 18-19	FY 19-20	FY 20-21	By P & I	By Total
High Speed Pump: 20 years at Zero % interest. Initial project \$1,129,000 with annual principal payments of \$56,450. (Res 12-59 and Ord 12-48). Payments begin FY15 and end FY33. Outstanding principal: \$1,072,550.										
	P	\$ -	\$ 56,450	\$ 40,412	\$ 48,431	\$ 48,431	\$ 48,431	\$ 48,431	\$ 338,700	\$ 338,700
	I	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Certificates of Participation										
Regional Water Loop Line/Filter Upgrade: 3.04% interest (weighted avg); issued 8/12/03 (13 year) semi-annual payments ending FY 2015-2016. Outstanding Principal \$0	P	\$ 489,500	\$ 509,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 509,000	\$ 521,136
	I	\$ 27,837	\$ 12,136	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 12,136	\$ -
Regional Water Raw Water Facilities Phase I: 3.74% interest; issued 02/26/04 (15 year) semi-annual payments ending FY 2018-2019. Outstanding Principal \$539,111.	P	\$ 160,723	\$ 166,791	\$ 173,087	\$ 179,622	\$ 186,402	\$ -	\$ -	\$ 705,902	\$ 766,589
	I	\$ 30,923	\$ 24,856	\$ 18,560	\$ 12,026	\$ 5,245	\$ -	\$ -	\$ 60,687	\$ -
Lease Purchase										
Generator: 3.96% interest, issued 3 Dec 04, 8 year annual payments ending FY13. Outstanding Principal & Interest = \$0.00.		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
	Long Term Principal:	\$ 650,223	\$ 732,241	\$ 213,499	\$ 228,053	\$ 234,833	\$ 48,431	\$ 48,431	\$ 1,457,057	\$ 1,529,880
	Long Term Interest:	\$ 58,760	\$ 36,992	\$ 18,560	\$ 12,026	\$ 5,245	\$ -	\$ -	\$ 72,823	\$ -
	Total Long Term Debt Service:	\$ 708,983	\$ 769,233	\$ 232,059	\$ 240,079	\$ 240,078	\$ 48,431	\$ 48,431	\$ 1,529,880	\$ 1,529,880
	Total Lease Purchase (P & I) Debt Service:	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Fund Debt Service:		\$ 708,983	\$ 769,233	\$ 232,059	\$ 240,079	\$ 240,078	\$ 48,431	\$ 48,431	\$ 1,529,880	\$ 1,529,880

FY 18-19 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT

64-900: REGIONAL WATER PLANT SUMMARY							
	Actual 15-16	Actual 16-17	Budget 17-18	Estimated 30-Jun-18	Requested 18-19	Recommended 18-19	Approved 18-19
Personnel Services	\$ 538,796	\$ 573,734	\$ 670,700	\$ 579,147	\$ 684,700	\$ 685,590	
Operating	\$ 937,173	\$ 1,104,554	945,200	872,090	916,800	914,250	
Chemicals	\$ 346,749	\$ 381,734	430,000	412,000	430,000	430,000	
Utilities	\$ 364,365	\$ 381,347	423,000	407,750	426,000	426,000	
Capital Outlay	-	\$ 6,498	20,100	15,000	20,100	20,100	
Total Expenditures	\$2,187,084	\$ 2,447,867	\$2,489,000	\$ 2,285,987	\$ 2,477,600	\$ 2,475,940	\$ -



AUTHORIZED POSITIONS		PHASE III PAY STUDY CLASSIFICATIONS, GRADE & RATES					
FY 17-18	FY 18-19	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Director	23	\$46,358	\$69,536		
1	1	Chief Operator	18	\$36,323	\$54,485		
1	1	Laboratory Analyst	15	\$31,377	\$47,066		
2	2	Plant Maintenance Mechanic	12	\$27,105	\$40,657		
7	7	Treatment Plant Operator II	12	\$27,105	\$40,657		
1	1	Administrative Support Specialist	11	\$25,814	\$38,722		
13	13						
HISTORY OF POSITIONS							
	FY 14-15	FY 15-16	FY 16-17	FY 17-18	Requested FY 18-19	Recommended FY 18-19	Approved FY 18-19
Authorized Positions	13	13	13	13	13	13	
New Requests	0	0	0	0	0	0	
Total Funded Positions	13	13	13	13	13	13	

**FY 18-19 BUDGET
ENTERPRISE FUNDS**

64-900: REGIONAL WATER FUND WATER PLANT

PURPOSE

To provide safe and aesthetically pleasing water to approximately 55,000 customers in the cities of Henderson, Oxford and the Warren County by continuously meeting all state and federal regulations.

FY 19 GOALS & OBJECTIVES

- Goal 1:** Continue with Duke Energy Time-of-Use Program.
Objective 1: The high service pumps at the plant are operated during off-peak times as established by the Time-of-Use Program. KLRWS is looking at further ways to reduce power cost.
- Goal 2:** Meet and exceed EPA regulations.
Objective 1: Meet all state and federal regulations throughout the year thus providing high quality water to all customers.
- Goal 3:** Continue working to complete the 20MGD upgrade.
Objective 1: Meet future growth projections and demands of the regional water partners and customers.
- Goal 4:** Devise a consumer education plan.
Objective 1: Meet state mandates and keep the public informed and educated about conservation and water regulations.
- Goal 5:** Increase staff training.
Objective 1: Meet state mandates and keep the public informed and educated about conservation and water regulations.

FY 18 ACCOMPLISHMENTS

- Saved approximately \$47,487 on the electric bill by participating in the Time-of-Use Program.
- Continuously provided a supply of safe, clean drinking water to all customers of KLRWS.
- Met or exceeded regulations as they were promulgated and became law.
- KLRWS is continuing to work with water distribution in a flushing program to help the Partners in assuring the best water quality, which has led to substantial improvements in the TTHM levels for the KLRWS, as well as its customers.

FY 19 KEY BUDGET ISSUES

- Continued funding relative to 20MGD expansion of the KLRWS.
- Chemical costs and fuel remain volatile and unstable which may lead to higher costs during the year.
- Continue to increase the Regional Operating Fund Reserve.
- Federal mandated LT2 and UCMR4 testing will increase the Contracted Services Budget for the next year.
- Increase staff and continue funding to develop the knowledge and skill of all employees.

FY 18-19 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT

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CAPITAL IMPROVEMENT PROJECTS

- 1. GENERAL FUND CIP***
- 2. POWELL BILL CIP***
- 3. WATER FUND CIP***
- 4. SEWER FUND CIP***
- 5. REGIONAL WATER FUND CIP***
- 6. MUNICIPAL BUILDING CIP***

FY 18-19 BUDGET
CAPITAL IMPROVEMENT PROJECTS

Capital Improvement Projects Funds projects are not considered to be part of the annual budget process since these projects remain “open” for the life of the project. At times a project may only be “open”, or active, for several months and in other cases the project remains active for several years. With this said, the annual operating and capital budget must provide a summary of the capital improvement fund projects for information purposes.

The following charts provide information on each of the active and proposed capital improvement projects.

**FY 18-19 BUDGET
CAPITAL IMPROVEMENT PROJECTS**

GENERAL FUND SUMMARY															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
Outdoor Pavilion & Market	\$ 20,000.00	\$ 10,000													\$ 30,000
Fire Pumper Truck		\$ 607,000				\$ 12,000									\$ 607,000
Salt Barn															\$ 12,000
Roof Top Structure															\$ -
Painting of Stand Pipe				\$ 25,000											\$ 25,000
Recreation Improvements				\$ 80,000											\$ 80,000
Police Station Improvements			\$ 75,000												\$ 75,000
Painting of the Operations Center-															
Interior					\$ 80,000										\$ 80,000
Resurfacing at the Operations Center							\$ 195,000								\$ 195,000
Walking Trail at the Recreation Center				\$ 43,300											\$ 43,300
Overlay of Basketball Court-Chestnut Street				\$ 18,750											\$ 18,750
Resurfacing at Fox's Pond					\$ 135,150										\$ 135,150
Overlay of Basketball Court-Owen Street								\$ 17,800							\$ 17,800
Resurfacing Basketball Court at Walnut st.								\$ 13,200							\$ 13,200
Total Expenditures	\$ 20,000.00	\$ 617,000	\$ 75,000	\$ 167,050	\$ 215,150	\$ 12,000	\$ 195,000	\$ 31,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 1,332,200
RESOURCES															
USDA GRANT															
USDA LOAN		\$ 133,000													
OPERATING REVENUES	\$ 20,000	\$ 10,000	\$ 75,000	\$ 167,050	\$ 215,150	\$ 12,000	\$ 195,000	\$ 31,000							\$ 474,000
TOTAL RESOURCES	\$ 20,000	\$ 617,000	\$ 75,000												\$ 725,200
															\$ -
															\$ 712,000

FY 18-19 BUDGET

CAPITAL IMPROVEMENT PROJECTS

POWELL BILL SUMMARY															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
Street Resurfacing	\$ 200,000	\$ 200,000	\$ 170,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 2,770,000
Pavement Assessment			\$ 30,000												\$ 30,000
Bridgers Street Widening								\$ 330,000							\$ 330,000
Alexander Ave Phase III						\$ 376,838									\$ 376,838
Cypress Drive Widening											\$ 458,820				\$ 458,820
Denver Street Extension		\$ 20,000	\$ 20,000	\$ 61,250											\$ 81,250
Granite Street		\$ 85,000													\$ 85,000
High Street Connector							\$ 24,000	\$ 350,639							\$ 374,639
Dorsey Place Cul-de-Sac				\$ 3,500	\$ 21,000										\$ 24,500
TOTAL EXPENDITURES	\$ 200,000	\$ 200,000	\$ 305,000	\$ 264,750	\$ 221,000	\$ 576,838	\$ 224,000	\$ 880,639	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,531,047
RESOURCES															
OPERATING REVENUES	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 2,800,000
TOTAL RESOURCES	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 200,000	\$ 2,800,000

**FY 18-19 BUDGET
CAPITAL IMPROVEMENT PROJECTS**

WATER FUND SUMMARY																
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL	
EXPENDITURES																
Beckford Dr/Loop				\$ 48,082											\$ 48,082	
Young Ave Water Line Replacement		\$ 1,578,960	IP												\$ 1,578,960	
Industrial Park Water & Sewer Ext	\$ 165,356		DONE												\$ 165,356	
Beckford Dr. Loop Waterline		\$ 200,000	IP												\$ 200,000	
Ross Mill Rd. Water Line Ext		\$ 16,000	IP												\$ 16,000	
US158/WL Loop														\$ 700,000	\$ 700,000	
12" Line From Satterwhite Road to Nutbush			\$2,400,000												\$ 2,400,000	
2" Water Line Replacement Railroad Street		\$ 10,000	IP												\$ 10,000	
Thomas Lane Area-2" WL Replacements				\$ 850,000											\$ 850,000	
Valves in vault at each Overhead Tank-Chavasse				\$ 30,000											\$ 30,000	
Parrot Road, W. Ridge & Eileen Ct													\$ 340,000	\$ 790,000	\$ 340,000	
Weybosset Neighborhood															\$ 340,000	
Allen Road & Neighborhood			\$ 40,000	\$ 325,000							\$ 330,000				\$ 330,000	
Hospital Second Feed			\$ 40,000												\$ 365,000	
Insert-a Valves									\$ 3,500,000						\$ 40,000	
Elevated Water Storage Tank (IMGD)						\$ 800,000									\$ 3,500,000	
Water Meter Replacement Project				\$ 90,000											\$ 800,000	
Wesley Drive Tie in to 24" Pipe					\$ 52,400										\$ 90,000	
Loop At Walgreens up to US 1 BUS				\$ 30,000	\$ 290,000										\$ 52,400	
Ross Mill Road-Vance Charter to Haywood						\$ 800,000									\$ 320,000	
Water Tap to larger WL abandon 2" WL					\$ 100,000	\$ 100,000	\$ 100,000	\$ 900,000			\$ 100,000	\$ 900,000			\$ 800,000	
Downtown Waterline replacement				\$ 100,000	\$ 900,000					\$ 750,000					\$ 3,000,000	
Automatic Water Meter Infrastructure				\$ 25,000											\$ 750,000	
Painting of Stand Pipe															\$ 25,000	
															\$ -	
															\$ -	
															\$ -	
															\$ -	
															\$ -	
															\$ -	
TOTAL EXPENDITURES	\$ 165,356	\$ 1,804,960	\$2,480,000	\$ 588,082	\$1,862,400	\$1,090,000	\$ 900,000	\$ 900,000	\$3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$1,490,000	\$ 17,200,798	
RESOURCES																
OPERATING REVENUE		\$ 10,000	\$2,480,000	\$ 588,082	\$1,862,400	\$1,090,000	\$ 900,000	\$ 900,000	\$3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$1,490,000	\$ 15,240,482	
NC INDUSTRIAL DEV. FUND GRANT	\$ 165,356														\$ 165,356	
TRANSFER FROM WATER		\$ 16,000													\$ 16,000	
STATE REVOLVING LOAN		\$ 1,578,960													\$ 1,578,960	
TRANSFER FROM RATE STABILIZATION		\$ 200,000													\$ 200,000	
TOTAL RESOURCES	\$ 165,356	\$ 1,804,960	\$2,480,000	\$ 588,082	\$1,862,400	\$1,090,000	\$ 900,000	\$ 900,000	\$3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$1,490,000	\$ 17,200,798	

FY 18-19 BUDGET

CAPITAL IMPROVEMENT PROJECTS

SEWER FUND SUMMARY															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
Newton Dairy Pump Project		\$ 47,900													\$ 47,900
HWRF Improvements	\$18,597,470		DONE												\$18,597,470
Elmwood Cemetery Outfall		\$ 1,880,300	IP												\$ 1,880,300
Sandy Creek Pump Station Impr	\$ 1,749,074		DONE												\$ 1,749,074
Newton Dairy/Birch/Bobbitt CDBG Sewer Ext		\$ 1,950,630	IP												\$ 1,950,630
ROBCO Water & Sewer Line Ext		\$ 217,272	IP												\$ 217,272
Andrews Avenue-Pinkston Street															\$ -
WW Pump Stations Generators (6 stations)					\$ 390,000	\$ 375,000									\$ 390,000
Upgrade Old Sludge Handling Tank							\$ 250,000		\$ 200,000						\$ 375,000
Demolish Old Plant								\$ 156,250							\$ 450,000
By Pass at Influent Bar Screen WRF		\$ 20,000	DONE												\$ 156,250
Goose Neck at Emergency Pump Bypass		\$ 11,000	DONE												\$ 20,000
Move 4" Water Line Non- Potable															\$ 11,000
Sandy Creek Force Main								\$ 250,000	\$ 1,530,000						\$ 1,780,000
Air Release On Force Main Rehabs				\$ 35,000											\$ 35,000
Bell Wood Drive and Yoland															\$ -
10" Sewer Replacement E. Ave to Montgomery St.					\$ 690,000										\$ 690,000
Hughes Farm Road															\$ -
Influent Mechanical Grease Remover						\$ 90,000									\$ 90,000
VFD for Non-Potable Water pumps		\$ 40,000													\$ 40,000
I & I Tank for Sandy Creek				\$ 400,000											\$ 400,000
HWRF Filter Building control Panels						\$ 120,000									\$ 120,000
TOTAL EXPENDITURES		\$ 4,127,102	\$ 40,000	\$ 435,000	\$ 1,080,000	\$ 585,000	\$ 250,000	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 8,653,352
RESOURCES															
CAPITAL RESERVES		\$ 892,510													\$ 892,510
OPERATING REVENUES		\$ 67,000													\$ 67,000
STATE REVOLVING LOAN		\$ 19,611,874													\$19,611,874
STATE GRANT		\$ 2,132,400													\$ 2,132,400
STATE REVOLVING GRANT		\$ 1,000,000													\$ 1,000,000
EDA GRANT		\$ 217,272													\$ 217,272
TRANSFER FROM RATE STABILIZATION		\$ 521,590													\$ 521,590
TOTAL RESOURCES		\$ 24,442,646	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 23,921,056

**FY 18-19 BUDGET
CAPITAL IMPROVEMENT PROJECTS**

REGIONAL WATER FUND SUMMARY															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
KLRW INTERBASIN TRANSFER					\$ 400,000										\$ 400,000
SCADA SYSTEM		\$ 523,000	IP												\$ 523,000
20 MGD EXPANSION-PHASE I-A	\$33,300.00														\$ 33,300
KLRW IMPROVEMENT PROJECT-PHASE 1		\$ 19,863,000	IP												\$ 19,863,000
20 MGD EXPANSION-PHASE I-B		\$ 20,000,000	IP												\$ 39,386,000
Move Oxford 1 Water Meter					\$19,386,000										\$ 153,000
Oxford 1 Pump Station (PHASE 1)									\$ 153,000						\$ 153,000
24" Redundant Line To Oxford Along I-85							\$ 1,180,000								\$ 614,000
36" Transmission Water Line-WTP-to US1 Bus.-To Greystone Road									\$ 9,680,000						\$ 1,180,000
Franklin Co. Electric Valve					\$ 20,000										\$ 9,680,000
															\$ 20,000
															\$ -
															\$ -
															\$ -
TOTAL EXPENDITURES	\$ 33,300	\$ 40,386,000	\$ -	\$ 400,000	\$20,020,000	\$ -	\$ 1,180,000	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 71,852,300
RESOURCES															
CAPITAL RESERVES	\$ 33,300														\$ 33,300
OPERATING REVENUES		\$ 523,000													\$ 523,000
STATE LOAN		\$ 19,863,000			\$19,836,000										\$ 39,699,000
															\$ -
TOTAL RESOURCES		\$ 20,386,000	\$ -	\$ -	\$19,836,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 40,255,300

FY 18-19 BUDGET **CAPITAL IMPROVEMENT PROJECTS**

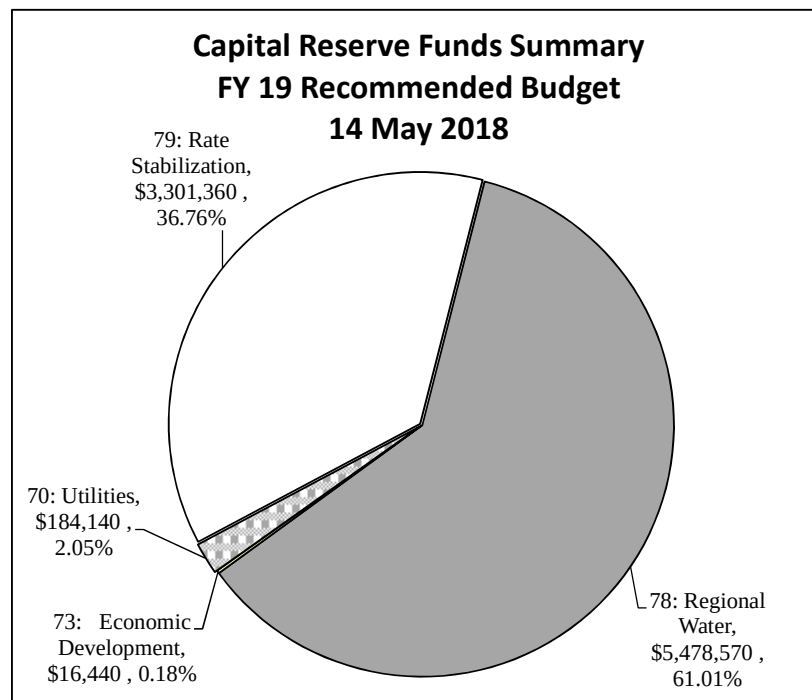
OLD MUNICIPAL BUILDING SUMMARY															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
															\$ -
Old Municipal Bldg					\$ 830,000										\$ 830,000
TOTAL EXPENDITURES		\$ -	\$ -	\$ -	\$ 830,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 830,000
RESOURCES															
PRIVATE BANK PLACEMENT					\$ 830,000										\$ 830,000
TOTAL RESOURCES		\$ -	\$ -	\$ -	\$ 830,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 830,000

**FY 18-19 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY**

SUMMARY

The Capital Reserve Funds are considered to be part of the annual fiscal budget and operate on a fiscal year basis. This summary reveals the FY17 Approved Budget is \$8,937,549 in total capital reserve allocations. More detailed information on each capital reserve fund can be found in the following pages.

SUMMARY OF CAPITAL RESERVE FUNDS						
ALL FUNDS		FY 16	FY 17	FY 18	FY 19	
		Prior Year Actual	Prior Year Actual	Current Year as amended	Manager Recommended	Council Approved
Revenues						
70	Capital Reserve Utilities Fund	\$ 18,606	\$ 66,123	\$ 177,250	\$ 184,140	
73	Capital Reserve Economic Development Fund	\$ -	\$ -	\$ 15,800	\$ 16,440	
78	Capital Reserve Regional Water Fund	\$ 620,523	\$ 1,335,923	\$ 5,478,570	\$ 5,478,570	
79	Capital Reserve Rate Stabilization Fund	\$ 22,618	\$ 10,737	\$ 3,165,784	\$ 3,301,360	
	Total Revenues	\$ 661,747	\$ 1,412,783	\$ 8,837,404	\$ 8,980,510	\$ -
Expenditures						
70	Capital Reserve Utilities Fund	\$ 18,606	\$ 51	\$ 177,250	\$ 184,140	
73	Capital Reserve Economic Development Fund	\$ -	\$ -	\$ 15,800	\$ 16,440	
78	Capital Reserve Regional Water Fund	\$ 620,523	\$ 60,912	\$ 5,478,570	\$ 5,478,570	
79	Capital Reserve Rate Stabilization Fund	\$ 22,618	\$ 200,025	\$ 3,165,784	\$ 3,301,360	
		\$ -			\$ -	\$ -
	Total Expenditures	\$ 661,747	\$ 260,988	\$ 8,837,404	\$ 8,980,510	\$ -
	<i>Variance of Revenues to Expenditures</i>	\$ -	\$ 1,151,795	\$ -	\$ -	\$ -



FY 18-19 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY

70: Capital Reserve Utilities Fund

The basic purpose of the Capital Reserve Utilities Fund is to accumulate revenues and hold them in reserve for future expansion and/or construction of the water distribution and sewer collection systems improvements and related improvements. The City's original Capital Reserve Funds were established in 1970 for the purpose of reserving revenue to construct or assist in the financing of major improvements to the City's utility system or to purchase major capital equipment for other operating departments/divisions. During the intervening years, the fund has served the purpose for which it was intended by providing resources for construction of major water and sewer projects at the Council's discretion following specific authorization.

In FY13, the fund was restructured to provide for separate accounting of water and sewer revenues to be held in reserve for future water and sewer projects. Prior to FY13, the funds had been comingled.

The revenue sources for this fund are the inter-fund transfers from the parent funds—30: Water and 31: Sewer, investments and periodic transfers of project reversions from the capital projects funds 43: Water and 44: Sewer. In short, the primary revenue source is from the water and sewer user rates.

A tremendous amount of work has been funded from this fund during the past several years for smaller water and sewer main improvement projects that are typically designed by the City Engineering Department. At the end of FY17 the Capital Reserve Utility Fund was \$411,967

72: Capital Reserve General Fund

The Capital Reserve General Fund accumulates revenues and holds them in reserve for future large capital equipment purchases, such as fire trucks, sanitation vehicles, etc. and for the purchase and/or construction of facilities normally funded through General Fund resources, including infrastructure components, such as streets, sidewalks, storm drainage systems, public buildings, etc. This fund has been inactive for several years and no activity is planned for FY18. There is no activity at this time, but it is recommended to start allocating funds for this in the future for large purchases such as fire trucks and other large pieces of equipment. A possible stormwater fee could provide revenue for this fund.

73: Capital Reserve Economic Development Fund

This fund was established in FY12 as a means to 'house' funding for future economic development incentive grant matches, such as funding from the Rural Center. Funding is provided via inter-fund transfer from the General Fund's general revenues. The budget is divided into two main expenditure categories: capital reserve for future allocation by City Council and economic incentives allocated by Council for specific projects. All funds not utilized roll over into the fund balance. The undesignated fund balance for FY17 is \$15,828. Since no transfers from General Fund are budgeted for FY18, no growth is expected in the Fund.

78: Capital Reserve Regional Water Fund

This fund was created in March 2012 in order to consolidate three Regional Capital Reserve Funds into one. 75: Capital Reserve Regional Water COE, 76: Capital Reserve Regional Water 20 MGD and 77: Capital Reserve Regional General, were merged to form 78: Capital Reserve Regional Water System Fund. Reserves are established for these Regional Water system needs: 911: Corp of Engineer Reserve; 922: 20 MGD Plant Expansion Reserve and 865: General Capital Reserve.

The funding source for this fund is the inter-fund transfer from the 64: Regional Water Fund. Revenues are derived from charges for water to the Regional Partners of Oxford, Warren County and Henderson. All funds are held in reserve until needed. When needed, the funds are transferred to a capital project established in 46: CIP Regional Water Fund.

The fund balance at the end of FY15 was \$3,598,917 and increased to \$4,119,206 by the end of FY16. Fund balance at the end of the FY17 was \$5,394,217. The significant majority of the reserve is dedicated to the planned expansion of the Regional Water Treatment Plant and future needs relative to transmission and replacement.

79: Capital Reserve Rate Stabilization Fund

This fund was established for the purpose of reserving City funds for major water system infrastructure needs, and major upgrades completed at the Water Reclamation Facility (Sewer Plant).

The funding source for the sewer plant rate stabilization reserve is the sewer rate transferred from 31: Sewer Fund. The initial transfer to establish this fund was made from 70: Capital Reserve Utilities Fund during FY12.

The 30: Water Fund has several sources of income to fund its rate stabilization reserve as follows: Vance County Phase 1A, Vance County Phases 2A & 2B, investments and transfers of other revenue sources from 30: Water Fund.

FY 18-19 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY

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APPENDIX A

GLOSSARY OF TERMS

ABC: Alcoholic Beverage Control Commission.

Account Number: A system of numbering or otherwise designating accounts, entries, invoices, vouchers, etc., in such a manner that the symbol used quickly reveals certain required and/or desired information. This is also referred to as the Budget/Accounting Line Item.

Accounts Payable: A liability account reflecting amounts of open accounts owing to private persons or organizations for goods and services received.

Accounts Receivable: An asset account reflecting amounts owing on open accounts from private persons or organizations for goods and services provided.

Accrual Basis: A basis of accounting in which revenues are recognized when they are earned rather than received and expenses are recognized when incurred rather than paid.

Activity Classification: A grouping of expenditures based on specific lines of work performed by organizational units, i.e., public safety.

Actuals: The actual expenditures, which are historically verifiable in the City's Accounting System.

ADA: Americans with Disabilities Act.

Adaptability: The flexibility of the system or process to handle future changing customer expectations to meet today's special needs and future requirement changes.

Ad Valorem Taxes: A tax based on the assessed value of real estate or personal property and the tax rate. Property ad valorem taxes are the major source of revenue for state and municipal governments.

Administrative Support: A calculated amount of money transferred from one fund to another to offset administrative or related support.

Adopted Budget: A budget that has been prepared and reviewed in accordance with State law and has been duly adopted by the City Council.

Allocate: To set aside portions of budgeted expenditures that are specifically designated to organizations, departments, etc.

Allowance for Doubtful Accounts: A contra account, related to accounts receivable, that holds the estimated amount of collection losses.

Annual Budget: A budget covering a single fiscal year (1 July – 30 June).

Annual Routine Debt: Bond debt issued on an annual basis to fund routine needed capital improvements such as street improvements, storm drainage, facilities renovation, etc.

Appendices: Supplemental material.

Appropriations: An authorization made by the City Council permitting the City to incur obligations and make expenditures.

Appropriation Ordinance: An official enactment by the City Council to establish legal authority for City officials to obligate and expend resources.

Assessed Valuation: The value of real estate and/or personal property and equipment as determined by tax assessors and used as a basis for levying property taxes.

Assessment: The process for determining values of real and personal property for taxation purposes.

Agency Fund: A fund consisting of resources received and held by the governmental unit as an agent for others.

Audit: A methodical examination of the utilization of resources it concludes in a written report of its findings to the governing body. An audit is a test of management's accounting system to determine the extent to which the internal accounting controls are both available and being used. In Henderson, an independent auditor is hired to examine the City's financial records.

Austerity: Rigorous, self-disciplined life; life without excess.

Authorized Positions: These are employee positions which are authorized in the adopted budget to be filled during the fiscal year.

BALI: Budget/Accounting Line Item.

Balanced Budget: A budget in which anticipated revenues are equal to planned expenditures.

Bond: A long-term promise to pay a specified amount of money on a particular date. Bonds are used primarily to finance capital projects.

Bonds Issued: Bonds that have been sold.

Budget/Accounting Line Item: A system of numbering or otherwise designating accounts, entries, invoices, voucher, etc., in such a manner that the symbol used quickly reveals certain required and/or desired information. This is also referred to as the Account Number.

Budget Amendment: A procedure used by the City staff and the City Council to revise a budget appropriation.

Budget Document: A financial plan containing projected expenditures and resources covering a fiscal year prepared by the City Manager and his staff and enacted by the City Council.

Budget Calendar: The schedule of key dates, which a government follows in the preparation, and adoption of its budget.

Budget Message: An overview of the recommended budget, written by the City Manager to the City Council that discusses the major budget items and the City's present and future financial condition.

Budget Ordinance: The official enactment by the City Council to establish legal authority for City staff to obligate and expend resources.

Capital Expenses: Appropriations for the purpose of satisfying one-time expenses for new value added projects such as new roads, buildings, utility lines and facilities, recreation facilities, etc., and large capital maintenance expenses such as street milling and resurfacing, re-roofing and new windows for buildings, repairs to major facilities. Capital expenses are generally financed in one of two methods: annual cash appropriations or bonded indebtedness. The former is generally associated with routine projects such as street milling and resurfacing, facility maintenance such as roofing, etc. The latter is generally associated with very large projects such as renovation of 134 Rose Avenue (new City Hall), construction of a major new road, etc.

Capital Improvement Budget (CIP): A plan of proposed capital expenditures and the means of financing them. The capital budget is usually enacted as part of the complete annual budget, which includes both operating and capital outlays.

Capital Outlay: Expenditures that result in the acquisition of or addition to fixed assets.

Capital Reserve: An account used to indicate that a portion of fund balance is legally restricted for a specific capital purchase and is therefore not available for general appropriation.

Capitalized Interest: An equity account reflecting the accumulated earnings from bonds/loans while in escrow.

Cash Basis: A basis of accounting in which revenue is recorded only when cash is received and expenses are recorded when the cash is paid.

Cash Management: The management of cash necessary to pay for governmental services, while investing temporary cash excesses in order to earn interest revenue. Cash management refers to the activities of forecasting the inflows and outflows of cash, mobilizing cash to improve its availability for investment, establishing and maintaining banking relationships.

CBO: Community Based Organization.

CIP: Capital Improvements Plan.

CDBG: Community Development Block Grant, a federal entitlement program designed to benefit low and moderate-income persons, specifically in the areas of housing and quality of life.

City Manager: The chief executive officer of the City of Henderson, appointed by the City Council.

CMO: City Manager's Office.

COE: Corps of Engineers.

COG: Council of Governments.

COLA: Cost of living adjustment.

Commodities: Supplies; anything bought and sold.

Contingency: A budgetary reserve set aside for emergencies or unforeseen expenditures not otherwise budgeted.

Contractual Services: Services rendered to a government by private firms, individuals, or other government entities. Examples include utilities, rent and consulting services.

COPS: Certificate of Participation.

Crime Clearance Rate: The percentage of crimes cleared/solved compared to those reported.

Data Response Time: The time it takes to respond to a call for service from the time it is received until a response has been made, i.e., the time it takes to dispatch a fire engine from the station to a house fire after the call has been received.

DCA: Department of Community Assistance.

DDC: Downtown Development Commission.

Debt Ceiling: See debt limit.

Debt Limit: The maximum amount of gross or net debt that is legally permitted. In Henderson, the legal debt limit for tax-supported debt (General Fund) is 8% of assessed value of property.

Debt Management Policy: A policy dealing with the issues of debt, how it is managed, and the manner in which debt is issued.

Debt Reduction Plan: A strategic plan and policy designed to eliminate the need for annual bond issues for annual capital projects while, at the same time, increasing the amount of annual cash appropriations for capital projects.

Debt Service: The City's obligation to pay principal and interest on bonds and other debt instruments according to a pre-determined payment schedule.

Debt Service Fund: Governmental fund type used to account for the accumulation of resources for, and the payment of, general long-term debt principal and interest.

Debt Service Ratio: The ratio of total liabilities to total assets. This tells the proportion of a government's assets that it has financed with debt.

Deficit: An excess of expenditures over revenues or expense over income.

Department: The highest levels of operation in the structural organization of the City, which indicates overall management responsibility for a division or a group of related operational divisions.

Depreciation: A decrease in value of property through wear, deterioration, or obsolescence.

Dillon's Rule: A rule of judicial interpretation of the legal powers of local government

Discretionary General Funds: Funds that the City Council has full control over and authority to appropriate in support of general fund activities.

Distinguished Budget Presentation Awards Program: A voluntary program administered by the Government Finance Officers Association (GFOA) to encourage governments to publish efficiently organized and easily readable budget documents and to provide peer recognition and technical assistance to the fiscal officers preparing them.

Diverse: In addition to race, nationality, gender, culture, what part of the United States one may be from and the like, this concept has to do with the way we think, the respect we have for each other's opinions turning differences into advantages and similar concepts.

Draconian: unusually severe or cruel.

Efficiency: The extent to which resources are minimized and waste is eliminated in the pursuit of effectiveness. Productivity is a measure of efficiency. Efficiency is not customer driven but rather controlled by the process – resources are minimized and waste eliminated.

Effectiveness: The extent to which the outputs of the system or process meet the needs and expectations of the customers (A synonym for effectiveness is quality). Effectiveness influences the customer. The individuals who receive the output (internal and external customers) should set the effectiveness standards.

Encumbrance: The commitment of appropriated funds for future expenditures of specified goods or services.

Enterprise Funds: A governmental accounting fund in which the services provided are financed and operated similarly to those of private business. The rate schedules for these services are established to insure that revenues are adequate to meet all necessary expenditures.

Estimated Revenue: The amount of projected revenue to be collected during the fiscal year.

Expenditure: The outflow of funds paid or to be paid for an asset obtained or goods and services. Regardless of when the expense is actually paid, this term applies to all funds.

External Customer: People that live within the City of Henderson, citizens, people that receive services from the City but live outside of the City and people that live outside of the City but work here, shop and trade here, and use the City for recreational and cultural activities.

Fiscal Year (FY): The time period signifying the beginning and ending period for the recording of financial transactions. The City of Henderson's Fiscal Year begins July 1 and ends June 30, of the following year.

Fixed Assets: Assets of a long-term character intended to continue to be held or used, such as land, buildings, machinery, furniture, and other equipment.

Fund: An accounting entity which has a set of self-balancing accounts and where all financial transactions for specific activities or governmental functions are recorded.

Fund Balance: Refers to the excess of assets over liabilities and is therefore also known as a surplus fund. The portion of Fund Equity which is available for appropriation.

GAAP: Generally Accepted Accounting Principles; uniform minimum standards for financial accounting and recording, encompassing the conventions, rules and procedures that define accepted accounting principles.

General Fund: One of five governmental fund types. The general fund typically serves as the chief operating fund of a government. The general fund is used to account for all financial resources except those required to be accounted for in another fund.

General Ledger: An accounting file which is a grouping of accounts in which the activities of the City are recorded.

General Obligation Bonds: Bonds issued by a government that are backed by the full faith and credit of its taxing authority.

GFOA: The acronym used for Government Finance Officers Association of the United States and Canada.

GIS: Geographical Information System.

GO Debt: General obligation debt.

Goal: A broad/general statement of direction based on the needs of the community and government.

Governmental Funds: A generic classification adopted by the National Council on Governmental Accounting to refer to all funds other than proprietary and fiduciary funds.

GPD: Gallons per day.

Grants: A contribution or gift in cash or other assets from other government units to be used for a specific purpose.

High Performance Organization: An organization that seeks continuous improvement, strong customer service, and best practices in the delivery of public services.

Impacts: The effects which would exist as a result of making one decision or another.

Infrastructure: Streets, bridges, water and sewer lines and treatment facilities, storm drainage, traffic signals, etc.

Interest and Penalties Receivable on Taxes: Uncollected interest and penalties on property taxes.

Interest Income: Revenue earned on investments with a third party. The City uses a pooled cash system, investing the total amount of cash regardless of fund boundaries. The interest earned is then allocated back to the individual funds by average cash balance in that fund.

Inter-fund Accounts: Accounts in which transactions between funds are reflected.

Inter-fund Recoveries: Charges from the General Fund to enterprise funds to recover the cost of general government's support of the enterprise funds. Examples would be financial accounting management, data processing services, purchasing, legal and general government management, etc.

Interfund Transfers: Flows of assets (such as cash or goods) between funds of the governmental unit without equivalent flows of assets in return and without a requirement for repayment.

Inter-governmental Revenues: Revenues from other governments that can be in the form of grants, entitlements, or shared revenues.

Internal Customers: Employees and agencies of the City of Henderson that seek services and assistance from other parts of the City and its agencies.

Internal Service Fund: A proprietary fund type that may be used to report any activity that provides goods or services to other funds, departments, or agencies of the primary government.

Investments: Securities held for the production of revenues in the form of interest, dividends, and rentals or lease payments.

ISO: International Organization for Standardization.

Justifications: A defensible explanation for making one decision or another.

Lease Purchase Agreements: A contractual agreement by which capital outlay, usually equipment, may be purchased over a period not exceeding 60 months through annual lease payments.

Legal Debt Margin: Excess of the amount of debt legally authorized over the amount of debt outstanding.

LEO: Law Enforcement Officer.

Levy: The amount of tax, service charges and assessments imposed by a government.

Local Government Budget and Fiscal Control Act: An act which governs all agencies of local government in the State of North Carolina. It spells out how all monies received or expended by local governments must be budgeted, disbursed, and accounted for. It requires that certain types of funds be maintained depending on the functions and activities performed by local governments and how those functions and activities are financed.

Metric: Performance measures and indicators – numerical information that quantifies input, output, and performance dimensions of processes, products, programs, projects, services, and the overall organization (outcomes).

Long-term Debt: Debt with a maturity of more than one year after the date of issuance

Mandate: A requirement imposed upon a local government by the federal and/or state governments to provide certain levels of service.

Merit Pay System: See Performance Pay System.

MGD: Million gallons per day.

Modified Accrual Basis of Accounting: Basis of accounting used in conjunction with the current financial resources measurement focus that modifies the accrual basis in accounting in two important ways 1) revenues are not recognized until they are measurable and available, and 2) expenditures are recognized in the period in which governments in general normally liquidate the related liability rather than when that liability is first incurred (if earlier).

Municipal Bonds: A bond issued by a unit of local government.

NCDOT: North Carolina Department of Transportation.

Non-Departmental: Items of expenditure essential to the operation of the City government that do not fall within the function of any department, or which provide for expenditures related to more than one department.

Non-Operating Expenses: Expenses that are not directly related to the provision of services such as debt service.

Non-Operating Revenues: Revenues that are generated from other sources, such as interest income, and are not directly related to service activities.

Objective: A specific statement about that which is to be accomplished or achieved for a particular program during the fiscal year.

Object/Element Codes: An expenditure category, such as salaries, supplies, or professional services.

Obligations: Amounts that a government may be required legally to meet from its resources; i.e., liabilities and encumbrances.

Operating Expenses: Appropriations for the purpose of satisfying recurring annual expenses. Examples of such expenses include salaries and wages, fringe benefits, vehicle maintenance and supplies, utilities, insurance, facility maintenance and supplies, contractual services, annual appropriation to capital improvements plan, etc. Such expenses are routine expenses associated with the operations of the business. Capital expenditures can impact the operating budget in the form of debt service payments and maintenance expenses for infrastructure additions. Additionally, some capital projects can have the effect of lowering annual operating expenses.

Operating Budget: The expenditure plan for continuing everyday service programs and activities. Generally, operating expenditures are made in a single fiscal year. Expenditures include personnel services, contractual services, commodities, minor capital outlay, and debt service requirements.

Operating Transfers: Legally authorized interfund transfers from a fund receiving revenue to the fund that is to make the expenditures.

O & M: Operation and Maintenance of the Water and Waste Water Systems.

OP Ratio: The Operating Ratio is determined by comparing the cost of the goods sold and other operating expenses with net sales. The formula used to calculate the operating ratio is $[(\text{Cost of goods sold plus operating expenses divided by net sales})] \times 100$. This ratio is a test of the efficiency of management in their business operation.

Ordinance: A formal legislative action enacted by a majority vote by the City Council. It has the effect of law within the community and it must not conflict with federal and/or state law.

Overtime: Extra time worked beyond an employee's normal work schedule. This can be affected by holidays, sick and annual leave.

People: A demographically balanced population in which all of its segments that comprise the whole are valued for their contributions, diversity, and strengths.

Performance Pay System: An established system to recognize and financially reward employee performance that exceeds the City's standards for a classification.

Personnel Services: Expenditures for salaries, wages, and fringe benefits of a government's employees.

PIT: Process Improvement Team.

Planned: Forward-thinking, innovative, and dynamic actions resulting in a sustainable, well-balanced community where the natural environment, businesses, and residential developments work in harmony resulting in an exceptionally high quality of life.

Postemployment healthcare benefits: Medical, dental, vision, and other health-related benefits provided to terminated employees, retired employees, dependents, and beneficiaries.

Powell Bill Street Allocation: Funding from state-shared gasoline tax made to incorporated municipalities which establish their eligibility and qualify as provided by General Statutes. These funds shall be expended only for the purposes of maintaining, repairing, constructing, reconstructing or widening of local streets that are the responsibility of the municipalities or for planning, construction, and maintenance of bikeways or sidewalks along public streets and highways.

Premise: An assumption that is a foundation or basis for submission.

Prodigious: Enormous, beyond capacity.

Program: A distinct, clearly identifiable activity, function, cost center or organizational unit.

Property Tax: A tax levied on the assessed value of real and personal property.

Proprietary Funds: Funds that focus on the determination of operating income, changes in net assets (or cost recovery), financial position, and cash flows. There are two different types of proprietary funds: enterprise funds and internal service funds.

Public Hearing: An open meeting of the City Council specifically for the purpose of obtaining public comment and input on a particular issue.

Rate Stabilization Fund: A fund created to set aside reserves in order to help smooth out anticipated annual increases in service rates.

Regional Center: A well planned community whose economic, cultural, and demographic strengths are such that it attracts people and business opportunities well beyond its geo-political boundaries to take advantage of its health care services, tourism, diversified employment, and entrepreneurial opportunities, and leisure and cultural offerings.

Reserve: An account designated for a portion of the fund balance that is to be used for a specific purpose.

Resources: Resources are the people, buildings, equipment, and funds required to produce a product and/or perform services.

Retained Earnings: An equity account reflecting the accumulated earnings of an enterprise or internal service fund

Revenues: Funds the government receives as income. It includes items such as tax payments, fees from certain services, fines and forfeitures, grants, shared revenue, and interest income.

Risk Management: An organized effort to protect a government's assets against accidental loss by the most economic method.

SCADA: Supervisory Control and Data Acquisition.

Service Area: A generic title for the grouping of departments according to common areas of service; i.e., information services.

Special Assessments: A compulsory levy made against certain properties to defray part or all of the cost of a specific improvement or service which is presumed to be a general benefit to the public and of special benefit to such properties.

Special Revenue Fund: Governmental fund type used to account for the proceeds of specific revenue sources (other than for major capital projects) that are legally restricted to expenditure for specified purposes.

State Shared Revenue: Revenues levied and collected by the State of North Carolina but shared with its localities on a predetermined method.

Strategic Plan: A Strategic Plan is the product of an organization's strategic planning process that defines its strategy, or direction, and making decisions on allocating resources to pursue this strategy, including its capital and people. Strategic planning is the formal consideration of an organization's future course. All strategic planning deals with at least one of three key questions: 1) what do we do?, 2) for who do we do it?, and 3) how do we excel?.

Tax Base: The assessed valuation of all taxable real and personal property within the City's corporate limits.

Tax Levy: The total amount of revenue to be raised by property (ad valorem) taxes.

Transfers: Amounts transferred from one fund to another fund to assist in financing the services of the recipient fund.

Trust and Agency Fund: Fiduciary funds which are used to account for many of the more significant amounts of resources that a government receives and holds in a trust or agency capacity for the benefit of others. Trust Funds are used if the government is acting in the capacity of a trustee. Agency funds are used to account for assets received and held by a government in an agency relationship for the benefit of others.

Un-audited: Accounts or numbers that have not been verified for their accuracy.

Unencumbered Balance: The amount of an appropriation that is neither expended nor encumbered. It is the amount of money still available for future purposes.

Vibrant: Robust, energetic, alive, enthusiastic, vitality.

Work Budget: A balanced budget prepared by the City Manager's Office and Finance Department and presented to the governing body.

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